



WORLD BANK GROUP

AFRICA GROUP 1 CONSTITUENCY

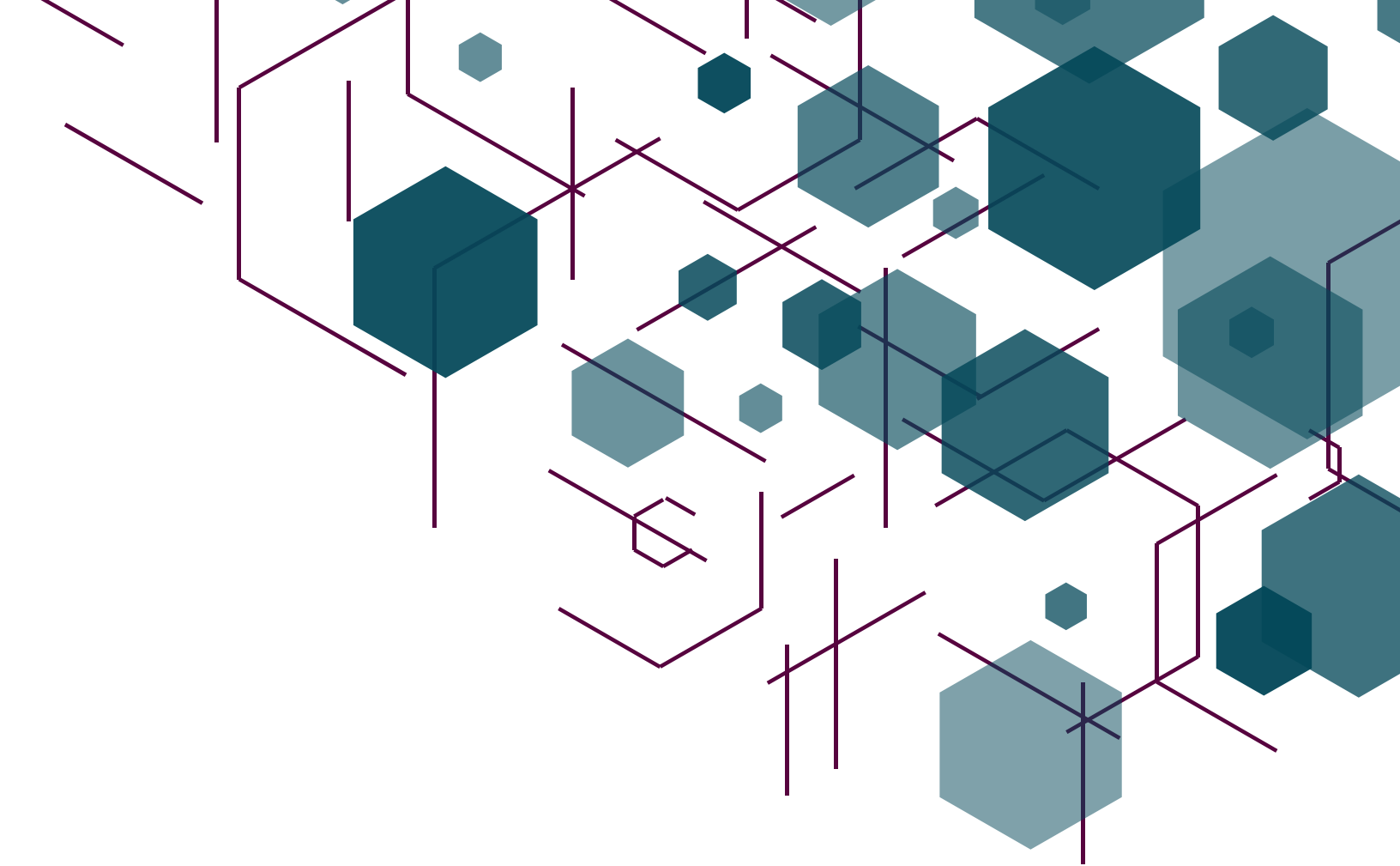
2026 INTERIM REPORT

DR. ZARAU WENDELIN KIBWE
EXECUTIVE DIRECTOR



April 2026





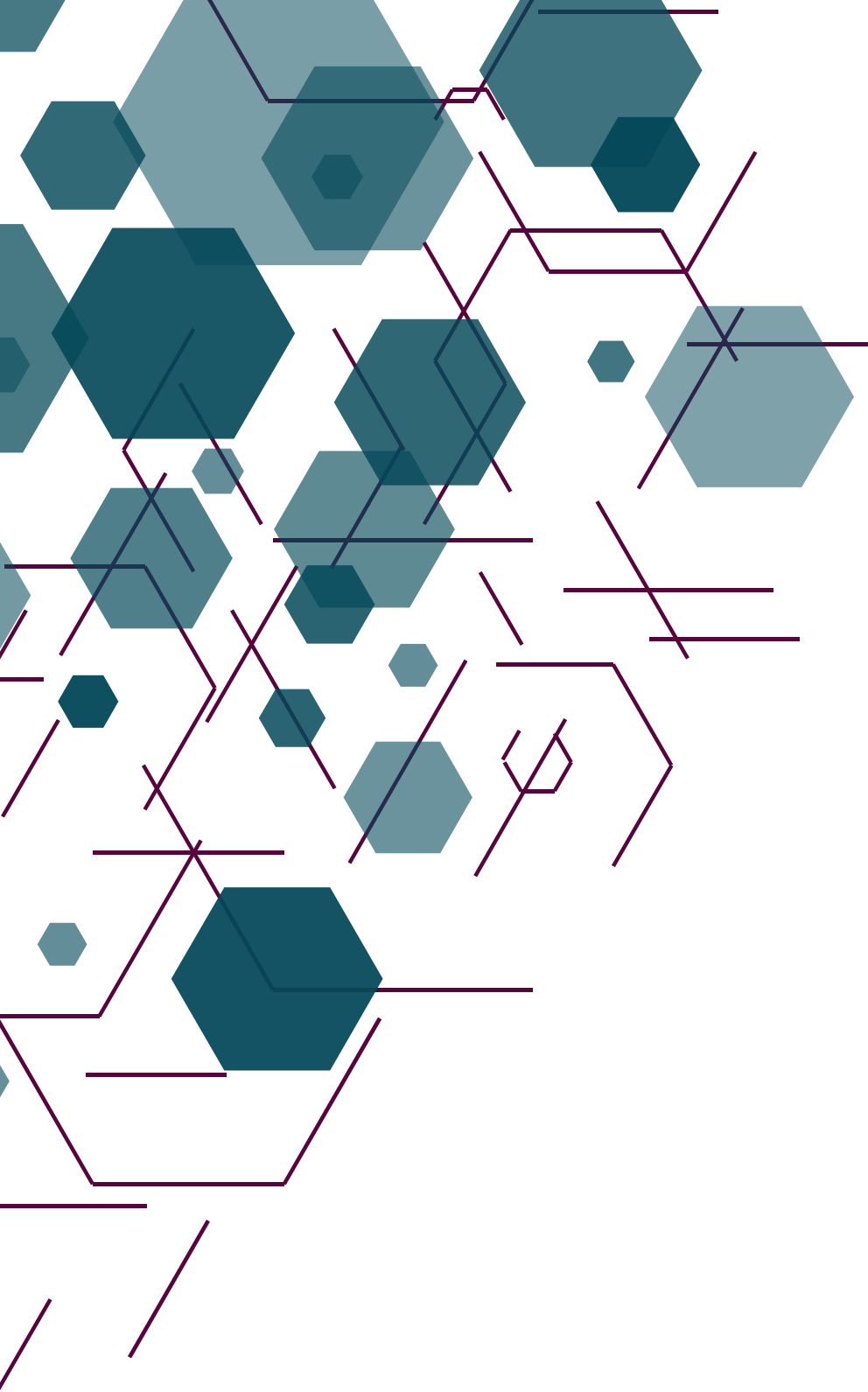


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ACRONYMS AND ABBREVIATIONS

AfCFTA	African Continental Free Trade Area
AfG1	Africa Group 1 Constituency
AfE	Eastern and Southern Africa Region
AFR	Western and Central Africa Region
AFW	West Africa Region
AIM2030	Africa Initiative for Medical Access and Manufacturing 2030
ATIDI	African Trade & Investment Development Insurance
B-READY	Business Ready
Cat-DDO	Catastrophe Deferred Drawdown Option
CCUS	Carbon Capture, Utilization, and Storage
CCW	Concessional Capital Window
CDC	Centre for Disease Control and Prevention
CDF	Disruptive Technologies Fund
CERP	Contingent Emergency Response Projects
CI	Composite Indicator of Debt-Carrying Capacity
CO	Country Office
CODE	Committee on Development Effectiveness
COGAM	Committee on Governance and Executive Directors' Administrative Matters
CPF	Country Partnership Framework
CPI	Consumer Price Index
CPSD	Country Private Sector Diagnostics
CRW	Crisis Response Window
DPO	Development Policy Operations
DRS	Dispute Resolution Service
EAP	East Asia and Pacific
ECA	Europe and Central Asia Region
ECC	Enhanced Callable Capital
ECF	Extended Credit Facility
EMDEs	Emerging markets and developing economies
EMSP	Emerging Markets Securitization Program
ESG	Environmental, Social, and Governance
EUR	European Region
FCS	Fragile and Conflict-Affected Situations
FCV	Fragility, Conflict and Violence
FIG	Financial Institution Group
FMs	Frontier Market economies
GCCI	the Gambian Chamber of Commerce and Industry
GROW	Global Regional Opportunity Window
IBRD	International Bank for Reconstruction and Development
ICT	Information Communication and Technology
IDA	International Development Association
IEG	Independent Evaluation Group
IFC	International Finance Corporation

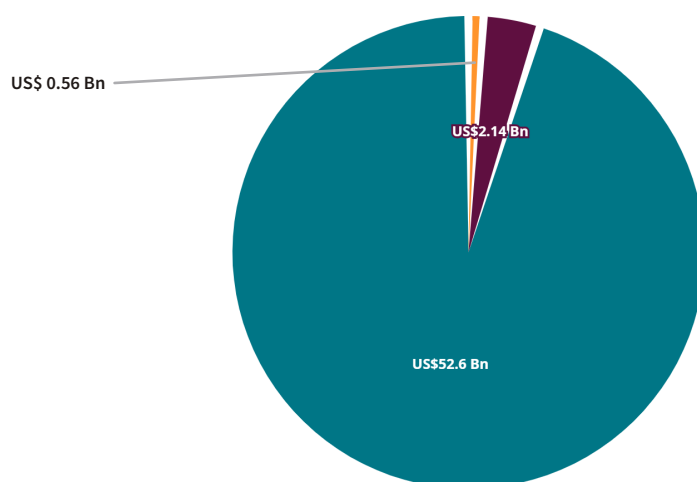
IFL	IBRD Flexible Loan
IIF	Institute of International Finance
ILO	International Labour Organization
INFRA	Infrastructure
IPF	Investment Project Financing
LAC	Latin America and the Caribbean Region
LIC	Low-Income Countries
LIC-DSF	Debt Sustainability Framework for Low-Income Countries
LTF	Long-Term Finance
M300	Mission 300
MAC-SRDSF	Market Access Country-Sovereign Risk and Debt Sustainability Framework
MAS	Manufacturing, Agriculture and Services
MCPPP	Managed Co-Lending Portfolio Program
MECA	Middle East and Central Asia
MNA/MENA	Middle East and North Africa (Region)
MIGA	Multilateral Investment Guarantee Agency
MPA	Multiphase Programmatic Approach
MSME	Micro, Small, and Medium Enterprises
NRA	National Revenue Authority
ODA	Official Development Assistance
OECD	Organization for Economic Co-operation and Development
OED	Office of the Executive Director
OPEC	Organization of the Petroleum Exporting Countries
PBA	Performance-Based Allocations
PFMU	Project Fiduciary Management Unit
PforR	Program-for-Results
PSW	Private Sector Window
RRO	Rapid Response Option
SACU	Southern African Customs Union
SADC	Southern African Development Community
SCI	Selective Capital Increase
SAR	South Asia Region
SDG	Sustainable Development Goals
SML	Shorter Maturity Loans
SSA	Sub-Saharan Africa
SuL	IBRD Step-up Loan
SWAC	Sea Water Air Conditioning
UNCCD	United Nations Convention to Combat Desertification
VSP	Voice Secondment Program
WAMA	West Africa Monetary Agency

CONSTITUENCY PORTFOLIO HIGHLIGHTS

Active Portfolio By Type of Financing for Africa Group 1 Constituency

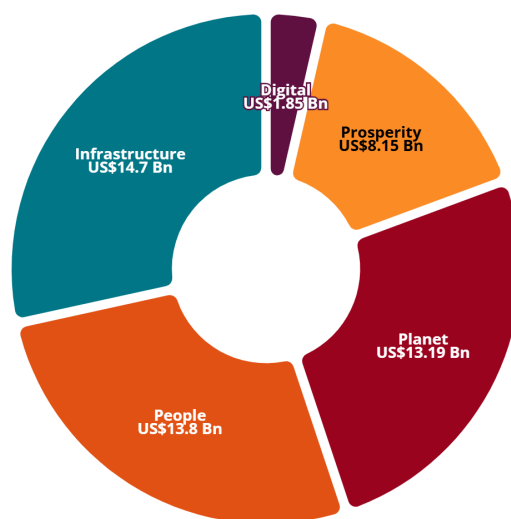
(Data as of March 11th, 2026)

IBRD Net Commitment \$ IDA Net Commitment \$ Others Net Commitment \$



Active Portfolio By WBG Vertical for Africa Group 1 Constituency

(Data as of March 11th, 2026)



Africa Group 1 Constituency Countries

Botswana • Burundi • Eritrea • Eswatini • Ethiopia • The Gambia • Kenya • Lesotho
Liberia • Malawi • Mozambique • Namibia • Rwanda • Seychelles • Sierra Leone
Somalia • South Sudan • Sudan • Tanzania • Uganda • Zambia • Zimbabwe

SNAPSHOT OF WBG OPERATIONS

WBG Growth: Five-Year Commitment Trends (FY2021–FY2025)

Global Investment Overview

161.9 Billion
Total Commitments

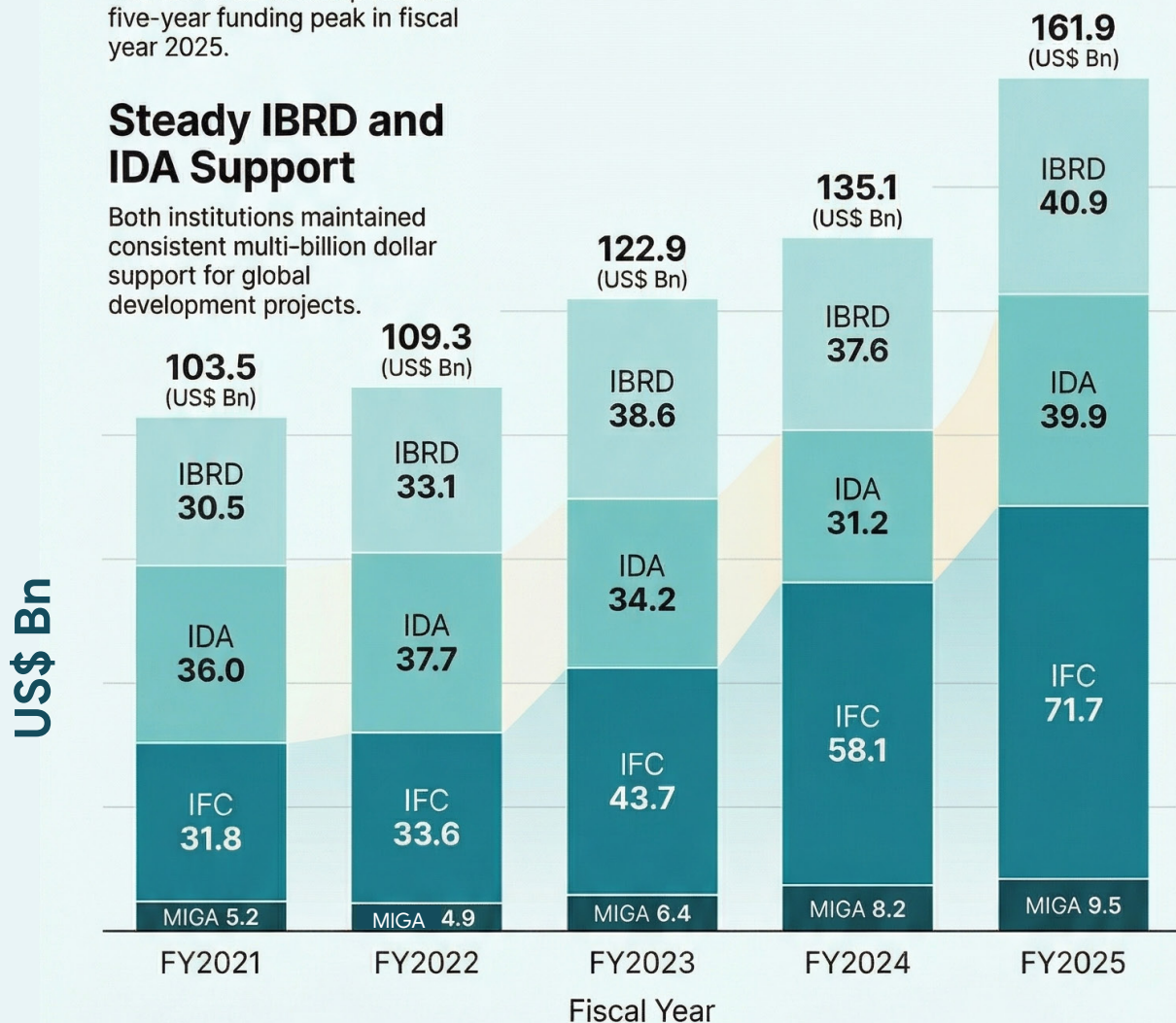
The World Bank Group reached a five-year funding peak in fiscal year 2025.

Massive Growth in IFC Funding

IFC commitments surged by over 125% between FY2021 and FY2025.

Steady IBRD and IDA Support

Both institutions maintained consistent multi-billion dollar support for global development projects.



FOREWORD BY THE EXECUTIVE DIRECTOR



Dr. Zarau Wendeline Kibwe,
Executive Director

It is my honor to present the 2026 Interim Report. It records the progress made over the past year and sets out the strategic direction that will guide the Office of the Executive Director's advocacy on behalf of the Constituency at the World Bank Group (WBG) Boards.

We meet at a moment when the global development compact is under strain. Shifting donor priorities, sharper geopolitical divisions, and rising uncertainty have weakened its base. The Middle East conflict is reaching Sub-Saharan African (SSA) economies through several linked channels. The first shock comes through energy markets, especially disruptions to supply routes through the Strait of Hormuz, a corridor for a large share of global oil and gas trade. Indirect effects then spread through trade, financial markets, investment flows, and labor mobility. Higher fuel and fertilizer prices are feeding inflation, especially in oil-importing economies. Tighter global financial conditions and renewed capital outflows are raising borrowing costs and weakening currencies. At the same time, disrupted trade logistics, softer remittance inflows, and possible delays in Gulf-origin foreign direct investment are adding pressure to fiscal balances and external accounts. The combined effect is a broad deterioration in macroeconomic conditions, marked by higher inflation, tighter fiscal space, and greater external vulnerability.

Against this backdrop, three scenarios describe how the crisis could unfold. In a swift resolution scenario, shipping disruptions are short-lived, oil supply losses remain limited, and prices stabilize quickly. SSA would still feel the shock, but growth would remain broadly intact. The baseline scenario assumes more prolonged shipping disruptions and moderate infrastructure damage, leading to higher energy prices and a measurable drag on global output. In a severe and protracted disruption scenario, extensive and lasting damage to regional energy infrastructure would cause significant supply losses, push oil prices above \$110 per barrel, and trigger a sharp slowdown in global growth alongside a surge in inflation. Under that scenario, global growth could fall by as much as 40 percent relative to pre-conflict projections, while inflation could rise by up to 60 percent. SSA, exposed on several fronts at once, would bear a large share of that cost.

The implications for food security are immediate and severe. Disruptions to ammonia and nitrogen supply, the key inputs for fertilizer, are raising farm production costs and threatening the next planting season across the region. Higher transport and energy costs add another layer of pressure by lifting food import bills in economies that already depend

heavily on imported staples. Food price shocks linked to the crisis could push as many as 16 million more people into food insecurity, with SSA likely to bear the largest burden. The damage falls hardest on poor households. When food prices rise, families that already spend most of their income on basic meals have little room to cope. In fragile and conflict-affected states, the strain is even greater, as domestic food production is limited, and governments often lack the fiscal means to subsidize prices or expand safety nets.

In response, the WBG has mobilized a coordinated operational framework built around speed, scale, and flexibility. The response centers on rapid deployment of crisis instruments, stronger coordination across WBG institutions, and close alignment with existing crisis-preparedness frameworks. It includes faster disbursement mechanisms, stronger analytical support to guide policy choices, and close coordination with development partners to avoid fragmented action. The approach points to a more integrated model of crisis management, one that combines immediate relief with medium-term resilience, especially in countries with weak policy buffers.

A broad set of financial instruments is being deployed to support member countries across income groups and levels of vulnerability. For IDA-eligible countries, budget support operations and concessional financing remain central, backed by crisis-response windows and contingency financing. Fragile and conflict-affected countries require tailored instruments that provide rapid liquidity while helping stabilize core institutions. Middle-income countries, facing tighter financial conditions, may rely more heavily on guarantees and risk-sharing instruments to crowd in private capital and reduce refinancing pressures. Across all country groups, the central task is to match financing tools to country-specific constraints, whether fiscal, external, or institutional, so that the response is both effective and sustainable.

The financing implications of the crisis are substantial. Even under baseline conditions, financing needs are already high because of rising debt service and constrained external inflows. Under stress scenarios, those needs rise sharply as import bills increase, borrowing costs climb, and capital inflows weaken. Many SSA economies enter this period with little fiscal room, with government debt already above 50 percent of GDP in a majority of countries and external financing needs above 10 percent of GDP in many cases. This leaves governments with a hard constraint: the room for countercyclical action is narrow precisely when shocks are intensifying, raising debt-sustainability concerns and the risk of procyclical fiscal adjustment.

Policy responses must therefore be carefully sequenced. The immediate task is macroeconomic stabilization: containing inflation, protecting external balances, and preserving financial stability. That effort must be paired with targeted social protection to shield vulnerable households from rising food and energy prices, with a shift away from broad, untar-geted subsidies toward more efficient support. As conditions stabilize, policy must turn to resilience by strengthening food systems, diversifying energy sources, and rebuilding fiscal buffers. Recovery should then focus on reviving private investment, especially in sectors with strong employment potential, supported by reforms that improve the business environment and ease structural bottlenecks.

Looking ahead, this crisis should not be treated as a passing shock. It is part of a wider pattern of structural vulnerability. Over the past six years, SSA has absorbed three major global supply shocks: the COVID-19 pandemic, the war in Ukraine, and now the Middle East crisis. Each has hit the region hard. Growth remains constrained by weak investment, low productivity, and limited job creation, while repeated shocks keep interrupting recovery. This is why the WBG Jobs Strategy, linked to a broader agenda of economic transformation, must remain central. It should help shift our economies toward productive activity through sound industrial policy, export diversification, and more resilient food and energy systems. That, in turn, requires the basics that allow firms to grow: reliable infrastructure, skilled workers, and financial systems that function. Without structural transformation, each external shock will continue to trigger another crisis rather than a manageable setback. The policy task is therefore clear: move from reactive crisis response to steady resilience-building rooted in economic transformation and job creation.

Against this backdrop, my Office will continue to advocate for operational interventions that support economic transformation, job creation, and resilience, in line with the WBG's commitments under the Jobs Strategy, Mission 300, AgriConnect, and the drive to expand access to affordable health care. Over the next six months, our focus will include advancing the Africa Initiative for Medical Access and Manufacturing (AIM2030), promoting a coherent Bank-wide approach to industrialization, shaping a tailored strategy for middle-income countries, and supporting a minerals and metals framework that promotes value addition and job creation in Africa.

Under the Constituency Medium-Term Strategy, the Office of the Executive Director will continue to advance member country priorities and deepen engagement across the WBG, with a clear focus on turning strategy into better outcomes for our citizens. I am deeply grateful to the Honorable Governors and Alternate Governors for their continued trust and guidance. My sincere thanks also go to the Alternate Executive Director, Ms. Lonkhululeko Magagula, and to the Office staff, whose professionalism and dedication have made possible what we have achieved as a Constituency Office. I will carry this mandate forward with determination and a strong sense of duty until the conclusion of my term on October 31, 2026. 



Dr. Zarau Wendeline Kibwe
Executive Director

EXECUTIVE SUMMARY

Global economic activity is moderating as the transitory factors that underpinned growth in 2025—including pre-tariff stockpiling, buoyant financial-market sentiment, and a surge in investment related to artificial intelligence—gradually dissipate. This unwinding has resulted in softer aggregate demand and a moderation in trade volumes. Concurrently, inflation is easing toward pre-pandemic norms, reflecting the resolution of supply bottlenecks alongside tighter monetary and fiscal conditions across major economies. Notwithstanding these improvements, the outlook remains clouded by considerable downside-risks. Against this backdrop, prices of precious metals and key agricultural commodities remain elevated, supported by ongoing supply constraints and heightened uncertainty.

Emerging Market and Developing Economies (EMDEs), particularly low-income and fragile states, face structural challenges, including weak investment, slow productivity growth, fiscal strain, and rising debt risks. Although economic activity in Sub-Saharan Africa is expected to recover gradually, outcomes remain uneven. Growth is led by non-resource-rich economies, while fragile and conflict-affected states confront high inflation, food insecurity, and declining external financing. Elevated debt service costs and liquidity pressures continue to weigh on the region, underscoring the need for stronger fiscal anchors and increased concessional support.

The World Bank Group (WBG) has advanced several strategic agendas of high relevance to AfG1 countries, notably the Water Strategy, the Small States Strategy, the Refreshed Fragile, Conflict and Violence (FCV) Strategy, and reforms to the IDA Private Sector Window. These initiatives collectively aim to accelerate human capital gains, strengthen country resilience, and unlock private sector opportunities in challenging markets. Updates to the Low-Income Countries Debt Sustainability Framework (LIC DSF) and Market-Access Countries Sovereign Risk and Debt Sustainability Framework (MAC SRDSF) frameworks are expected to enhance the precision of debt risk assessments. These refinements integrate more enhanced stress testing, domestic debt analytics, and improved indicators of debt carrying capacity. Such reforms are essential for some AfG1 economies managing narrow fiscal space and elevated debt-servicing costs.

The Crisis Preparedness and Response Toolkit has been expanded to enhance the capacity of member countries to respond to shocks with greater agility and flexibility. Together with strengthened pre arranged financing and risk management instruments, these measures provide countries with timely options to mitigate shocks while maintaining policy continuity. These reforms and tools strengthen countries' ability to manage volatility. They also create greater space for governments to sustain priority investments during periods of stress, rather than relying on pro cyclical adjustment. Leveraging new financing models, such as IBRD's Step-up Loan, will be instrumental in accelerating investment while preserving debt sustainability.

The WBG operations for AfG1 countries have remained steady despite global headwinds. On the IBRD side, policy-level capital efficiency reforms, including Enhanced

Callable Capital, have created headroom for expanded commitments while maintaining the institution's AAA rating. IDA commitments aligned strongly with AfG1 priorities, with disbursements sustained across core sectors and a pipeline anchored in human development, resilience, and regional integration. IFC has deepened engagement across the constituency, particularly in the financial, manufacturing, infrastructure, and service sectors.

IFC mobilization activities have expanded, supported by platforms such as the Managed Co-Lending Portfolio Program (MCP) and the Emerging Markets Securitization Program (EMSP). These developments reflect a strategic shift toward scalable Originate to Distribute (OtD) models. MIGA also increased its operational footprint by providing political risk guarantees in energy, transport, and financial sector. These instruments are helpful in de-risking transformative projects in higher risk markets. While the institutions have collectively delivered strong results across the AfG1 portfolio, sustaining this performance will require a continued focus on pipeline quality and implementation readiness. Enhanced coordination at the country-level remains essential to ensure effective delivery of institutional support.

The AfG1 Medium-Term Strategy continues to guide OED work across four pillars: mobilizing resources, promoting private sector investment, strengthening member-state engagement, and advancing capacity development, diversity, and inclusion. The framework has underpinned strong advocacy for IDA21 and its windows (PSW/GROW), with emphasis on regional projects that generate scale and impact. In coordination with other African Chairs, the OED has also pushed for improved voice and representation within the institution. To support execution, the Office is expanding its real-time portfolio dashboard to include IFC and regional operations, enabling close monitoring of commitments, disbursements, performance ratings, and bottlenecks. Ongoing engagement on initiatives such as Mission 300, AgriConnect, B-READY, and IDA21 has ensured AfG1 perspectives are reflected in institutional reforms.

Engagement with all AfG1 member states has been sustained through structured updates, technical consultations, and targeted support on country programs and financing priorities. Since the 2025 Annual Meetings, five high-level missions have further strengthened the constituency's dialogue on debt risks, investment climate reforms, resilience building, and private sector development. Authorities across the constituency membership expressed strong appreciation for the Office's proactive policy support, analytical inputs, and follow up on country requests – particularly in navigating complex operations and emerging policy conditionalities. In parallel, the Office has contributed substantively to Board Committees, with particular focus on the Committee on Development Effectiveness (CODE), the Audit Committee, and the Ethics Committee. These engagements ensured that constituency perspectives informed institutional decisions on strategies, evaluation, financial integrity, risk management, and accountability standards. 

CHAPTER 1

GLOBAL ECONOMIC DEVELOPMENTS AND PROSPECTS



WBG President Ajay Banga with Executive Director Zarau Kibwe during
a Field Visit to an IFC-financed Chicken Feed Factory
in Maputo, Mozambique

CHAPTER 1: GLOBAL ECONOMIC DEVELOPMENTS AND PROSPECTS

This Chapter provides an overview of the recent economic developments, the medium-term outlook, as well as associated risks to the global economy. It further analyzes the economic performance and prospects of Sub-Saharan Africa (SSA), with a particular focus on the Africa Group 1 Constituency ¹. By situating regional trends within broader global dynamics, the chapter highlights the implications for growth, stability, and development financing across AfG1 countries. Concurrently, it outlines the policy considerations that may guide the Constituency's engagement in upcoming WBG and IMF discussions.

1.1 Global Economic Developments

The global economy has shown resilience despite elevated trade tensions and policy uncertainty. Growth in 2025 was underpinned by transitory factors, notably pre-tariff stockpiling, strong financial-market sentiment, and a surge in investment related to artificial intelligence. However, the recovery since the 2020 recession has been uneven, with many EMDEs—especially low-income and fragile states—continuing to lag. This resilience is currently weakening as higher tariffs, persistent uncertainty, and softer foreign investment weigh on trade, business confidence, and job creation. Global growth is projected to slow to 2.6 percent in 2026. Trade is expected to decelerate further as inventories unwind and the impact of tariff intensifies, posing significant structural challenges for EMDEs with rapidly expanding labor forces.

Downside-risks continue to dominate the outlook, with the ongoing conflict in the Middle East posing a significant down-

side-risk through its potential to disrupt energy supplies, elevate commodity prices, impair key trade and shipping routes, and further undermine global investor confidence. These risks also include a resurgence of trade tensions, episodes of financial volatility, and inflationary surprises linked to fiscal fragility, weak technology payoffs, or broader commodity shocks. Notwithstanding these pressures, some upside potential remains as firms realign supply chains to evolving trade conditions and as the broader adoption of artificial intelligence (AI) begins to support productivity. In this environment, coordinated global action is essential to stabilize trade and ease financing pressures. For EMDEs, priorities should include strengthening macro-structural policies, deepening regional integration, advancing structural reforms to attract investment, and expanding economic opportunities—particularly in fragile settings.

¹ Unless stated otherwise, all data cited are drawn from the World Bank Group's Global Economic Prospects report, January 2026.

1.1.1 Global Growth Outlook

Global growth is projected to moderate in 2026, following an estimated expansion of 2.7 percent in 2025. Economic activity in the preceding period was driven by transitory factors such as front-loading of trade volumes ahead of tariff hikes, strong risk appetite in the financial markets, and a surge in AI-related capital spending. As these one-off supports dissipate, global trade is projected to weaken. This deceleration reflects a move toward inventory rationalization by firms and the increasing impact of tariffs, which continues to weigh on demand for traded goods².

With growth remaining subdued, emerging market and developing economies (EMDEs) face rising pressure to generate sufficient employment for rapidly growing working-age populations. Vulnerable EMDEs – especially those affected by fragility and conflict – are most constrained, as slowing trade, weak manufacturing, and limited fiscal space hinder their ability to absorb new labor-market entrants. In the absence of a sustained recovery in investment and productivity gains, many of these economies risk falling further behind as demographic pressures intensify over the next decade.

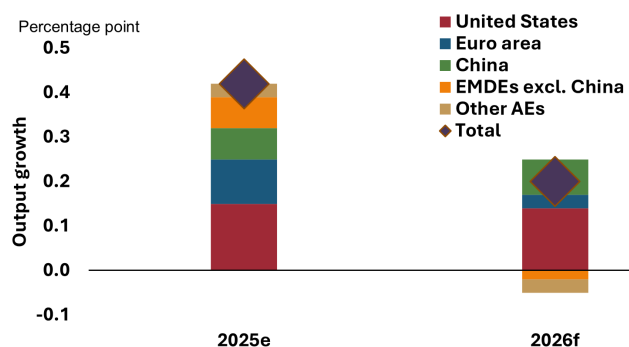
Economic activity in advanced economies remained resilient in 2025. However, as the effects of earlier tariff hikes materialize, average GDP growth is projected to moderate to 1.6 percent in both 2026 and 2027. Accommodative monetary and fiscal settings, notably U.S. tax extensions and increased public investment in parts

of Europe, are expected to cushion these trade-related headwinds.

In the United States, growth slowed in 2025 due to weaker consumer spending, the impact of a federal government shutdown, and stalled hiring linked partly to reduced labor supply. These factors were partially offset by strong investment in technology, software, and AI-related capital. Growth is anticipated to be firm in 2026 before moderating again in 2027 as tariff effects and policy uncertainty persist (Figure 1.1).

The Euro Area experienced a pickup to 1.4 percent in 2025 due to export front-loading and improved domestic demand. However, growth is forecast to slow to 0.9 percent in 2026 before rising to 1.2 percent in 2027. This near recovery will be supported by investment and targeted public spending despite tightening fiscal constraints. In Japan, growth strengthened to 1.3 percent in 2025 on the back of robust consumption, capital spending, and export front-loading. However, eco-

Figure 1.1: Contributions to Global Output Growth



Note: e = estimate; f = forecast; AEs = advanced economies; EMDEs = emerging market and developing economies

Source: World Bank, Global Economic Prospects, January 2026

² World Bank, Global Economic Prospects, January 2026

conomic activity is expected to slow to 0.8 percent in 2026 as temporary supports fade.

Economic activity in low-income countries (LICs) continues to improve. GDP growth reached an estimated 5 percent in 2025, up from 3.6 percent in 2024. This momentum is projected to build further, with growth reaching 5.7 percent in 2026 before stabilizing at 5.6 percent in 2027. These developments reflect firmer domestic demand, easing inflation, and more favorable external conditions for many LICs. The outlook highlights an ongoing divergence between advanced economies, which are slowing under the weight of trade and policy headwinds, and low-income countries, where recovery has gathered pace. Notwithstanding this progress, significant challenges persist, particularly those linked to elevated debt vulnerabilities, fragility, and limited buffers.

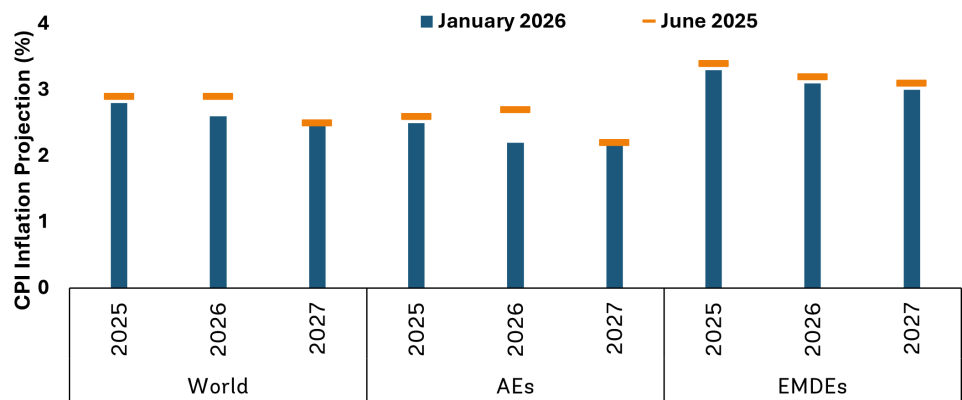
1.1.2 Global Inflation Outlook

Global inflation remains above pre-pandemic norms but is easing toward

targets as labor markets cool, demand for tradables softens, and energy prices are projected to decline. While headline inflation edged up in some advanced economies in 2025 compared to 2024 levels, it moderated across EMDEs. This moderation is attributable to weaker goods demand following a period of stock building, alongside improved food price dynamics. Services inflation remains sticky but is easing gradually, helped by softer labor markets and early productivity gains from AI adoption. Overall, global CPI is projected to moderate to 2.6 percent in 2026 (Figure 1.2), down from an estimated 3.2 percent in 2025. Notwithstanding this central path, the outlook remains subject to considerable uncertainty arising from shifting trade policies.

Disinflation is further supported by lower oil (on softer demand and higher OPEC+ supply before the recent Middle East crises), stable food, and easier global financial conditions. Risks include renewed trade tensions, geopolitical commodity shocks, and weather-related disruptions. Upside disinflation risks stem

Figure 1.2: Global CPI inflation projections (in percent)



Source: Global Economic Prospects, World Bank, 2026

from faster AI linked productivity and continued supply chain adaptation. In this environment, central banks, especially in EMDEs, should adopt a gradual and date-dependent reduction in policy rates to ensure that inflation expectations remain firmly anchored.

1.1.2.1 Regional Inflation

Inflation dynamics vary across regions. In Sub-Saharan Africa, headline inflation has decreased because of lower food prices and earlier currency appreciation, though disinflation is slowing and core pressures are rising with the escalation of the Middle East conflict, necessitating a pause in monetary easing amid climate and financing risks. Across EMDEs in Asia (excluding China), inflation has moderated toward or sits within target ranges in EAP and SAR. This progress is supported by softer food and energy prices, facilitating accommodative or gradually easing monetary policy stances in economies where disinflation is more entrenched.

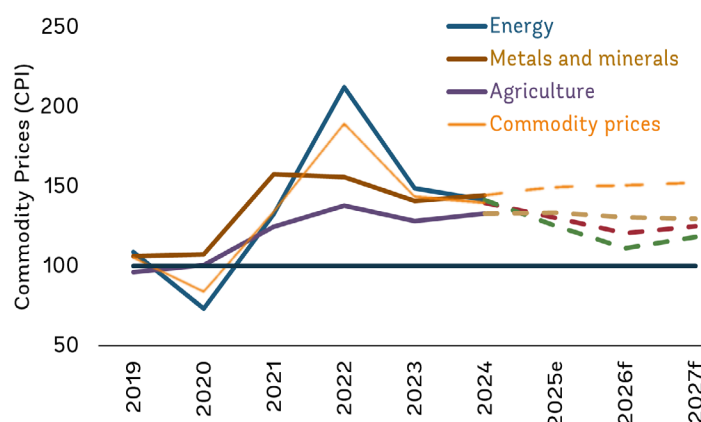
In the Euro Area, inflation continues to recede, reflecting weak external demand and moderating wage growth. While receding services remain persistent, pressures are easing, and the projected slowdown in 2026 growth is expected to support further disinflation. In China, inflation remains very low as subdued domestic demand and property-sector strains keep price pressures contained. In Japan, inflation is moderating as earlier drivers fade; underlying price pressures are expected to further soften alongside a moderation in 2026 growth, even as the cautious normalization of monetary policy proceeds.

1.1.2.2 Commodity Markets

Commodity prices are projected to decline for a fourth consecutive year, with an estimated decline of about 7 percent in 2026 following a contraction of similar magnitude in 2025. This downward trajectory reflects the drag from subdued global growth and until recently, a continued excess supply in energy markets, particularly oil (Figure 1.3).

Excluding energy, metals prices are projected to remain broadly stable. Sustained demand linked to the green-energy transition is expected to be offset by weak industrial activity – especially in China – which continued to temper upside pressure. Agricultural prices are expected to edge down over 2026–27 as global supply conditions normalize and production of grains and edible oil returns closer to long-term trends. In contrast, precious metals prices, especially gold, are expected to rise further, extending

Figure 1.3: Commodity price forecasts
(Index, 100 = 2015-19 average)



Note: f = Forecast. Commodity prices line refers to the World Bank commodity price index, excluding precious metals.

Source: Global Economic Prospects Report, World Bank, 2026

the sharp gains seen in 2025. Strong investment demand, ongoing geopolitical uncertainty, and continued central-bank purchases are likely to keep gold prices at historically high-levels over the forecast horizon.

Risks around this outlook are tilted to the downside, reflecting the possibility of weaker-than-expected global activity or faster normalization in supply chains. However, several upside-risks to prices also remain. Renewed or escalating geopolitical tensions, disruptions to energy infrastructure, or adverse weather events affecting agricultural production could push prices higher than currently projected. Weather-related shocks - especially droughts, flooding, and extreme temperature swings - pose a particular threat for EMDEs with heavy reliance on imported food and fuel. Such events could generate renewed inflationary pressures, potentially impeding the baseline disinflationary trend.

1.1.3 Global Debt Outlook 2026: Scale, Drivers, and Risks

1.1.3.1 Key Developments in Global Debt

Global debt is expected to reach US\$346 trillion, driven largely by higher sovereign borrowing in advanced economies. In the United States, gross government debt is projected to reach US\$39 trillion by April 2026, reflecting annual increases exceeding US\$2 trillion. Consequently, the US debt-to-GDP ratio is at its highest level since World War II. Comparable fiscal pressures persist in Japan, Germany, and China, where large stimu-

lus programs continue to expand public balance sheets.

The ongoing reduction of central bank balance sheets—most notably at the Bank of Japan and European Central Bank—represents a significant structural shift in the global capital markets. This process of quantitative tightening creates uncertainty regarding the private sector’s capacity to absorb rising government debt. Such shifts in market dynamics could weigh on long-term financing conditions and increase volatility in bond yields.

Despite these pressures, the outlook for sustainable finance is expected to remain resilient. Following a temporary moderation in 2025, total issuance is projected to reach about US\$1.6 trillion in 2026. This resilience reflects sustained investor demand for green and social instruments even as global financial conditions tighten.

Elevated public debt levels, combined with reduced central bank support, are pushing long-term interest rates higher and increasing volatility. These conditions heighten the risks of crowding out private investment, particularly where inflationary pressures remain persistent or where geopolitical and trade tensions intensify. Divergent regional prospects reflect varying fiscal space. In major European economies, fiscal pressures and weak medium-term growth prospects limit the potential for sovereign credit upgrades. Many developing economies face compounding challenges: high debt burdens, climate-related shocks, and severely constrained fiscal space. Together, these headwinds are weighing on global growth, which is projected to slow to 2.6 percent

in 2026—below pre-pandemic trends. For developing countries, rising debt servicing costs are diverting resources from

growth-enhancing structural reforms and investment, further clouding long-term development prospects. 

1.2 Economic Performance in Sub-Saharan Africa

Growth in Sub-Saharan Africa (SSA) gained momentum in 2025, supported by a combination of domestic and external drivers. The recovery reflects moderating inflationary pressures, continued strength in commodity prices and the resilience of both private consumption and investment. While the outlook is supported by ongoing structural reforms, rising investment, and easing inflation, the current pace of expansion remains insufficient to meaningfully reduce poverty or create enough jobs for the region's rapidly expanding workforce. Even so, with coordinated policy efforts and sustained international support, the region can address current challenges and seize opportunities for more inclusive and sustainable growth in the years ahead.

1.2.1 Recent Economic Developments

SSA entered 2025 with modest renewed momentum. Regional GDP growth is estimated to have reached 4.0 per cent, up from 3.7 per cent in 2024. This upsurge benefited from a combination of factors such as moderating inflation, higher-than-expected commodity prices—particularly for gold, other precious metals, and coffee— and resilient private consumption and investment. In some economies, firms boosted exports to the United States before higher tariffs initially announced took effect, thereby causing a

temporary export spike (Figure 1.4).

Growth, however, was uneven across economies and sectors. Nigerian economy expanded by 4.2 percent, buoyed by services, a modest recovery in agriculture, as well as its emergence as a net exporter of refined petroleum products. South Africa grew by 1.3 percent, supported by improved electricity supply and a strong agricultural harvest. Ethiopia maintained a robust growth of 7.2 percent, propelled by agriculture, gold, and electricity production, despite ongoing debt distress.

Industrial commodity exporters, including Angola and the Democratic Republic of Congo, faced headwinds from lower oil prices and disruptions in key sectors. In contrast, non-resource-rich economies, such as Uganda and Côte d'Ivoire benefited from favorable agricultural conditions and resilient exports. Across the region, domestic investment and the strength of service sector helped offset weaknesses in manufacturing and goods trade, which remained subdued amid slower global trade and limited diversification.

Despite robust regional growth performance, severe food insecurity remained elevated in 2025, affecting about a quarter of the population—a rate more than double the global average. In contrast to the downward trend in global undernourishment observed between 2021 to 2024, the number of undernourished individuals in Sub-Saharan Africa rose

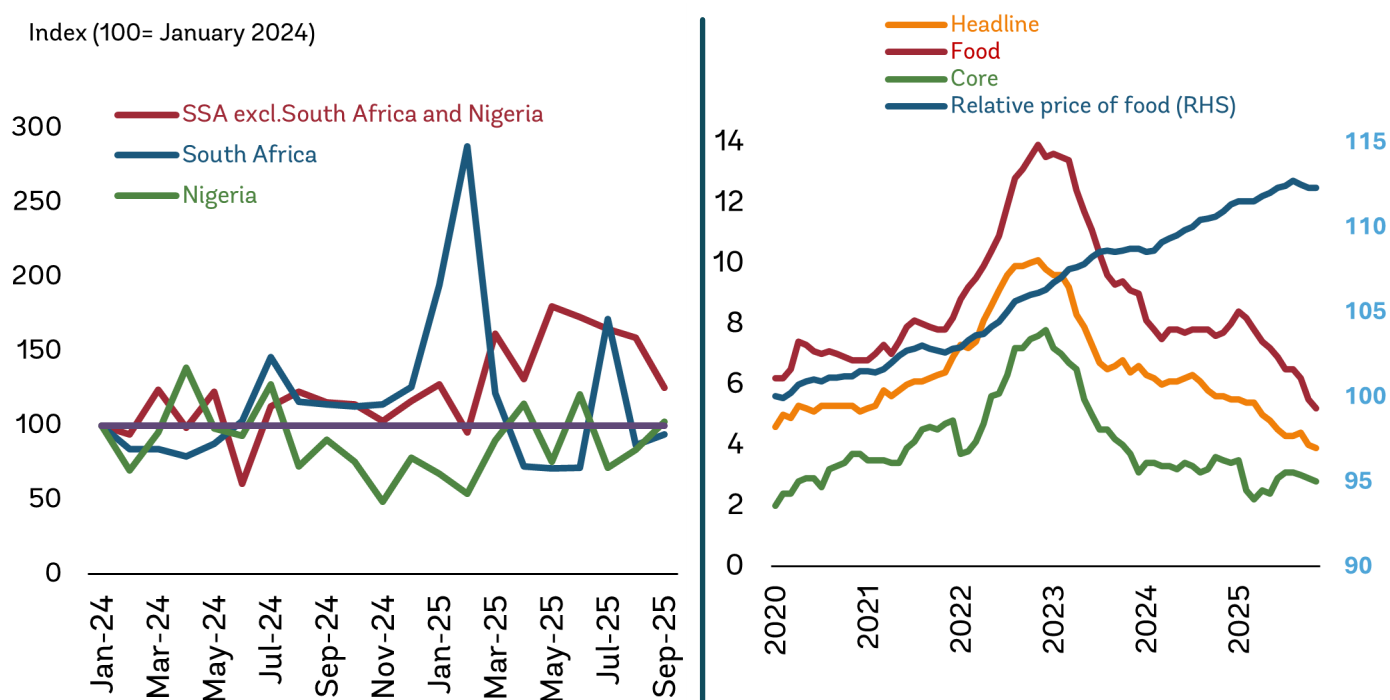
from 250 million to nearly 280 million, reflecting the impact of high food inflation. Ongoing conflicts, extreme weather (including droughts and floods), and inefficient transportation, which led to one-third of perishable foods spoiling before reaching consumers, contributed to worsening food shortages.

Inflationary pressures moderated in 2025, reflecting the easing of global energy and food prices alongside favorable domestic harvests (Figure 1.4). While food price levels remained elevated, core inflation—which excludes volatile components—has improved for the first time in two years, signaling a broadening of the disinflationary process. These developments, coupled with improving security conditions have supported the stabilization of household consumption.

However, the medium-term growth outlook remains constrained by deep-seated structural weaknesses. In particular, persistent commodity dependence and sluggish productivity growth continue to weigh on the region’s economic dynamism and its resilience to external shocks.

Financial conditions in the region have broadly improved, characterized by declining government bond yields and a contraction in sovereign spreads. Regional currencies have exhibited notable resilience, appreciating in aftermath of the April 2025 U.S. tariff announcement. These developments have alleviated pressures on debt repayments for many economies within the region and contributed to a reduction in imported inflation.

Figure 1.4: SSA-Goods exports to the USA (Left panel) and SSA CPI (right panel in percentage)



Source: Global Economic Prospects, World Bank, 2026

1.2.2 Regional Economic Outlook in Sub-Saharan Africa

The regional growth outlook is set to strengthen amid easing, but fragile, headwinds. GDP growth is forecast to pick up to 4.3 percent and 4.5 percent in 2026 and 2027, supported by the continued structural reforms in major economies, solid domestic investment, and a gradual recovery of global trade volumes. Inflation is projected to moderate gradually as earlier price shocks dissipate, although progress could be uneven and subject to upside-risks from renewed energy price pressures and supply-chain disruptions linked to the ongoing crisis in the Middle East. Improving security conditions in parts of the region are nonetheless expected to support domestic demand. Growth will nonetheless remain uneven across the region; industrial commodity

exporters are forecast to reach 4.5 percent by 2027, while non-resource-rich economies—notably Benin, Côte d'Ivoire, Ethiopia, Rwanda, and Uganda—are projected to expand at up to 6.2 percent. Real per capita income is projected to rise by about 2 percent annually in 2026–2027.

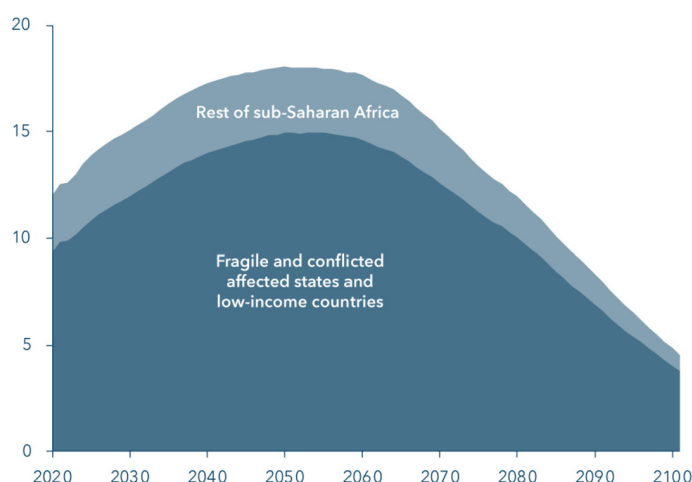
Current growth rates remain below pre-pandemic averages and are insufficient to generate the job needed by the region's rapidly expanding working-age population (Figure 1.5). Unlike the demographic aging observed across most advanced and emerging economies, SSA is projected to account for half of the global increase in workers by 2030. Meeting this challenge will require the creation of up to 15 million jobs annually, with demand most acute in fragile, and low-income countries where employment elasticity remains low.

The outlook remains subject to considerable downside-risks, notably elevated debt-servicing costs, the pressures of necessary fiscal consolidation, and recurrent climate-related shocks. Heightened global policy uncertainty and regional fragility compound these pressures, weighing on investor confidence. To build long-term resilience, policy efforts should focus on accelerating structural reforms, broadening digital adoption, and deepening regional integration through the African Continental Free Trade Area (AfCFTA).

1.2.3 Debt for Low-Income Countries in SSA

Many countries in Sub-Saharan Africa remain at the epicenter of debt risks, with public debt still elevated going into 2026 after the COVID19 shock and sub-

Figure 1.5: Estimated number of net additional jobs required per year in SSA, (in millions)



Sources: UN World Population Prospects; ILO Labor Force Participation Estimate; IMF Staff Calculation

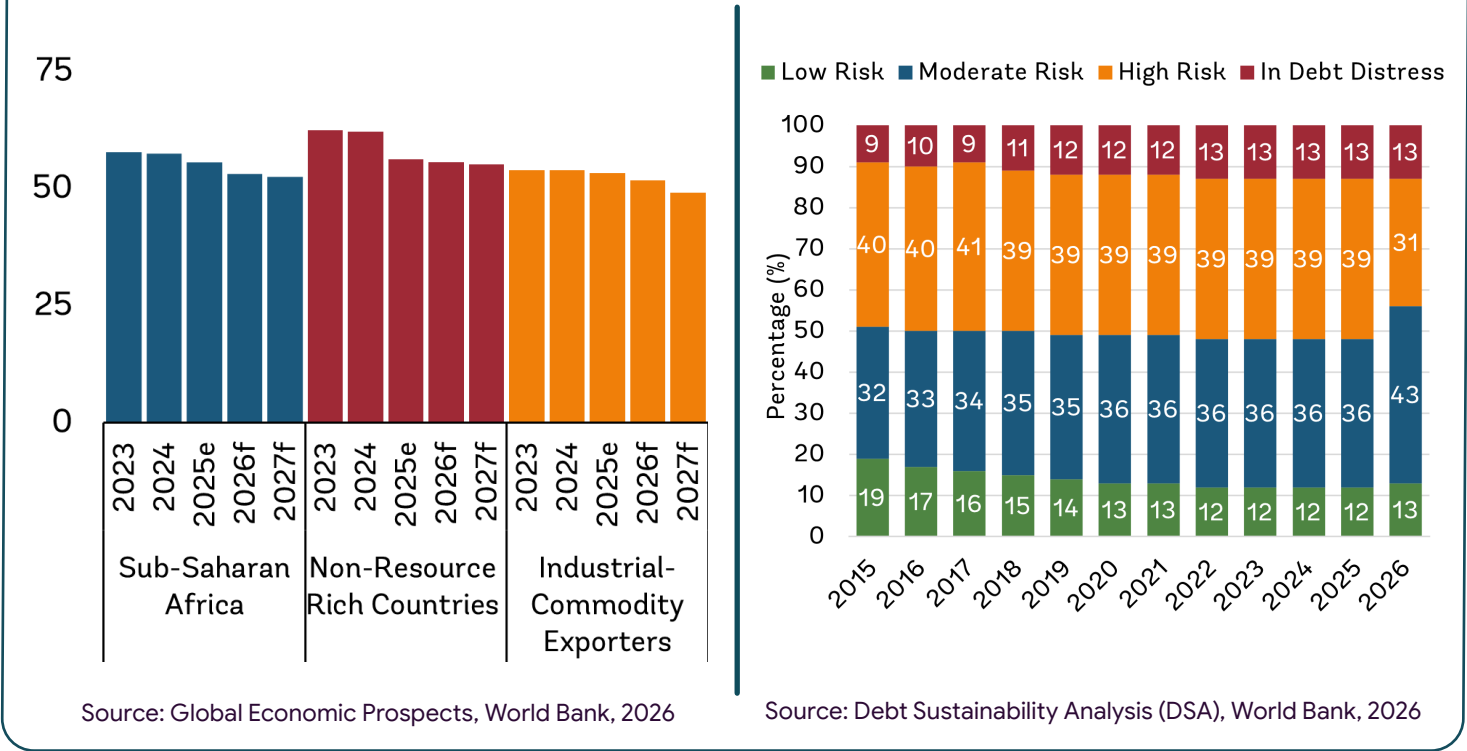
sequent global disruptions. Many LICs are assessed at high risk or in distress, while numerous others sit at moderate risk with limited shock absorbing capacity. IMF analysis highlights that LIC vulnerabilities are amplified by higher borrowing costs, tighter external financing, limited fiscal space, and a shifting creditor mix. As of February 2026, SSA accounts for 13 percent of countries globally classified in high debt distress, underscoring constrained fiscal space and persistent solvency pressures.

The OECD Global Debt Report 2026³ highlights a fragile debt landscape in Sub-Saharan Africa, characterized by elevated refinancing risks and persistent

market access constraints. While aggregate issuance among EMDE increased in 2025, many SSA countries, especially low-income and fragile states, remain largely excluded from international markets or face borrowing costs that undermine debt sustainability.

Near-term refinancing pressures are intensifying, as over half of SSA low-income countries’ outstanding marketable debt is expected to mature within three years amid elevated global rates and more selective investor demand. While the gradual shift to domestic-currency issuance has reduced FX risk, it has heightened pressures on domestic financial systems. Addressing these vulnerabilities

Figure 1.6: General government debt (left panel -percentage of GDP) & Risk Assessment under latest 2026 LIC-DSF (right panel)



3 OECD, Global Debt Report 2026: Sustaining Debt Market Resilience Under Growing Pressure

requires credible fiscal adjustment, stronger debt-management frameworks, and coordinated international support to prevent liquidity pressures from escalating into debt distress, while preserving space for growth-enhancing, resilience-building investment.

The latest 2026 Low-Income Countries Debt-Sustainability Framework (LIC-DSF) assessments show a concerning distribution of risks across LICs (Figure 1.6). These risks are compounded by increasing reliance on domestic debt, elevated global interest rates and declining concessional flows or Official Development Assistance (ODA). Furthermore, weak growth driven by commodity price volatility and climate shocks continues to weigh on debt servicing capacity. Though debt to GDP ratios may edge down slightly in 2026–2027 (Figure 1.6), they are expected to remain high, given costly borrowing and spending pressures.

The IMF⁴ indicates that key drivers of debt vulnerability comprise rising domestic rollover risks—high interest rates and restricted external access. These pressures are exacerbated by weak growth/commodity shocks; and persistent shocks stemming from conflict, food insecurity, and climate events. Analysis by the IMF emphasizes the importance of robust debt management, greater transparency, and improved fiscal frameworks. Furthermore, as market access and concessional financing constraints intensify, enhanced domestic resource mobilization becomes increasingly vital.

1.2.4 Challenges and Opportunities in Sub-Saharan Africa

SSA faces multiple development challenges stemming from spillovers of ongoing geopolitical tensions in the Middle East and beyond, alongside high poverty rates, rapid population growth, persistent food insecurity, and heightened vulnerability to climate shocks. Fiscal pressures stem from rising debt and declining international aid are limiting public investment. Moreover, institutional weaknesses hinder effective governance and private sector development.

Significant opportunities exist to advance the regional development agenda, provided debt vulnerabilities are addressed and fiscal frameworks strengthened. Targeted investment in human capital and infrastructure is essential for unlocking the region's vast potential. Coordinated policy action and international support would enable the region to navigate current headwinds and seize opportunities for inclusive, sustainable growth in the years ahead.

Key priorities could include the following:

 **Improving Fiscal and Debt Management:** Enhance debt sustainability through prudent borrowing, greater transparency, broader tax bases, better compliance, and building strong fiscal space.

 **Investing in Strategic Sectors and building climate resilience:** Pri-

⁴ Classifications draw on the latest IMF/World Bank LIC DSF assessments published through 2024–2025 and applied to 2026. World Bank Debt Toolkit (updated regularly; includes DSAs published in 2024–2025). <https://www.worldbank.org/en/programs/debt-toolkit/dsa>

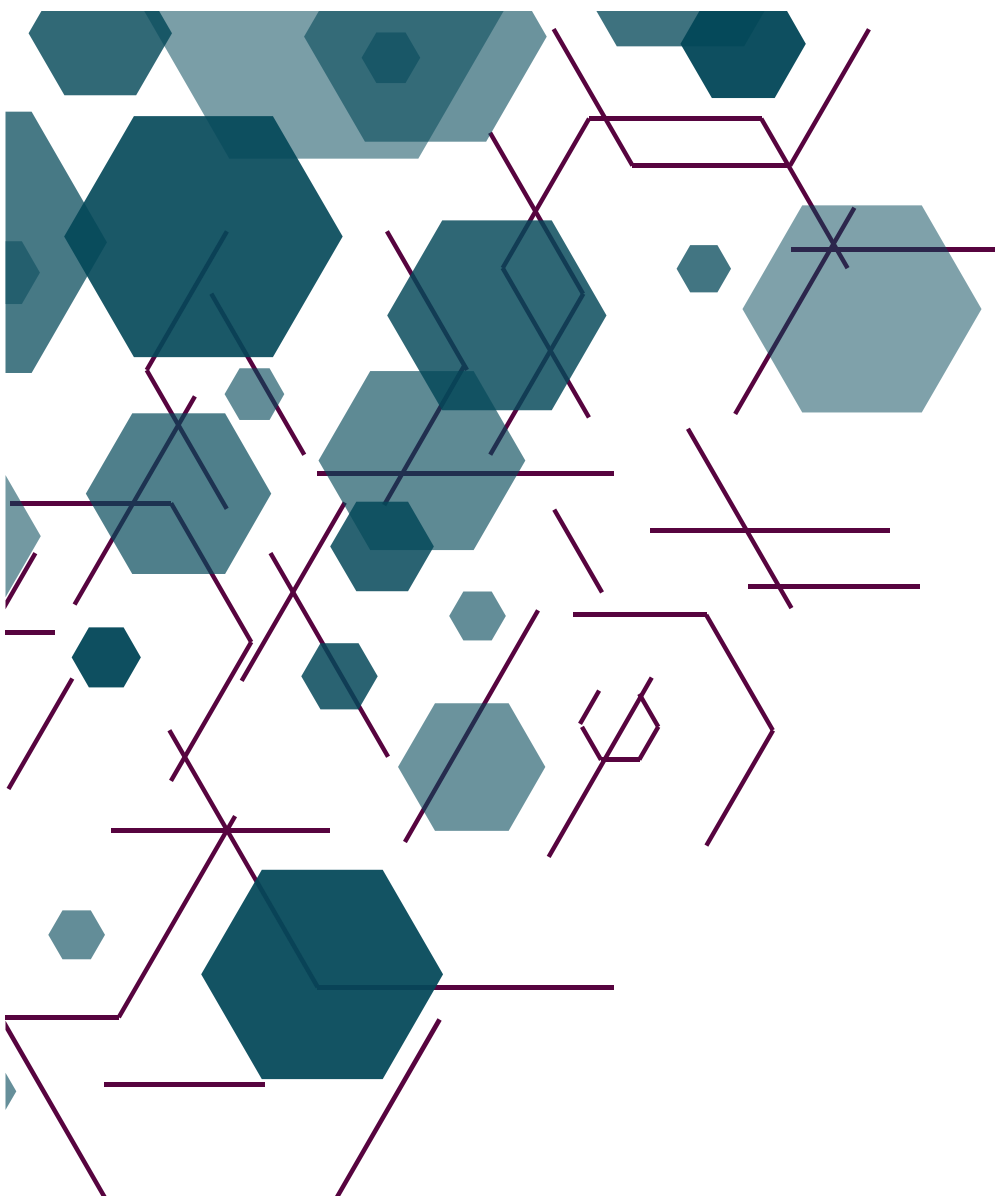
oritize education, health, and digital infrastructure, build climate-resilient systems, and invest in climate adaptation and risk disaster management, especially in agriculture and energy.

 **Strengthening Food Security:** Use targeted social protection, boost agricultural productivity, and improve supply chains to ensure food availability and affordability.

 **Advancing Institutional Reforms:** Implement reforms in energy, logistics,

and business, streamline regulations, and improve governance for efficient public spending.

 **Promoting Regional Integration and leveraging partnerships:** Deepen integration via initiatives like AfCFTA to increase intra-African trade and resilience. Engage with international partners for technical assistance, concessional financing, and coordinated action on debt relief and climate adaptation. 



CHAPTER 2

UPDATES ON SELECTED STRATEGIES AND POLICY ISSUES



**The Executive Director (center) with World Bank Group Eswatini
Country Office Staff**

CHAPTER 2: UPDATES ON SELECTED STRATEGIES AND POLICY ISSUES

This chapter provides an integrated update on the strategic and policy issues currently shaping the WBG's work and its engagement with client countries. It reviews recent progress across several institutional priorities, including water security, Small States, Fragility, Conflict, and Violence (FCV), and examines reforms to the IDA Private Sector Window (PSW) under IDA21, with a focus on concessionality, additionality, governance enhancements, and implications for AfG1 countries. The chapter also presents the 2026 update of the World Bank–IMF Debt Sustainability Framework for Low-Income Countries (LIC DSF), the outcome of the 2025 Shareholding Review, and ongoing implementation of the WBG Crisis Preparedness and Response Toolkit. It further highlights emerging trends from the Business Ready (B-READY) assessments across the Africa Group 1 Constituency and explores the implications of advanced energy-sector technologies for member countries. The chapter concludes with an overview of the proposed IBRD Step-Up Loan, reflecting its potential role in scaling infrastructure and mobilizing private capital. Together, these updates provide a forward-looking view of the strategic issues most relevant to AfG1's engagement in upcoming WBG and IMF policy discussions.

2.1 Driving Development Forward: Strategies and Initiatives

2.1.1 WBG Water Strategy (2025-2030)

Launched in December 2025 during the One Water Summit on the sidelines of the United Nations Convention to Combat Desertification (UNCCD), the WBG's new Water Strategy is articulated under the banner of Mission Water: Reaching One Billion People by 2030. The Strategy underscores the scale and urgency of global and regional water challenges, with particular emphasis on the substantial financing gap. Sub-Saharan Africa faces the most acute shortfall, lagging behind SDG trajectories with an estimated annual investment gap of US\$74 billion, more than half of the global gap of US\$141 billion. Under current trends, water related SDG targets would be met only decades later, with sanitation targets even further

delayed. Required financing in Sub-Saharan Africa is estimated to be nearly seventeen times current levels, reflecting deep structural underinvestment. In response, the Strategy provides a roadmap for integrated, systemic solutions that unite efforts across the WBG institutions to address water insecurity at scale.

The Strategy is organized around three priority areas. Water for People focuses on strengthening water security and service delivery for the more than two billion people currently underserved, recognizing its centrality to human capital development and a productive labor force. Water for Agriculture addresses the fact that over 70 percent of global freshwater withdrawals are used in agriculture, underscoring the need for fundamental shifts in irrigation practices, efficiency, and water

productivity to ensure food security for a global population projected to reach ten billion by 2050. Water for Planet concentrates on restoring and safeguarding natural systems, including river basin management, sustainable river development, and the protection of aquifers and other water sources, as the foundation of long-term water security and climate resilience.

Implementation of the Water Strategy focuses on translating these priorities into scaled, country-driven investments and policy reforms that strengthen water security, service delivery, and resilience. This is being pursued through deeper integration of water across-country programs and core sectors such as energy, agriculture, health, and urban development, alongside increased support for institutional and regulatory reforms. Particular emphasis is placed on fragile and water stressed contexts, climate adaptation and disaster risk management, and the mobilization of private capital, supported by improved data, analytics, and partnerships to ensure measurable results and sustained impact.

Similar to Mission 300, AfG1 Governors are encouraged to work closely with the Bank's country teams to develop Water Compacts as country owned roadmaps, co-created with the World Bank Group, the private sector, and development partners. These Compacts are intended to improve water management in a way that creates, enables, and protects jobs, while accelerating progress toward universal access, resilience, and sustainable growth.

2.1.2 Small States Strategy

In December 2025, the WBG adopted its new Small States Strategy aimed at strengthening support for countries facing low and volatile growth, limited private investment, narrow economic structures, and significant exposure to climate and external shocks. To address the diversity amongst Small States, the Strategy adopts a three-tier typology – remote micro and small states, connected micro and small states, and connected larger small states – providing more targeted WBG support aligned with structural conditions and regional integration levels.

The Strategy applies the WBG Jobs and Economic Transformation (JET) framework to improve productivity, support diversification, and build resilience in shock prone contexts. It emphasizes fewer but deeper engagements, long-term capacity building, and scalable operations that can replicate successful models across countries. The Strategy is also aligned with broader WBG reforms, including strengthened country engagement, improved delivery systems, and expanded use of private capital mobilization instruments.

Country-tailored applications illustrate how the Strategy will be operationalized:

👉 Seychelles and Eswatini will emphasize regional integration - either through blended competition and collaboration models (Seychelles) or deeper ties with larger neighbors (Eswatini).

👉 Botswana, Namibia, and The Gambia will focus on upgrading transport, energy, and digital infrastructure to enhance global connectivity and expand

MSME participation in regional value chains.

These examples demonstrate how the Strategy can accommodate diverse country contexts while focusing on growth, jobs, and resilience. The Strategy will be operationalized through each country's Country Partnership Framework. Continued engagement from AfG1 authorities – both at the country-level and through the Small States Forum – will be critical to ensuring that the WBG's enhanced commitment translates into meaningful, lasting development impact.

2.1.3 FCV Strategy

The WBG's refreshed Fragility, Conflict and Violence (FCV) Strategy is expected to be published during the 2026 Spring Meetings. As many AfG1 countries continue to grapple with persistent drivers of fragility; from conflict and forced displacement to institutional challenges and limited private investment, the new Strategy is timely. Its updated framework reinforces the WBG's commitment to remain engaged, adapt flexibly, and invest meaningfully in some of the world's most vulnerable settings for lasting impact. A central goal of the refreshed strategy is to drive job creation, with a strong focus on the private sector, especially MSMEs. The "One WBG" approach leverages the combined strengths of IBRD/IDA, IFC, and MIGA to address infrastructure deficits, enable business reforms, and build private sector capacity.

Information will play a pivotal role in enabling the Bank to remain proactive and responsive to evolving FCV contexts. A forward-looking Fragility Index, developed by the Hoover Institution at Stanford University, will be one of the data corner-

stones of this approach. By leveraging this AI-enabled index, the Bank will try to anticipate FCV risks early, rather than simply reacting to crises after they occur. This index will inform a new FCV country classification scheme, allowing the Bank to differentiate between countries in crisis, conflict-affected countries, and those at risk, and tailor its engagement accordingly. One key change is the strategy's flexibility to accommodate a differentiated approach by client to allow for the specificities typical of FCV settings. The OED has advocated the inclusion of the necessary safeguards that protect continued operational presence regardless of countries' absorptive capacity – to avoid situations where the capacity requirements of a differentiated approach render some jurisdictions out of bounds.

We call on authorities in FCV settings to continue prioritizing institutional partnerships and investing in national data systems – as both have outsized returns to the country over the longer term. Authorities are also encouraged where possible to support necessary channels for local capacities such as Third Party Implementors, a new angle of implementation that the WBG is considering for the refreshed strategy. This is intended to widen the pool of delivery channels ensuring that development efforts are more grounded and sustainable.

2.1.4 Update on WBG Flagship Initiatives for Africa

2.1.4.1 AgriConnect

Launched during the 2025 Annual Meetings, AgriConnect emerged as a flagship initiative aligned with the World Bank's Jobs Strategy, aimed at shifting

Africa's smallholder farmers from subsistence to commercially viable agribusinesses. Targeting five hundred million farmers globally, the initiative positions agriculture as a driver of jobs, income, and food security, particularly in African economies where farming remains the dominant livelihood. The World Bank's commitment to double annual agribusiness financing to US\$9 billion by 2030, complemented by US\$5 billion in mobilized private investment and development partner support, underscores the scale of ambition. Within this context, Senegal was highlighted as an early operational example, where a country compact focused on grains, horticulture, and livestock value chains demonstrates how AgriConnect can be translated into integrated, jobs oriented value chain interventions. This approach provides a practical model that can be adapted across other Constituency countries with similar structural conditions.

2.1.4.2 Mission 300

Also discussed during the 2025 Annual Meetings was Mission 300, a strategic shift from basic household electrification toward building energy systems that enable structural transformation, job creation, and long-term resilience. Several African countries have already signed Mission 300 national energy compacts, anchoring reforms and coordinated investment across access, generation, transmission, and private sector participation. As illustrated in Box 2-1 below, this approach is already being operationalized through a pipeline of Board-approved investments—including ASCENT-based access programs in low-income and fragile states, large-scale generation and regional interconnection projects,

and private-sector-led solar and C&I energy portfolios supported by MIGA and IFC instruments. These investments link electricity access with system reliability, regional power trade, climate resilience, and private capital mobilization. This approach ensures that expanded access enables productive uses of power across businesses, agro-processing, and social services. Together, AgriConnect and Mission 300 address two of the most binding constraints – low agricultural productivity and inadequate access to energy – offering complementary pathways to job creation, food security, and economic resilience.

2.1.4.3 Africa Initiative for Medical Access and Manufacturing (AIM 2030)

AIM 2030 is a WBG-led initiative that tackles Africa's large gaps in access to essential medicines by building sustainable local and regional manufacturing capacity, addressing the continent's high disease burden and dependence on imports. It uses a three-pillar approach—developing infrastructure, advancing enabling policies, financing, and mobilizing private sector partnerships—delivered through national health compacts, regional IBRD/IDA operations, blended finance, and collaboration with governments, DFIs, global health agencies, and industry. Strategically linking health security with economic transformation and job creation, AIM 2030 positions local production of medicines, vaccines, diagnostics, and medical supplies at the core of resilient supply chains. By 2030, it aims to expand access to essential medicines, double local production of priority products, create skilled jobs, strengthen regulatory and market systems, and attract major pri-

vate investment, with African countries expecting strong IDA/IBRD and IFC engagement, predictable financing, alignment with continental institutions such

as the Africa Centre for Disease Control and Prevention (CDC), and a clear results framework to ensure continent-wide, durable impact. 

Box 2.1: Board Approved Energy Operations in AfG1 Countries - FY25-FY26

Since January 2025, the Board approved several energy operations (Table 2.1) of strategic importance to AfG1 countries, reinforcing the World Bank Group's focus on expanding electricity access, strengthening power systems, and mobilizing private capital. The portfolio of energy-related operations demonstrates a deliberate, multi layered World Bank Group strategy to tackle the AfG1's energy challenges across access, reliability, resilience, and regional integration.

At the country-level, the repeated deployment of the ASCENT platform (in Eswatini, Malawi, Mozambique, Sudan, Ethiopia, and Zambia) signals a systematic effort to expand clean electricity and digital access, particularly in low-income and fragile contexts where grid deficits constrain growth.

These access focused investments are complemented by large scale supply and system stability projects, such as the Mpatamanga Hydropower Storage Project in Malawi and the Zambia–Tanzania interconnector, which address baseload capacity, storage, and cross border power trade which are critical constraints to reliability in the Constituency. The inclusion of private sector led solar portfolios (Globeleq in Mozambique, Weza Power in Burundi, AMEA Power, and the regional Energy C&I Africa Portfolio) highlights the World Bank Group's growing emphasis on mobilizing private capital and de-risking commercial and industrial energy solutions through instruments such as MIGA guarantees, thereby reducing dependence on public finance alone.

Importantly, the operations integrate energy climate environment linkages, as seen in watershed, landscape, and ecosystem based projects in Kenya, Burundi, Rwanda, Tanzania, and Zambia, reflecting recognition that energy security in AfG1 countries is increasingly shaped by climate resilience and natural resource management. Taken together, the energy projects suggest that the World Bank Group is not pursuing isolated energy projects, but rather a coordinated investment approach that simultaneously expands access, strengthens generation and transmission systems, leverages private investment, and embeds energy objectives within broader resilience and development frameworks across the AfG1 constituency.

These investments are anchored in the Board endorsed Mission300 initiative, jointly led by the WBG and AfDB. Mission300 provides a unifying platform for policy reform, delivery coordination, and private capital mobilization, with AfG1 countries being among early implementers.

Table 2.1: AfG1 Constituency Energy Projects Approved Since January 2025

Country	Board Approval Date	Project Name
Botswana	2025	Renewable Energy Support and Access Accelerator Project
Burundi	2025	Burundi Colline Climate Resilience Project
Eswatini	2025	Accelerating Sustainable and Clean Energy Access Transformation in Eswatini (ASCENT Eswatini)
Eswatini, Kenya, Mozambique, Namibia, Rwanda, Sierra Leone, Tanzania, Uganda, Malawi, Zambia + other countries)	2025	Regional/Cross-Boundary Energy C&I Africa Portfolio
Kenya	2025	Kenya Watershed Services Improvement Project
Malawi	2025	Accelerating Sustainable and Clean Energy Access Transformation in Malawi (ASCENT Malawi)
Malawi	2025	Mpatamanga Hydropower Storage Project
Mozambique	2025	Accelerating Sustainable and Clean Energy Access Transformation in Mozambique (ASCENT Mozambique)
Mozambique	2025	Globeleq Mozambique Solar Projects - Central Eléctrica de Teterane, S.A
Mozambique	2025	Globeleq Mozambique Solar Projects - Central Solar de Mocuba
Seychelles	2025	Renewable Energy Acceleration Program
Sudan	2025	Accelerating Sustainable and Clean Energy and Digital Access Transformation in Sudan (ASCENT Sudan)
Tanzania	2025	Tanzania Scaling-up Sustainable Marine Fisheries and Aquaculture Management Project (TASFAM)
Zambia	2025	RETRADE-SA MPA Phase 1: Zambia - Tanzania Interconnector Project
Burundi	2026	Weza Power Phase B - Lot 3
Ethiopia	2026	Accelerating Sustainable and Clean Energy Access Transformation in Ethiopia (ASCENT Ethiopia)
Kenya, Uganda, + other countries	2026	AMEA Power Portfolio
Rwanda	2026	Ecosystem-Based Restoration Approach for Nyungwe-Ruhango Corridor Project
Zambia	2026	Accelerating Sustainable and Clean Energy Access Transformation in Zambia (ASCENT Zambia)
Zambia	2026	Transforming Landscapes for Resilience and Development in Zambia II

2.2 IDA Private Sector Window (PSW) Reform

2.2.1 Introduction

The International Development Association (IDA) Private Sector Window (PSW) was introduced to catalyze private investment in low-income and fragile countries. Established in 2017 during IDA18, the IDA PSW was designed to help IFC and MIGA undertake high risk transactions by mitigating political, credit, currency, and project level risks that deter commercial investors. The IDA PSW continues to evolve as a central instrument for expanding private investment in the world's most challenging markets, especially IDA-only and fragile and conflict-affected settings (FCS). Through its four facilities, the Blended Finance Facility, Local Currency Facility, Risk Mitigation Facility, and MIGA Guarantee Facility, the PSW blends concessional IDA resources with IFC and MIGA instruments to unlock investment where financing gaps are most persistent and development needs are greatest.

In recent cycles, donors have intensified their scrutiny of the PSW's performance, because mobilizing private capital in FCS contexts remains difficult despite increased allocations. Concerns raised across replenishment discussions highlight the need to strengthen the PSW's effectiveness, sharpen its strategic focus, and ensure that concessionality is deployed judiciously and transparently. Donors and Executive Directors have emphasized that reforms must safeguard both financial and non-financial additionality, ensuring that PSW supported

investments provide value beyond what markets or non-concessional World Bank Group instruments can deliver.

2.2.2 Reform Directions under IDA21: Concessionality, Additionality and Governance Enhancements

Overall, the evolving PSW reform agenda reflects a strategic recalibration aimed at improving effectiveness, maximizing development impact, and ensuring that concessional resources catalyze private investment where it is most urgently needed. Clear implementation pathways, stronger governance, and consistent shareholder oversight will be key to realizing the PSW's full potential under IDA21 and beyond. Reforms under consideration during the IDA21 cycle build on lessons from IDA18–20 and reflect feedback from the Independent Evaluation Group (IEG), Management and Board engagement.

 A central pillar of the reform agenda is calibrating concessionality effectively, aligning funding levels with clearly defined market failures, avoiding excessive subsidization, and ensuring that concessional resources reach countries and sectors where they can achieve the greatest development impact. Related discussions also stress the need to strengthen additionality, particularly by demonstrating the PSW's role in enabling transactions that would not proceed without its support, whether through risk mitigation, longer tenors, local currency solutions, or political risk

coverage.

👉 IDA21 introduced substantial changes in governance and resource allocation, most notably through the expansion of the PSW, which has now been scaled up to US\$3.2 billion—a 28 percent increase compared to IDA20. The IDA21 PSW operates through four distinct facilities, each with defined ceilings: US\$1.6 billion for blended finance, US\$1.3 billion for local currency financing, US\$300 million for risk mitigation, and US\$500 million for MIGA guarantees. This structure reflects robust demand for blended finance instruments and signals heightened expectations regarding the mobilization of private capital.

👉 The IDA21 cycle includes IFC's first-ever contribution of US\$500 million of economic capital expected to yield US\$675 million through the Concessional Capital Window, signaling a deeper internal commitment to shared risk and greater institutional alignment. Complementary reforms aim to streamline approval processes, expand eligibility under new country exposure caps, address absorption bottlenecks, improve the consistency of PSW utilization across countries and enhance transparency and reporting to the Board.

These reforms respond to clear operational challenges identified during IDA20, including uneven sectoral distribution of PSW resources and limited impact in job-creating areas such as agriculture and manufacturing. Discussions with the Management underscored the need to rebalance PSW deployment toward sectors with strong productivity and employ-

ment potential, while improving upstream support through Country Private Sector Diagnostics and advisory interventions to build a stronger project pipeline.

2.2.3 Key Issues for Shareholders and Implications for AfG1 Countries

Looking ahead, shareholders are likely to focus on the effectiveness of concessionality calibration, strengthened additionality requirements, geographic and sectoral equity in PSW deployment, and measurable outcomes in terms of private capital mobilization and poverty-reducing impact. Continued attention will be required to ensure that governance reforms, including enhanced reporting, clarity on waiver practices, and alignment with new PSW oversight structures translate into more efficient, transparent, and impactful operations.

For Africa Group 1 Constituency countries, the reform agenda presents opportunities and responsibilities. With PSW allocations expanding under IDA21, AfG1 countries should intensify efforts to strengthen project pipelines through upstream regulatory reforms, deeper engagement with IFC and MIGA, and active participation in CPSDs. Diversifying PSW-supported investments into agriculture, manufacturing, and SMEs—areas with strong development multipliers will be essential to maximize job creation and inclusive growth across the constituency. IDA client countries are encouraged to advocate for concessionality rules that prioritize need and impact, ensuring fair access for small and fragile economies. 

2.3 World Bank–IMF Debt Sustainability Framework for Low-income Countries (LIC DSF): 2026 Update

2.3.1 Introduction

The World Bank and International Monetary Fund (IMF) are undertaking the most extensive revision of the joint Low-Income Countries Debt Sustainability Framework for Low-Income Countries (LICDSF) since 2017. The 2026 review introduces major refinements to the DSF's modeling architecture, strengthens the treatment of domestic debt vulnerabilities, and brings the framework closer to the Market Access Country-Sovereign Risk and Debt Sustainability Framework (MAC-SRDSF). The goal is to produce clearer, more credible assessments and ensure smoother transitions for countries approaching market access.

LICs face growing debt pressures due to higher global interest rates, constrained concessional financing, exchange rate volatility, and rising domestic rollover risks. Domestic debt now plays a larger part in overall sovereign exposure. The 2026 reforms address longstanding gaps highlighted in previous DSF reviews. These include limited integration of domestic debt, inconsistencies across the three core risk models, insufficient differentiation within the “High Risk” category, and weaknesses in transition when LICs graduate to the MAC SRDSF.

2.3.2 Core Model Refinements

A major improvement is the adoption of a unified Composite Indicator of Debt

AUROC measures how well a model distinguishes between two outcomes (e.g., stress vs. no stress).

- A score of 0.5 means the model performs no better than random chance.

- A score of 1.0 means perfect classification.

- A score of 0.8 therefore means the model correctly differentiates between the two states about 80 percent of the time, reflecting high accuracy and reliability in predicting debt stress or unsustainability within the LIC DSF framework.

Carrying Capacity (CI), replacing multiple macro variables across three separate models - external stress, overall public debt stress, and unsustainable debt risk. The CI consolidates macro financial fundamentals, improving transparency and consistency without reducing predictive power defined by the Area Under the Receiver Operating Characteristic curve (AUROC $\approx$ 0.8).

Also, the DSF will for the first time, provide a mechanical probability of debt unsustainability, using a (PROBIT model)⁵ to project unsustainable debt events

⁵ A PROBIT model is a statistical regression technique used to estimate the probability of a binary event occurring—such as whether a country will experience a debt-stress or unsustainable-debt event within a given timeframe. In the updated LIC-DSF, PROBIT models take historical data on debt burdens and macro-economic conditions and calculate the likelihood that a country's debt becomes unsustainable in the next five years.

within five years, fully aligned with the MAC SRDSF.

The update introduces granular High Risk classifications, distinguishing liquidity driven pressures from longer term solvency challenges and clarifying the timing of vulnerabilities. This supports more targeted interventions, from liquidity lines to restructuring pathways.

The update introduces a strengthened diagnostic toolkit featuring standardized indicators of domestic debt levels, debt service trends, net domestic issuance, exposures across banks and central banks, and market functioning metrics such as maturity shifts and rollover strains. Evidence from 2015-2024 shows domestic debt burdens and bank exposures often

surge before domestic stress episodes.

The updated LIC-DSF is relevant to AfG1 countries priorities and supports the WBG Evolution agenda by strengthening how debt risks are assessed and enabling faster, better-targeted engagement. AfG1 countries, face elevated rollover risks, volatile financing conditions, and limited buffers and these improvements allow earlier detection of stress, more credible risk ratings, and borrowing strategies that better reflect domestic market capacity. Greater alignment between the LIC-DSF and the (MAC-SRDSF) also benefits AfG1 countries progressing toward market access by smoothing transitions and limiting sudden shifts in perceived risk. 

2.4 2025 Shareholding Review — Outcome, Implementation, and AfG1 Perspective

2.4.1 Introduction

The Board recently concluded the 2025 Shareholding Review exercise and will submit a report to Governors during the Spring Meetings. The report to Governors provides a concise overview of the 2025 Shareholding Review, summarizing how the Executive Board has implemented Governors' commitment to regular five-year reviews under the Lima Principles. It describes work along two main tracks: shareholding, including the assessment of misalignment using the Dynamic Formula and consideration of options such as a Selective Capital Increase, and use of unallocated shares; and voice, covering practical measures to strengthen representation and participa-

tion at the Board. The report presents the key issues and constraints that emerged in reaching consensus, outlines the measures that attracted broad support, and highlights areas where further guidance from Governors would be helpful for the next phase of work.

2.4.2 Guiding principles

The Review fulfills the commitment to assess shareholding every five years, guided by the Lima Principles which framed a pragmatic approach focused on legitimacy, predictability, and the Bank's ability to deliver at scale. Directors reaffirmed four anchors throughout the discussion: (i) representation should be dynamic and more equitable over time; (ii) all voices—including those of smaller

members—must remain integral to decision making; (iii) adjustments should safeguard financial sustainability and operational effectiveness; and (iv) the voting power of the smallest and poorest members must be protected.

2.4.3 Process and options

The Committee on Governance and Executive Directors' Administrative Matters (COGAM) led the process, combining technical work and political consultations across the Board. Early in the discussions, the Selective Capital Increase (SCI) was examined because of its potential to rebalance voting power. However, the Board quickly abandoned the option and pivoted to solutions within the current capital framework, seeking a package that could be implemented practically and with broad support at this time.

Acting within the existing capital structure provides a predictable and implementable path that avoids the uncertainties, time requirements, and potential market signaling effects of new capital measures. The combined use of unallocated shares and Basic Vote adjustments can be phased, monitored, and finetuned over time, keeping the process transparent and rules based, while continuing to reflect evolving member realities.

Concretely, the package is designed to enable modest and phased improvements for under-represented members and regions, while maintaining strong protection for the smallest and poorest members by ensuring that their voting power is not diluted. At the same time, it preserves the Bank's financial strength

by sequencing adjustments in a way that avoids undermining capital adequacy or weakening the institution's standing with investors and rating agencies.

The outcome transmitted to Governors relies on (i) the use of unallocated shares and (ii) calibrated voice-related adjustments, including Basic Votes, applied consistently with the Lima Principles. The intention is to advance representation in a gradual and bounded manner, while retaining continuity in governance and protecting the Bank's credit standing. As part of the voice track, the OED advocated for more and longer Voice Secondment Program placements, with a view to building sustained analytical and policy capacity in capitals.

2.4.4 AfG1 perspective

For AfG1, the direction of this outcome aligns with three priorities that informed constituency inputs during the Review:

- i. Africa's growing role in the global economy should be more clearly reflected in the voice structure;
- ii. Low-income and fragile members must be protected from any dilution of their voting power; and
- iii. Developing countries' perspectives should continue to shape core discussions on strategy, resources, and governance.

While individual member impacts inevitably differ, the overall direction and balance of measures support these priorities and reinforce inclusive, effective multilateralism.



2.5 World Bank Group Crisis Preparedness and Response Toolkit – Implementation Update

2.5.1 Introduction

The World Bank Group (WBG)'s Crisis Preparedness and Response Toolkit is aimed at helping countries shift from ad hoc reaction to pre arranged, rapid financing and delivery of services during crises. The Toolkit combines contingent financing instruments—the Rapid Response Option (RRO), the Catastrophe Deferred Drawdown Option (Cat-DDO), and Contingent Emergency Response Projects (CERP)—with ex-ante preparedness systems covering risk analytics and triggers, delivery systems, and surge procurement/financial-management readiness.

The Toolkit is now in use across 74 countries (of which 32 are in the African Region), including many IDA borrowers, small states, and FCV settings, demonstrating how ex ante arrangements can shorten delivery times from months to days, reduce fiscal stress, and strengthen alignment with national systems to protect development gains during crises. This update provides governors and advisors with an implementation focused view of progress to date, lessons emerging from early activations, and priorities for deepening impact in FY26–27.

Using the Toolkit, countries can crowd in partner resources by aligning with humanitarian actors, climate funds, and regional risk pools to create layered protection and rapid delivery pathways. It complements insurance mechanisms and supports blended solutions, with IFC

mobilizing working capital for firms and MIGA providing guarantees to keep trade and investment flowing during shocks. In some countries Toolkit's activation processes are integrated with UN agencies, regional bodies, and humanitarian partners to avoid duplication, align targeting, and accelerate delivery. So far, implementation has shown that persistent gaps include weak subnational execution capacity, data quality challenges for targeting, and limited surge procurement readiness.

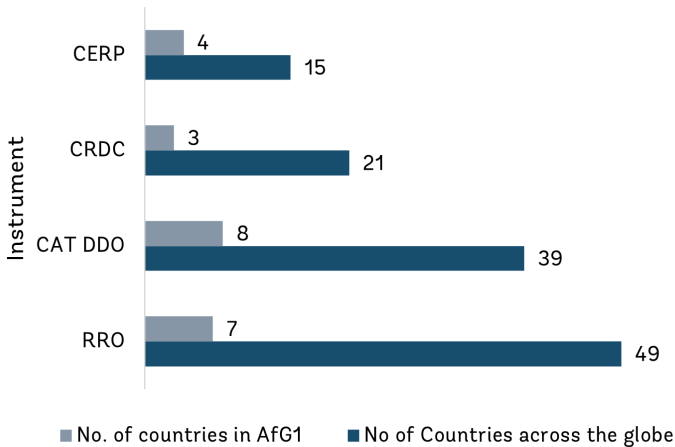
2.5.2 Progress to Date

The Toolkit's components are being mainstreamed into country portfolios, with notable adoption across Sub-Saharan Africa and the AfG1 (see Figure 2.1). Instruments such as the Rapid Response Option (RRO), Catastrophe Deferred Drawdown Options (Cat-DDO), and Contingent Emergency Response Projects (CERP) have been integrated into lending and policy engagements, often in combination to match risk profiles and institutional capacities. The Rapid Response Option (RRO) is triggered when a government requests the rapid repurposing of up to 10 percent of undisbursed IPF/PforR to an eligible crisis, with a streamlined route to disbursement, typically within about 72 hours, through either a triggerable Cat-DDO or a pre prepared CERP.

The Catastrophe Deferred Drawdown Option (Cat-DDO) provides immediate budget support upon a qualifying event and a satisfactory status on the agreed

policy program. The Contingent Emergency Response Project (CERP) allows a pre-agreed contingency component to disburse within days against a brief emergency plan and basic fiduciary and E&S readiness.

Figure 2.1: Number of Countries using the Crisis Toolkit Instruments Globally & in AfG1



Source: World Bank, 2026

Early activations of the Toolkit indicate faster mobilization, more predictable disbursement, and stronger alignment with national systems. RRO operations have delivered fiscal space for urgent needs; Cat-DDOs have provided immediate liquidity post trigger; and CERPs have enabled line ministries to redirect project resources to emergency activities while protecting core investments. The Toolkit has been activated for weather-related disasters (floods and storms), seismic events (earthquakes), and food insecurity. In 2023-2024, Malawi, for example, used the RRO to preserve essential public ser-

vices and expand shock responsive social protection during a climatic shock. The operation created immediate fiscal space while preserving core investments.

2.5.3 Country Preparedness

Governments are increasingly using risk layering by combining probabilistic hazard analysis with fiscal risk diagnostics to guide instrument choice (e.g., Cat-DDO for medium frequency weather events; RRO to buffer macro fiscal shocks). Integration with national early warning systems is improving trigger reliability and timeliness. Social protection registries, payment rails, and targeting protocols are being upgraded thereby expanding coverage, adjusting transfer values as needed, and reducing inclusion and exclusion errors. Health, education, and agriculture line ministries are building contingency plans within project designs to switch quickly to emergency modalities. Activations are embedding safeguards for vulnerable groups, including women, youth, displaced populations, and communities in FCV contexts. This includes targeting protocols that prioritize the poorest, grievance redress mechanisms that function under surge conditions, and accessible communication channels in local languages.

Authorities are encouraged to make sure that they use the different Toolkit instruments by adopting the Toolkit in their respective CPFs, and the annual budget cycle so preparedness becomes standard practice. 

2.6 From Rules to Results: Business Readiness Trends in the AfG1 Constituency

2.6.1 Introduction

A predictable and well-functioning business environment is indispensable for attracting investment, supporting firms, and creating jobs. The World Bank's Business Ready (B-Ready) program assesses three aspects that shape a firm's daily experience: whether the regulatory framework is sound, whether public services function reliably, and whether procedures are efficient in practice. This helps countries to understand how effectively their economies enable private sector growth.

The B-Ready framework examines whether the rules are clear and aligned with good practice, whether firms can access essential services – such as licensing,

tax administration, and customs – reliably and digitally, and whether procedures are simple, coordinated, and fast enough to avoid repeat visits and unnecessary delays.

The 2025 cycle expanded AfG1 countries coverage from seven to ten economies, adding Eswatini, Namibia, and South Sudan to the earlier sample of Botswana, The Gambia, Lesotho, Rwanda, Seychelles, Sierra Leone, and Tanzania. The broader coverage deepens opportunities for countries' learning across the Constituency.

To frame the discussion, it is helpful to anchor the results in a simple summary. Average scores for AfG1 countries stand at 58 for the Regulatory Framework, 40 for Public Services, and 55 for Opera-

Table 2.2: B-READY AfG1 Performance (2024-25 Score Averages)

Pillar	What it reflects	AfG1 Countries' Average			Global Average 2025	What this means
		2024 Pillar score	2025 Pillar score	Change (pp)*		
Regulatory Framework	Quality of rules	60	58	-2	66	Rules remain generally sound but softened slightly and are still short of global benchmarks. Continued efforts needed to align with good practice standards.
Public Services	Reliability and digital access	42	40	-2	54	Service delivery and digital uptake continue to lag, indicating persistent bottlenecks in access and reliability.
Operational Efficiency	Simplicity and coordination of procedures	63	55	-8	60	A marked decline points to implementation and coordination challenges that merit targeted remedial action.

*"Change (pp)" refers to the difference in percentage points, calculated as the simple subtraction between the 2024 and 2025 pillar scores. It does not represent a percent /relative change.

tional Efficiency, compared with global averages of 66, 54, and 60, in 2025 respectively. These figures show that while the rules governing businesses continue to strengthen, public service delivery remains the key obstacle, and the efficiency with which procedures are implemented is slipping. This means that the next wave of reforms must move beyond drafting good laws toward ensuring that services actually work and that firms face fewer day-to-day frictions.

B-Ready Performance Assessment

B-Ready assesses 10 topics, and each topic is evaluated across three pillars:

1. Regulatory Framework
2. Public Services
3. Operational Efficiency

A pillar score represents the average of a country's performance across the ten topics within each pillar, normalized on a 0–100 scale. Table 2.2 presents the B-Ready AfG1 performance scores for ten countries, aggregated as 2024–25 period averages to reflect regional patterns rather than individual country performance.

These findings matter because predictability is central to business decisions. Investors want to know how long it will take to obtain a permit, clear shipments, or resolve a tax query. Strong laws alone

do not provide certainty. When services are unreliable or procedures are cumbersome, firms postpone or scale back expansion – even in countries that have good regulations on paper. For AfG1 countries, the greatest constraint is weak service delivery, followed closely by the erosion in operational efficiency. Closing these gaps is essential for unlocking private investment, improving competitiveness, and generating jobs, as countries now need to focus on reliable delivery and practical efficiency – more than changing laws.

Looking ahead, the most meaningful improvements can be achieved without requiring large added resources. Countries can begin by addressing the bottlenecks that firms feel most acutely – particularly in licensing, tax administration, and border processes – while publishing clear service standards and turnaround times. Digital reforms will be most effective when back office systems are linked so that firms only enter data once, and when workflows behind the scenes are automated. Coordination across agencies also needs to be institutionalized through problem solving groups aligned with the B-Ready pillars, with regular reviews to unlock procedures and reduce backlogs.

The most immediate improvements to strengthening public services and simplifying procedures, lie in end to end digitalization, better coordination across institutions, and reforms centered on the needs of firms. Converting stronger rules into reliable services and faster processes will be essential for attracting investment, boosting competitiveness, and generating jobs across the Constituency. 

2.7 Advanced Technologies in the Energy Sector: Implications for AfG1 Countries

2.7.1 Introduction

Reliable, affordable, and clean energy remains central to growth, service delivery, and competitiveness across AfG1 countries. While solar, wind, hydro-power, and natural gas will continue to dominate the generation mix, the pipeline of complementary technologies is widening. This update focuses on three areas with growing policy interest - modern bioenergy, ocean energy (with an emphasis on deep sea water cooling), and carbon capture, utilization, and storage (CCUS) - and highlights cost signals that matter for sequencing, fiscal impact, and private capital mobilization.

2.7.2 Modern bioenergy

Modern bioenergy remains the world's most widely used renewable energy source because many households rely on it for cooking. In AfG1 countries, the most important use of modern bioenergy today is helping families shift from traditional, harmful cooking fuels to cleaner options. This is urgent because traditional fuels damage health and contribute to deforestation. In the near term, countries need to expand access to modern bioenergy, alongside electricity, liquefied petroleum gas, and other clean-cooking solutions, using policies and subsidies that fit local markets.

Bioenergy is considerably less competitive, however, in power generation and transport fuels. Large-scale biomass power usually costs US\$0.10–0.15

per kWh, which is higher than the cost of large-scale solar or onshore wind in many countries. Biofuels reach financial viability only when oil prices stay at sustained US\$75–90 per barrel. These cost dynamics confine modern bioenergy's near-term comparative advantage to clean cooking, small off-grid uses, and waste-to-energy projects, rather than large-scale power generation or transport fuel production. Its broader role will depend on improvements to feedstock supply systems, production efficiency, and environmental safeguards.

2.7.3 Ocean energy

Ocean energy remains strategically relevant in planning, but near term deployment prospects are mixed. Grid scale tidal stream and wave technologies are still at demonstration scale globally, with installed capacities under 20 MW each and levelized costs commonly above US\$0.20/kWh, underscoring why they are unlikely to contribute materially to AfG1 countries power supply in the next few years. Tidal-range systems can operate cheaply in places with exceptionally large tides, but these conditions are uncommon along the coastlines of equatorial AfG1 countries. Because of this limited natural potential, the World Bank has focused on studying the resource, reviewing regulatory and permitting needs, and comparing options, rather than moving toward actual construction.

2.7.4 Sea Water Air Conditioning

By contrast, Sea Water Air Conditioning (SWAC) is gaining momentum where bathymetric conditions are favorable, specifically where the seafloor descends steeply to allow deep cold water to be piped ashore over short distance. Instead of relying on high-electricity cooling systems, SWAC uses naturally cold seawater, about 6–7°C, to cool buildings. Where site conditions are suitable, this can reduce cooling electricity consumption by 80–90 percent, with commensurate reductions in operating costs.

World Bank studies in the Caribbean document significant cost and emissions savings for coastal hotels, hospitals, universities, and data centers. Similar assessments underway in Mauritius and Grenada are evaluating operational reliability and safety, including under severe storms like Category 5 hurricanes. For African countries, however, both the technical suitability and cost-effectiveness of SWAC technology have not yet been proven; further analysis is a prerequisite for any large-scale adoption.

In small island settings, combining Ocean Thermal Energy Conversion (OTEC) with SWAC has produced estimated Levelized Cost of Energy (LCOE) of about US\$0.16 per kWh, compared with around US\$0.46 per kWh for diesel power. While electricity generation through OTEC remains expensive and depends heavily on local ocean conditions, the cooling benefits alone make SWAC attractive for African coastal cities where favorable bathymetric conditions bring deep ocean water close to shore.

As demand for cooling grows in African ports and tourism areas, SWAC becomes particularly viable when large anchor users – such as hotels, office districts, or industrial parks—can commit to offtake, providing stable revenue that underpins project financing.

2.7.5 Carbon capture, utilization, and storage

Carbon capture, utilization, and storage (CCUS) address a distinct challenge: reducing process emissions in sectors where viable substitutes do not exist. Industries such as cement, steel, fertilizers, and gas-fired power will continue to be essential for development, yet each produce emissions that cannot be materially reduced without carbon capture. Africa's geological endowment is well-suited to storage: many countries have large rift basins and deep saline aquifers capable of holding significant volumes of CO₂. Global projections also expect more CCUS investment to shift toward emerging markets by 2030, contingent on countries first identifying suitable storage sites and establishing the requisite regulatory frameworks. For AfG1, the priority is to protect future industrial competitiveness as global carbon constraints tighten, not to displace low cost renewables but to complement them where process emissions persist.

2.7.6 Short-term Priorities

These technologies warrant differentiated near term actions. On cost grounds, the clearest path forward is to scale up clean-cooking bioenergy quickly, deploy SWAC selectively where un-

derwater depth and seafloor features in coastal and near-shore areas are favorable, and begin early CCUS groundwork by mapping suitable storage sites before developing shared capture infrastructure. This sequencing protects future industrial competitiveness as global carbon rules tighten, while avoiding premature or fiscally exposed investments. It also ensures that each technology is adopted only where and when it becomes cost-effective, balancing fiscal responsibility with development impact.

2.7.7 Overall Viability and Strategic Implications for AfG1 Countries

Taken together, the assessment shows that while all three technological pathways hold long-term potential, their near term viability for AfG1 countries varies considerably, underscoring the importance of a sequenced, fiscally prudent approach. Modern bioenergy offers the

most immediate and scalable development gains through clean cooking transitions, with limited economic rationale for large scale power or transport fuel production at current cost levels. Ocean energy technologies remain largely unproven for African contexts, whereas Sea Water Air Conditioning presents a promising niche opportunity for selected coastal cities where deep water conditions and large anchor consumers align. CCUS is strategically important for future industrial competitiveness, but progress hinges on early geological assessment and regulatory readiness. For AfG1 countries, the most viable path forward is therefore a differentiated strategy—rapidly expanding clean cooking solutions, advancing SWAC selectively where conditions justify it, and initiating low cost preparatory steps for CCUS—ensuring that technology adoption remains aligned with affordability, system needs, and long-term economic resilience. 

2.8 A Proposal for IBRD Step-up Loan: Instrument for Scaling Infrastructure and Mobilizing Private Capital

Introduced in 2025, the IBRD Step-up Loan (SuL) is an innovative financing feature designed to accelerate infrastructure development, mobilize private capital, and enhance the development impact of IBRD resources. Developed under the broader WBG Evolution agenda, the SuL responds to a pressing challenge: emerging markets face an estimated US\$1.5 trillion annual infrastructure financing gap, far beyond what public budgets and traditional sovereign borrowing can meet. By combining affordability at the outset with

incentives for refinancing, the SuL supports countries in advancing major infrastructure programs while strengthening the efficiency and reach of IBRD lending.

The SuL is structured to encourage borrowers to seek private financing once project risks begin to decline—typically after the construction or early implementation phase. This enables IBRD capital to be redeployed more rapidly to new priorities, helping countries build the foundational infrastructure needed to stimulate investment and job creation. As the global

economy anticipates more than 1.2 billion new entrants into the workforce over the next decade, the SuL plays a critical role in supporting governments to expand economic opportunities and strengthen resilience.

The SuL introduces a two stage pricing system within the IBRD Flexible Loan (IFL):

 Incentive Period (Years 1–8):

Borrowers benefit from significantly reduced borrowing costs, as the maturity premium is waived or lowered. This ensures affordability during the high risk implementation phase when financial pressures are greatest.

 Step-up Period (Year 9 onward):

If borrowers have not refinanced by year eight, the loan's pricing transitions would include the standard twenty year maturity premium plus an adjustment spread. This makes the SuL financially equivalent, in present value terms, to a standard long maturity IFL, while still rewarding borrowers who refinance earlier. Importantly, no prepayment premium applies, allowing borrowers to refinance when market conditions are favorable.

The SuL is available for Investment Project Financing (IPF) and Program for Results (PforR) operations, especially those in sectors with strong potential for revenue generation or capital market re-financing. These include transport, water and sanitation, digital infrastructure, energy, and housing. A minimum loan size

of US\$100 million ensures cost efficiency and supports high value operations that align with country development strategies. The instrument is designed to foster deep collaboration across the WBG, with IFC and MIGA engaged throughout the project cycle, from initial structuring through refinancing.

Initial pilot projects indicate that, the SuL lowers costs for clients during implementation and creates a clear pathway to market based financing. It also offers a mechanism for recycling capital more than twice as fast as under traditional structures, expanding the Bank's ability to support transformational infrastructure within its existing balance sheet envelope of IBRD.

Recognizing that refinancing involves capacity and timing risks, the WBG has integrated robust safeguards into the SuL framework—early screening for refinancing potential, enhanced supervision starting 36 months before the Step-up date and coordinated support from IFC and MIGA. Borrowers are clearly informed that Step-up dates will not be extended, ensuring transparency and predictable financial planning.

For AfG1 countries, the Step-Up Loan provides affordable financing during the high-risk early implementation phase, allowing governments to advance transformative, revenue-generating infrastructure. 

CHAPTER 3

WORLD BANK GROUP OPERATIONS



The Executive Director (center) at the construction site at the Tacugama Sanctuary with the contractor, in Sierra Leone

CHAPTER 3: WORLD BANK GROUP OPERATIONS

This chapter presents an overview of the operational performance of the four institutions of the World Bank Group (WBG), beginning with IBRD, followed by IDA, IFC, and MIGA, with a particular focus on developments in Constituency countries. It reviews IBRD commitments and disbursements; IDA financing and portfolio trends; IFC's investment and advisory operations—including commitments, disbursements, PSW-supported activities, and its investment pipeline; and MIGA's guarantee operations with a specific emphasis on Sub-Saharan Africa (SSA). The chapter also highlights emerging operational trends across AfG1 countries, including portfolio performance, disbursement momentum, and areas where additional attention may strengthen development outcomes. By providing a consolidated view of each institution's activities, the chapter aims to give a clear and coherent picture of the WBG's overall support to the Constituency and its evolving operational priorities.

3.1 World Bank Operations

3.1.1 IBRD Operations

3.1.1.1 Lending Operations

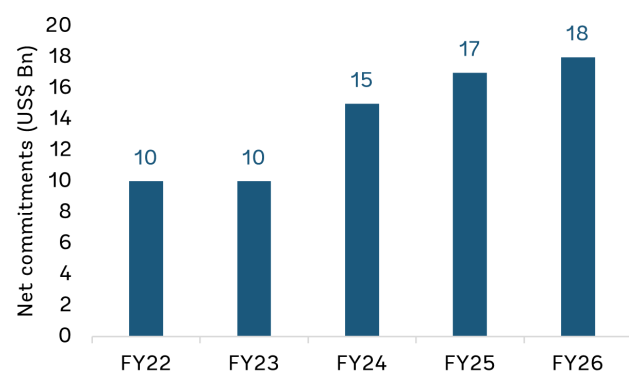
During FY26 H1, IBRD lending activity remained elevated, reflecting sustained demand from middle-income countries amid elevated global interest rates, tighter external financing conditions, and heightened macro financial uncertainty. Net commitments reached US\$18.8 billion, continuing the upward trajectory observed since FY24 and exceeding the comparable FY25 period. This performance underscores IBRD's continued role as a counter-cyclical source of stable, longer tenor financing for creditworthy borrowers facing volatile market conditions.

Gross loan disbursements totaled US\$14.1 billion, yielding net disbursements of US\$4.9 billion. While disbursements moderated relative to FY25, the gap between strong commitments and softer disbursement flows primarily reflects

implementation timing effects, including project start up delays, procurement constraints, and the sequencing of policy based operations, rather than a weakening of underlying demand or portfolio performance.

As of December 31, 2025, IBRD net loans outstanding reached US\$285.0 billion, reflecting both sustained new lending and prudent balance sheet management. This level remains consistent with IBRD's capital adequacy framework, even

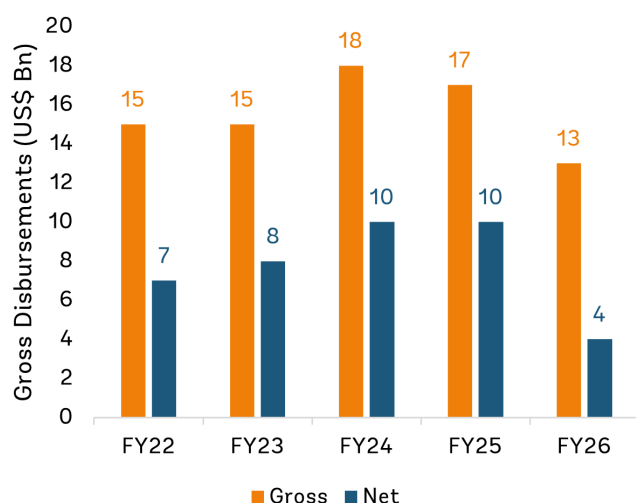
Figure 3.1: IBRD Net Commitments YTD (US\$ Bn)



Source: World Bank 2026

as the institution continues to respond to overlapping global shocks. Figure 3.1 and Figure 3.2 show respectively the steady rise in net commitments over recent fiscal years, alongside a moderation in gross and net disbursements in FY26 H1.

Figure 3.2: IBRD Gross Disbursements (US\$ Bn)



Source: World Bank 2026

3.1.1.2 Regional Commitments

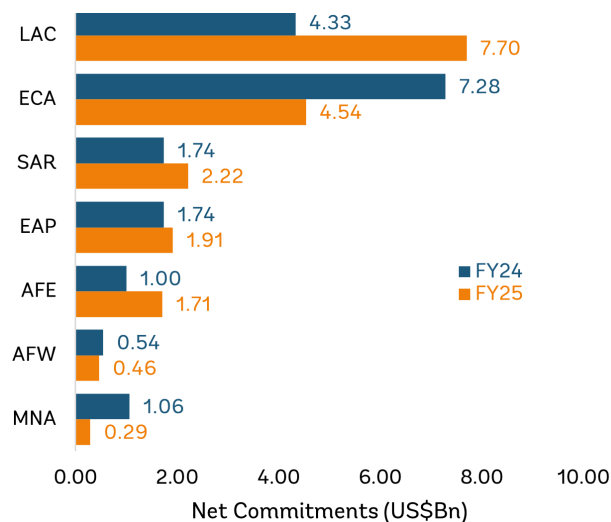
The regional distribution of IBRD commitments in FY26 H1 highlights where financing needs remain most acute. Latin America and the Caribbean (LAC) accounted for 41 percent of total net commitments, reflecting continued reliance on IBRD support for macro fiscal stabilization, climate-related investments, and social protection reforms. Europe and Central Asia (ECA) followed with 24 percent, driven by spillovers from heightened regional uncertainties, energy security needs, and post crisis adjustment programs (Figure 3.3).

While smaller in absolute terms, commitments to IBRD eligible SSA countries

are strategically significant. Within AfG1, Botswana, Kenya, Namibia, Seychelles, and Eswatini continue to rely on IBRD financing to support growth enhancing infrastructure, institutional reforms, climate resilience, and fiscal sustainability, particularly where market borrowing costs remain elevated or volatile.

Overall, net commitments increased by US\$1.1 billion compared with FY25 H1, reinforcing IBRD's role as a preferred financing partner for middle-income countries navigating a challenging external environment.

Figure 3.3: IBRD Net Commitments by Region (US\$ Bn)



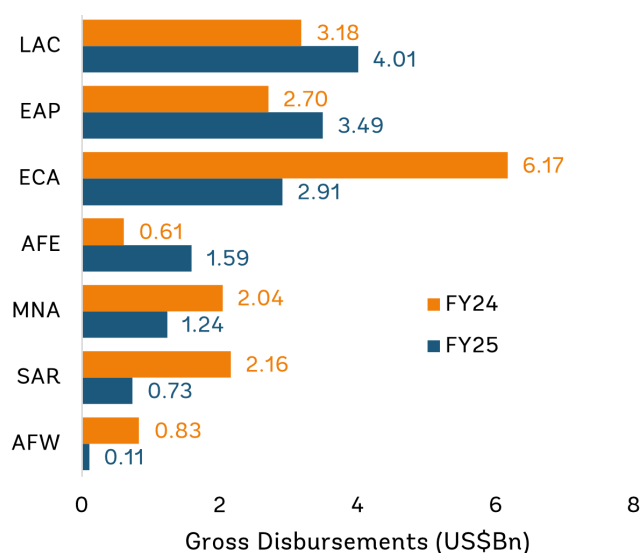
Source: World Bank 2026

3.1.1.3 Disbursement Trends and Portfolio Dynamics

As shown in Figure 3.4, IBRD gross disbursements declined by US\$3.6 billion compared with FY25 H1, primarily due to lower disbursement levels in Europe and Central Asia (ECA), which nevertheless continued to account for one of the

largest shares of regional disbursements. This moderation is attributable to a combination of front loaded disbursements in earlier periods, project specific implementation delays, and the timing of policy

Figure 3.4: IBRD Gross Disbursements by Region (US\$ Bn)



Source: World Bank 2026

based lending tranches, rather than systemic portfolio weakness.

From a portfolio management perspective, these trends underscore the importance of appropriate pacing, aligning approvals with implementation readiness and absorptive capacity. For AfG1 middle-income countries, timely execution is critical to maximize the development impact of IBRD resources and to avoid prolonged undisbursed balances, particularly in a high interest rate environment.

3.1.1.4 Implications for AfG1 Middle-income Countries and IBRD Going Forward

Looking ahead, FY26 H1 results point to continued strength in IBRD demand, alongside the need for sharper focus on execution and portfolio quality. For AfG1 middle-income countries, three priorities stand out:

- Strengthening project readiness

Box 3.1: IBRD's Role in Middle-income Countries in a High-Interest Rate Environment

Persistently high global interest rates and tighter financial conditions have increased refinancing risks and borrowing costs for many middle-income countries. In this context, IBRD financing plays a stabilizing role by offering longer maturities, predictable terms, and embedded policy dialogue that market instruments often cannot provide during periods of volatility.

For AfG1 middle-income members, IBRD support has been particularly important in:

- Smoothing financing conditions during periods of market stress;
- Supporting reform linked operations that strengthen fiscal frameworks, institutions, and climate resilience; and
- Facilitating orderly transitions, including IBRD graduation pathways, through a combination of financing, technical assistance, and policy engagement.

As market conditions remain uncertain, sustained access to IBRD financing, paired with strong project readiness and portfolio discipline, will remain central to supporting macroeconomic stability and long-term development outcomes for AfG1 middle-income countries.

and implementation capacity to translate approvals into timely disbursements;

- Active portfolio management, including restructuring where needed, to safeguard development outcomes; and
- Strategic use of IBRD financing, alongside technical assistance, to support reforms, climate adaptation, and resilience in a high cost financing environment.

From an institutional perspective, maintaining the balance between scaling lending and preserving balance sheet strength will remain central to IBRD's ability to support clients at scale. Targeted engagement to address implementation bottlenecks and align new commitments with country capacity will be essential to sustaining IBRD's development impact for AfG1 middle-income members through FY26 and beyond.

3.1.2. IDA Operations

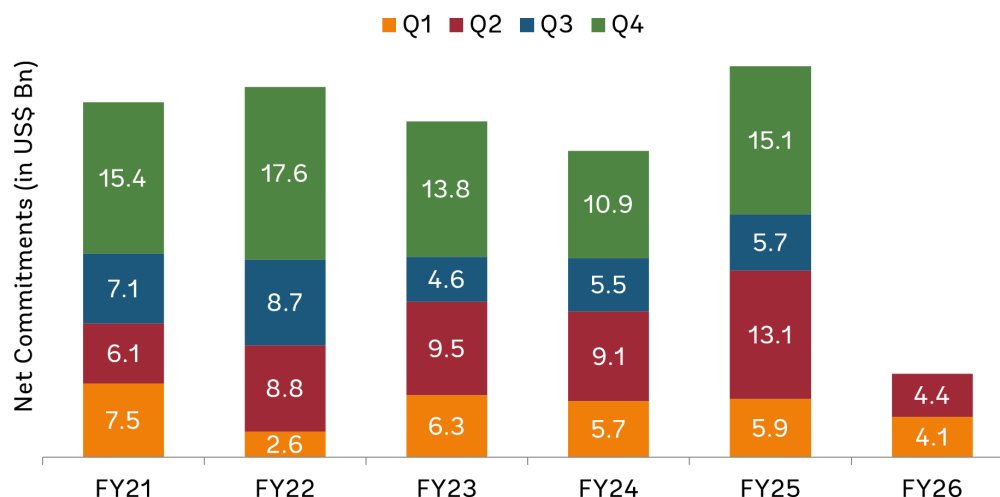
IDA operations commenced FY26 from a position of financial strength, underpinned by an expanded balance sheet and the launch of IDA21 at scale. FY26 marks the first implementation year of

IDA21, supported by a historic replenishment envelope of US\$99.9 billion, including nearly US\$24 billion in donor contributions, providing IDA with unprecedented capacity to support low-income and fragile countries during a period of heightened global uncertainty. As of December 31, 2025, IDA's total assets reached US\$286.4 billion, with net loans outstanding of about US\$226.4 billion, reflecting both strong recent commitments and accelerated disbursements over the past two fiscal years. Overall, IDA21 has strengthened IDA's financial capacity, enabling sustained high volume support while preserving capital adequacy.

3.1.2.1 FY26 H1 Commitments and Early IDA21 Implementation

IDA21 commitments began at a steady pace in FY26 H1 (see Figure 3.5 below), reflecting deliberate sequencing rather than weak demand or financing capacity. During FY26 H1, IDA commitments totaled US\$8.5 billion year to date, well below the exceptionally front loaded pace recorded in FY25 H1 (US\$19 billion) and the FY25

Figure 3.5: IDA Net Commitments FY21-FY26 H1



Source: World Bank 2026

full year total of US\$39.8 billion, when crisis-related operations accelerated approvals. This moderation is consistent with Management’s approach to pacing at the start of a new replenishment cycle, thereby allowing pipelines to mature, new windows to become operational, and country programs to align with updated CPF and policy frameworks.

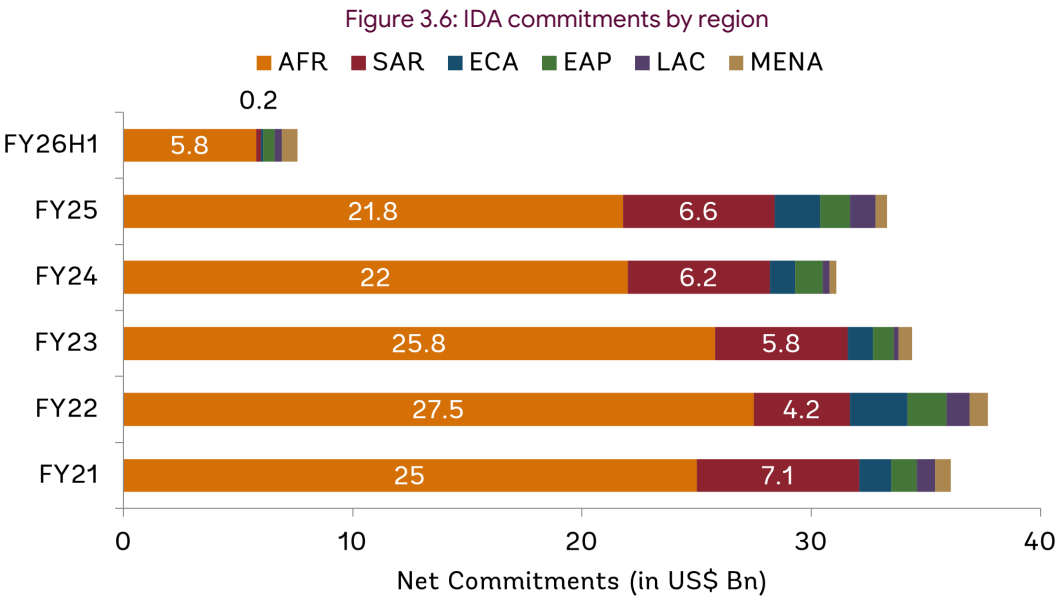
3.1.2.2 Regional Distribution of IDA Commitments

Sub-Saharan Africa, representing the African Region, remains the core destination of IDA resources, both structurally and in FY26 H1 (see Figure 3.6: IDA commitments by region). As of FY26 H1, the region continued to represent the largest share of around two thirds of IDA commitments, consistent with historical patterns and reflecting the region’s concentration of IDA eligible countries and Fragile and Conflict-affected Situations (FCS). South Asia (SAR) remains the second largest recipient, while other regions account for comparatively smaller shares

aligned with eligibility and country needs. These patterns mirror the multi year trend observed over FY21–FY25, during which Africa consistently received over 60 per-cent of total IDA commitments. This confirms that IDA21 continues to anchor its resources where development needs and vulnerability are most acute

3.1.2.3 Disbursements and Portfolio Performance

Disbursement performance through FY26 H1 underscores strong portfolio execution and improved absorption capacity. Gross disbursements reached approximately US\$33.1 billion in FY25 and remained elevated into FY26 H1, with gross disbursements totaling about US\$12.3 billion. This performance was supported by large, mature operations approved under IDA19–IDA20 and the continued execution of crisis response projects. As of December 31, 2025, disbursements under IDA21 eligible operations were tracking broadly in line with historical mid year norms, while Africa continued to account



Source: World Bank 2026

for the majority of disbursement volumes, consistent with its dominant share of the IDA portfolio. The sustained disbursement momentum signals healthy portfolio implementation, even as new IDA21 commitments ramp up gradually.

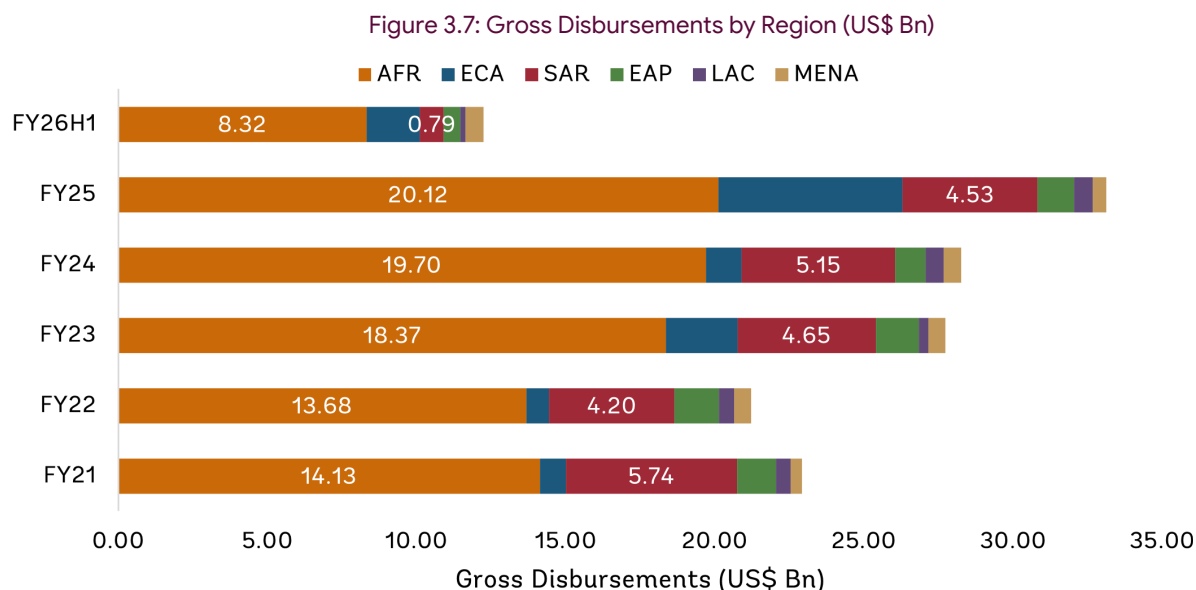
3.1.2.4 Allocation Architecture and Windows under IDA21

The Performance Based Allocation (PBA) system remains the backbone of IDA financing, complemented by targeted and scale up windows. As reflected in FY25 outcomes and early FY26 patterns, Performance Based Allocation (PBA)–driven financing continues to account for around 80 percent of IDA commitments, providing predictability and strong alignment with country strategies. Under IDA21, this core allocation framework is complemented by a set of targeted windows– including the Private Sector Window (PSW), Crisis Response Window (CRW), Scale Up Window, and the Global and Regional Opportunity Window (GROW), which superseded the earli-

er Regional Window; thereby enhancing IDA’s ability to respond flexibly to shocks, support regional public goods, and accelerate high impact programs where country capacity permits.

3.1.2.5 IDA21, Fragility, and High Risk Contexts

IDA’s financial footprint in Fragile and Conflict-affected Situations continues to expand, reinforcing its role as the system’s primary shock response instrument. Across FY21–FY26 H1, IDA financing to Fragile and Conflict-affected Situations (FCS) has consistently exceeded IBRD volumes, both in commitments and disbursements, reflecting the growing share of IDA eligible countries classified as FCS and the expanded use of crisis response, refugee, and community focused instruments. This pattern has carried into the early implementation of IDA21, with FCS countries continuing to receive a substantial share of new approvals and disbursements, underscoring that IDA21 is structurally oriented toward addressing



Source: World Bank 2026

fragility and vulnerability as a core feature of its financing model rather than as an episodic response to shocks alone.

3.1.2.6 Private Sector Window (PSW) under IDA21

The IDA21 Private Sector Window is beginning to mobilize capital in the most challenging markets, albeit gradually. Under IDA21, US\$3.2 billion has been allocated to the Private Sector Window (PSW), including US\$500 million of IFC economic capital set aside. As of FY26 H1, approximately US\$150 million had been committed from the IDA PSW envelope, alongside about US\$66 million from IFC's set aside, supporting high risk projects in IDA and Fragile and Conflict-affected Situations (FCS) contexts where private capital remains scarce. While early utilization remains modest, this pattern reflects the deliberate build up of a complex pipeline and the sequencing of risk mitigation structures, with PSW deployment expected to scale progressively as projects ma-

ture and blended finance arrangements are finalized.

3.1.2.7 Forward Looking Implications for IDA21 Implementation

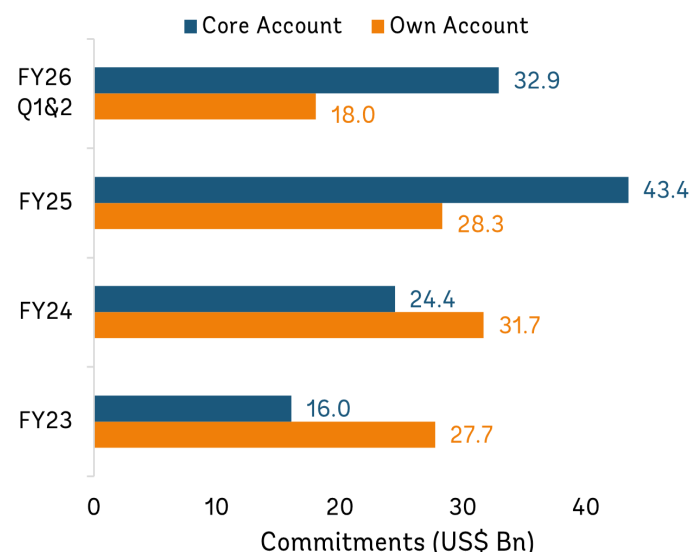
Looking ahead, the central challenge for IDA21 is not resource availability, but execution at scale. With a historically strong balance sheet and ample deployable capital – reflected in a Deployable Strategic Capital Ratio above 30 percent as of December 31, 2025 – IDA is well positioned to scale commitments through the remainder of FY26 and beyond. The focus now shifts to accelerating preparation, addressing implementation bottlenecks, and ensuring timely deployment of crisis and private sector oriented windows, particularly in lower capacity and FCS environments. In sum, IDA21 provides the financial means; effective pacing and execution will determine its development impact. 

3.2 IFC Operations

The International Finance Corporation (IFC), which serves as the WBG's private sector arm, promotes economic development by supporting the growth of productive private enterprises in member countries, especially in less developed regions, thus complementing the activities of IBRD and IDA.

IFC's FY26 H1 performance reflects a solid operational momentum, marked by sustained investment activity and an expanding portfolio across priority sectors and markets. IFC delivers own account

Figure 3.8: IFC's commitments by OA and CM from FY23 to FY26 H1 in US\$ Bn



Source: World Bank 2026

investments and mobilizes private capital alongside its commitments through Private Capital Mobilization (PCM), complemented by upstream advisory services that market creation and accelerate project readiness. In FY26 H1, total commitments reached US\$50.9 billion with Own Account at US\$18.02 billion and Core Mobilization at US\$32.89 billion (Figure 3.8).

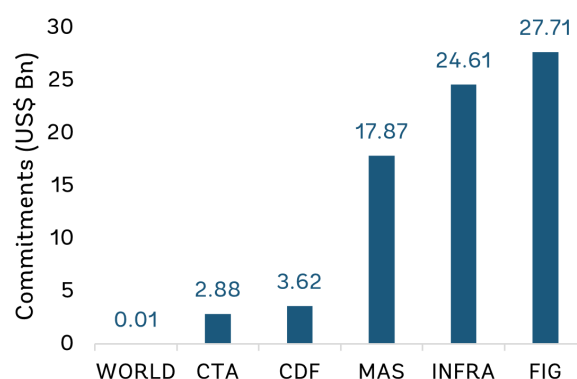
Private Capital Mobilization (PCM) rose strongly to US\$29.1 billion in FY26 H1, up from US\$25.4 billion a year earlier, underscoring IFC's growing catalytic role. The increase was driven primarily by higher private direct mobilization alongside IFC's own commitments, reflecting deeper engagement with institutional investors and the scaling up of portfolio-based platforms. These trends reinforce IFC's strategic emphasis on mobilization at scale.

3.3.1 Regional and Industry Trends

During FY23–FY26 H1, cumulative commitments totaled US\$222.3 billion, with Africa accounting for 22.8 percent, underscoring the region's sustained priority within IFC's global engagement. The sectoral composition over this period highlights a strong concentration in the Financial Institutions Group (FIG), which accounted for 48 percent of total commitments, reflecting IFC's continued reliance on financial intermediaries to scale private sector impact, deepen financial inclusion, and channel resources efficiently across markets. This was followed by Manufacturing, Agribusiness, and Services (MAS) at 24.4 percent, signaling steady support for real sector activity, value chain development, and job cre-

ation, while Infrastructure accounted for 15 percent, consistent with IFC's focus on addressing binding constraints to growth through energy, transport, and digital connectivity (Figure 3.9). Cross-Cutting Advisory and Thematic Areas and Climate Advisory and Technical Support together comprise the residual share, reinforcing the growing integration of upstream, advisory, and climate-related interventions alongside investment operations.

Figure 3.9: IFC's commitments by Sector from FY23 to FY26 H1 US\$ Bn



Source: World Bank 2026

Commitments accelerated markedly in FY25, rising 21.7 percent over FY24 (US\$71.7 billion versus US\$56.1 billion), reflecting both stronger demand and an expanded use of mobilization instruments. With FY26 commitments reaching approximately 71 percent of the FY25 level by mid year, the current trajectory suggests that, if momentum is sustained, FY26 could register growth of roughly 30 percent over FY25. This prospective outturn points to continued scaling of IFC's platform, with mobilization-led growth reinforcing its catalytic role, while also implying rising demands on pipeline quality, risk management, and disburse-

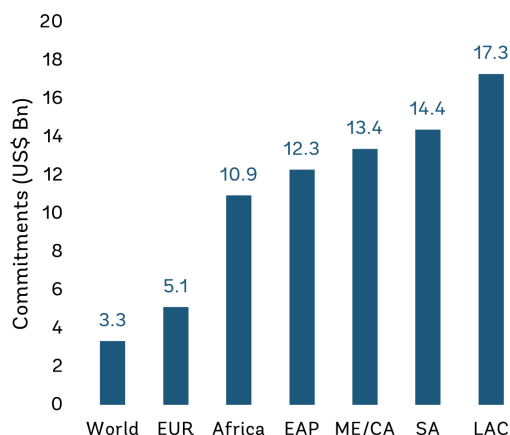
ment capacity—particularly in high risk and IDA eligible markets.

3.3.2 Project Volume and Pipeline

The IFC investment program comprised 1,630 projects during FY23–FY26 H1, reflecting a sustained volume of activity across regions and sectors. Project approvals increased by 4 percent from FY24 (449 projects) to FY25 (466 projects), indicating continued pipeline expansion despite a more complex global operating environment (Figure 3.10 and 3.11). Africa accounted for 28 percent of total projects (460), underscoring IFC’s strong operational focus on IDA eligible and higher risk markets, where project volumes remain essential for delivering development impact and market creation. This was followed by Latin America and the Caribbean (LAC) with 324 projects (19.9 percent), while the remaining regions collectively accounted for 51 percent, pointing to a broadly diversified geographic footprint.

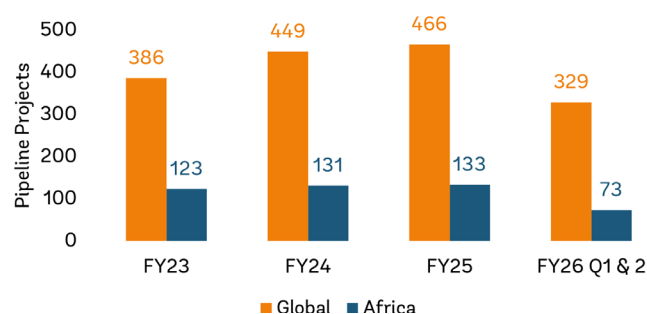
Looking ahead, the FY26 investment pipeline suggests a continued region-

Figure 3.10: IFC’s Investment Projects from FY23 to FY26 H1 US\$ Bn



Source: World Bank 2026

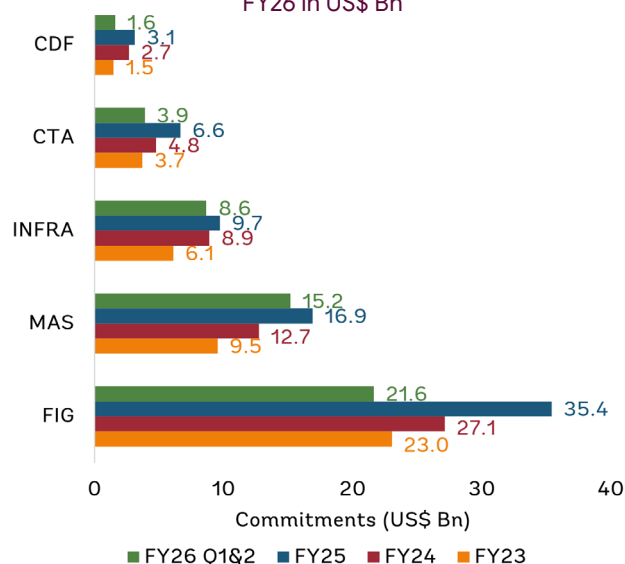
Figure 3.11: IFC’s Investment Pipeline Projects for FY23–FY26 Africa vs the rest



Source: World Bank 2026

al concentration in LAC, South Asia, and the Middle East and Central Asia (MECA), reflecting both stronger private sector demand and more advanced project readiness in these markets. By industry, the pipeline is most heavily concentrated in Financial Institutions Group (FIG), Infrastructure (INFRA), and Manufacturing, Agribusiness, and Services (MAS), consistent with IFC’s strategic emphasis on financial intermediation, enabling infrastructure, and real sector growth (Figure 3.12). This composition indicates a deliberate balance between scale oriented platforms – particularly through FIG – and more complex, capital intensive

Figure 3.12: IFC’s Investment Pipeline by Industry for FY26 in US\$ Bn



Source: World Bank 2026

investments in infrastructure and productive sectors, with implications for execution capacity, risk management, and upstream engagement as IFC moves into the second half of FY26.

3.3.3 Private Sector Window (PSW)

In FY26 Year-To-Date (YTD), US\$150 million was committed under the IDA21 PSW envelope, alongside US\$66 million from IFC's capital set aside, enabling IFC to advance high impact projects in markets where risks are elevated and private capital remains scarce. By deploying blended finance, guarantees, synthetic equity, and local currency solutions, the PSW mitigates credit, currency, and tenor risks, allowing IFC to structure bankable transactions and crowd in private co-investment. This is particularly critical in FCS, where financing gaps remain acute and conventional market solutions are insufficient. Beyond individual transactions, PSW supported operations contribute to market creation by demonstrating viability, reducing risk perceptions, and supporting the gradual deepening of private sector participation, reinforcing IFC's shift toward mobilization

led, high impact operations.

3.3.4 Advisory Services and Upstream

IFC complements financing with advisory services that improve business environments and unlock investment, especially critical in FCS. Leveraging its expertise, IFC offers advice, problem solving, and training to clients, industries, and governments worldwide. IFC's Advisory focuses on regulatory reform, ESG standards, risk mitigation, and innovative financing, aligning with WBG strategy and helping clients and governments make sustainable, growth-oriented decisions.

IFC's advisory and upstream work continued to underpin market creation in FY26 by combining regulatory and institutional reforms with transaction support to unlock private capital. In H1 FY26, Upstream and Advisory program expenditure reached US\$129 million, while advisory-related income totaled US\$116 million, reflecting ongoing demand for reform design, implementation assistance, and project preparation services that generate bankable pipelines and mobilized finance. 

3.3 MIGA Operations

The Multilateral Investment Guarantee Agency (MIGA) continues to serve as a core World Bank Group instrument for derisking private investment in challenging markets. In an environment of tighter global financing conditions and elevated sovereign and sub sovereign risks, MIGA's political risk insurance and credit enhancement guarantees remain central to sustaining investor confidence and enabling project bankability in infra-

structure, energy, and financial sector intermediation.

MIGA's finances remain sound. Earnings in FY26 H1 continue to be supported by premium income, complemented by conservative investment management and prudent outward reinsurance, positioning the Agency to keep supporting pipeline conversion in IDA eligible and FCS markets. Recent years underline this trajectory: new guarantees rose from a

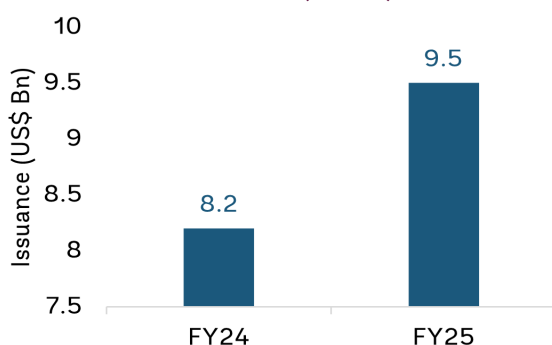
FY23 baseline to US\$8.2 billion across forty projects in FY24, and to US\$9.5 billion across forty-four projects in FY25, with gross outstanding exposure increasing from US\$31.5 billion (FY24) to US\$34.8 billion (FY26 H1) – Figures 3.13 and 3.14.

In FY26 H1, MIGA's operations remained concentrated in high-impact sectors—energy, infrastructure, and financial services—with a continued emphasis on IDA and FCS countries; in Africa, recent and ongoing guarantees supported renewable generation and grid-linked offtake arrangements with national utilities, as well as risk-sharing facilities that expand local-currency lending through partner financial institutions, building on regional support of US\$2.7 billion across twenty-six projects in sixteen countries in FY24 and US\$1.0 billion of guarantees in FY25 alongside US\$2.5 billion in commitments under the WBG Guarantee Platform, including renewable energy projects in Kenya selling power to the national utility

3.3.1 Regional perspective

Sub-Saharan Africa - especially AfG1 countries -remains a major area of focus for MIGA, given higher political and regulatory risks that often limit private investment in sectors such as energy, trans-

Figure 3.13: MIGA Annual Guarantee Issuance: FY24 vs. FY25 (US\$ Bn)

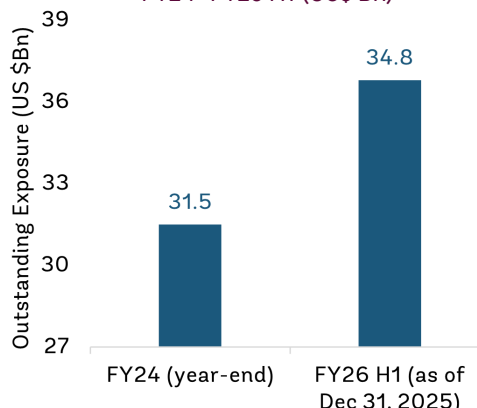


Source: MIGA Condensed Quarterly Financial Statements pack for H1 FY26

port, or water. In such settings, private participation is feasible but held back by concerns regarding the reliability of government's financial participation over the project's lifetime or that of utility partners to meet contractual obligations, currency-convertibility and transfer risks, and policy or regulatory uncertainty. MIGA's product mix – credit enhancement guarantees such as Non -Honoring of Financial Obligations and political risk insurance for equity, shareholder loans, and project debt – continued to address these constraints through FY24–FY25 as issuance and exposure expanded.

Viewed collectively, MIGA's toolset remains highly complementary to IBRD and IDA policy operations, as well as IFC financing. For AfG1 countries, the most immediate value lies in strengthening the bankability of infrastructure and energy projects and ensuring that critical counterparties remain financially reliable so that private capital continues to flow. With FY26 H1 concluded and showing stability, and with multiyear momentum in issuance and exposure, MIGA enters the remainder of FY26 with the capacity to scale support while maintaining disciplined pricing, re-insurance, and concentration management.

Figure 3.14: MIGA Gross Outstanding Exposure FY24–FY26 H1 (US\$ Bn)



Source: MIGA Condensed Quarterly Financial Statements pack for H1 FY26

CHAPTER 4

IMPLEMENTATION PROGRESS OF THE OED MEDIUM-TERM STRATEGY



**The Executive Director meeting with H.E. President Chapo and
WBG Governor and Minister of Finance Hon. Loveira at the State
House in Maputo, Mozambique**

CHAPTER 4: IMPLEMENTATION PROGRESS OF OED MTS

This Chapter provides an update of the progress made by the OED in implementing the Medium-Term Office Strategy 2025-2028, detailing achievements against each of the four strategic objectives of (i) mobilizing financial and technical resources; (ii) enhancing private sector investment; (iii) supporting capacity development, diversity, and inclusion; and (iv) enhancing engagement with constituency countries.

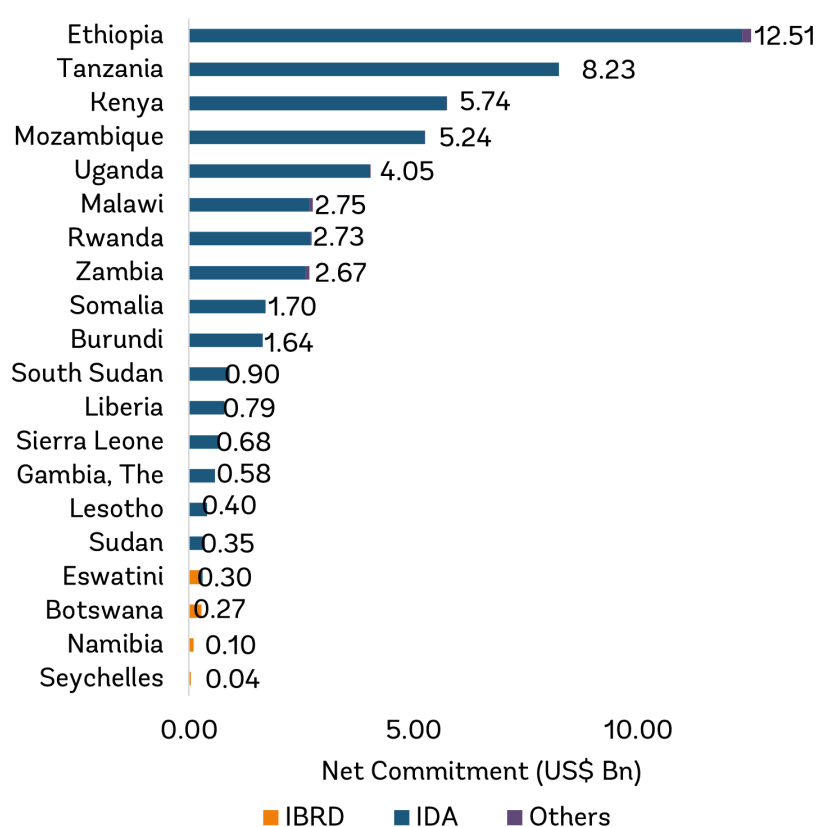
The chapter assesses how these priorities have been translated into concrete actions and measurable results in the region's portfolio during the reporting period, drawing attention to areas where notable progress has been achieved. It also identifies remaining evolving priorities that will shape the Office's focus in the final stages of the Strategy's implementation. In doing so, the chapter aims to provide a clear basis for continued alignment between the Office's strategic direction and the development needs of its Constituency countries.

4.1 Strategic Goal 1: Mobilizing Financial and Technical Resources

The OED continued to advocate for increased WBG support to Constituency countries under the three objectives of: (i) enhancing advocacy for increased resource flows to Constituency countries, (ii) advocating for increased access to concessional and technical IBRD resources for middle-income countries and (iii) advocating for strengthened support for FCV countries and countries in non-acrual status.

Africa Group 1 Constituency (AfG1) countries continued to mobilize resources at meaningful scale while working to convert commitments into timely results. During FY26, the Constituency's portfolio performance reflected strong lending volumes, sustained disbursement momentum, and a robust pipeline across IDA and IBRD operations. The active portfolio reached US\$51.7 billion as of February 3, 2026, of which IDA commitments account for US\$50.6 billion, IBRD com-

Figure 4.1: AfG1 Net Commitment by Type of Financing (US\$ Bn)



Source: World Bank 2026

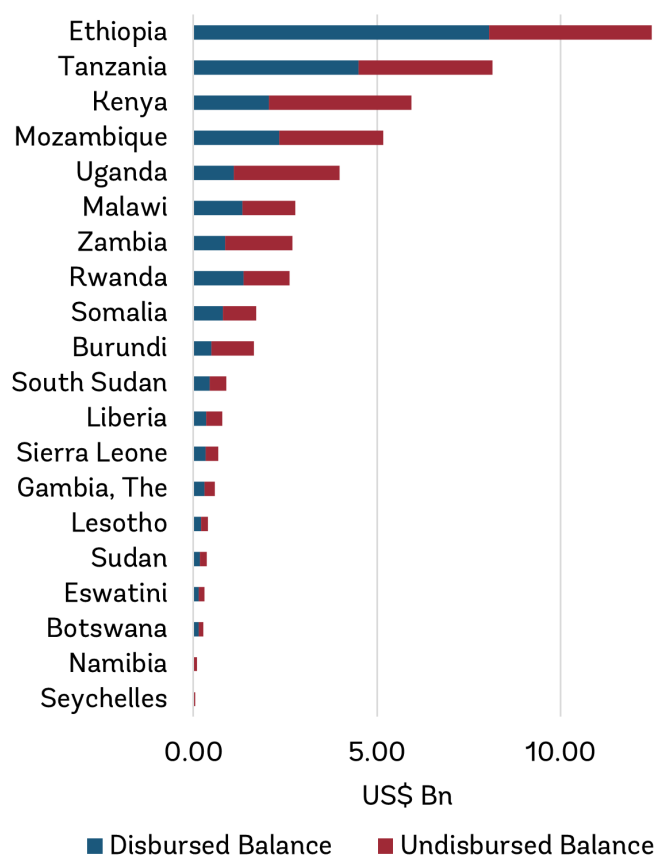
mitments for US\$ 0,65 billion, and Other Trust Fund commitments for US\$ 0.45 billion (Figure 4.1). This portfolio encompasses active and approved operations across all member states⁶, spanning in infrastructure, human development, governance, and climate-responsive sectors. Cumulative disbursements totaled US\$25.0 billion (48 percent), with US\$3.9 billion disbursed during FY26 (Figure 4.2). The pipeline totaled US\$4.4 billion across sixteen countries, comprising US\$4.0 billion in IDA projects-led and US\$314 million in IBRD operations. On IBRD, in FY26 H1 commitments total US\$40 million, with an

active portfolio of US\$648 million across Botswana, Eswatini, Namibia, Seychelles, and Kenya.

Advocacy efforts focused on sustained engagement on key corporate strategies such as FCV, climate, small states, IBRD graduation policy, and water strategy—through Board discussions, seminars, technical briefings, and regular consultations with African Chairs, the IDA Secretariat, Regional VPs, and management. The Office also contributed to the preparation of a Non-paper on MICs to inform MICs approach paper being prepared by the Bank. These efforts were supported by enhanced portfolio monitoring systems, expanded to include IFC operations and regional projects to enable real-time tracking of commitments, disbursements, and performance to inform more data driven bilateral engagement and constituency consultations. These efforts were complemented by high-level engagement shaping the WBG’s FCV approach, with emphasis on country ownership, early prevention, and private-sector engagement. Continued coordination with regional and multilateral partners on re-engagement roadmaps for nonaccrual countries was also maintained as a priority through African Caucus, Spring Meetings, and Board engagements.

With respect to resource flows to countries in FCV situations, seven countries in the Constituency are classified as Fragile States—Ethiopia, Mozambique, Somalia, Burundi, South Sudan, Sudan, and Zimbabwe. FCV portfolios totaled US\$22.3 billion, with annual IDA commitments rising from US\$3.85 billion in 2023

Figure 4.2: AfG1 Disbursement Portfolio (US\$ Bn)



Source: World Bank 2026

⁶ Twenty of the 22 Africa Group 1 countries have active WBG operational portfolios; Eritrea and Zimbabwe, which are in nonaccrual status, do not have operations.

Box 4.1: Somalia Turn Around Allocation (TAA)

The Turn Around Allocation (TAA) plays a significant role in the Banks support to FCV countries. For Africa Group 1 Constituency, Board discussions were held in 2026 Q1 for the Box 4.1: Republic of Somalia where it was deemed eligible for continued TAA

Somalia continues to demonstrate commitment to reforms amid significant challenges, including insecurity and climate shocks, thereby reinforcing the importance of the TAA in sustaining reform momentum and facilitating the country's transition from fragility. Achievements such as progress in macroeconomic reforms, guided by Somalia's National Transformation Plan, have been key. Despite ongoing risks, Somalia's TAA eligibility has been as a result of its unique context and demonstrated performance in meeting benchmarks under difficult circumstances.

to US\$4.52 billion in 2025 and US\$2.18 billion committed by FY26 H1, alongside a US\$563 million pipeline of new opera-

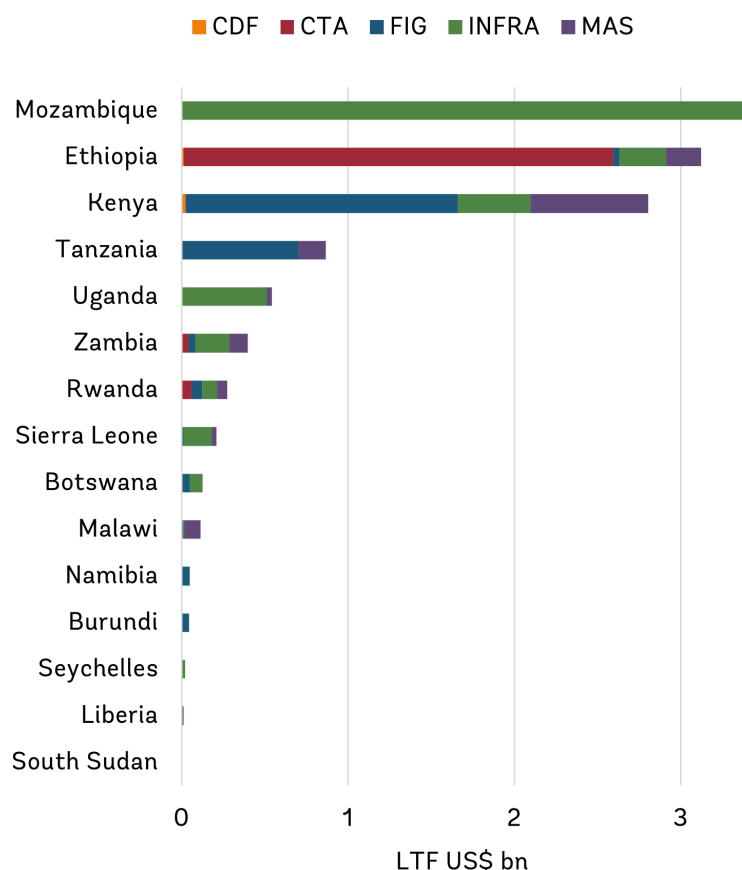
tions. Cumulative disbursements reached US\$12.6 billion (46 percent), including US\$1.9 billion in FY26. 

4.2 Strategic Goal 2: Enhancing Private Sector Investment

Under the second strategic pillar, Enhancing Private Sector Investment, the OED continues to advocate for expanded IFC and MIGA engagement to strengthen private sector development across Constituency countries. The pillar is anchored in four key objectives: (i) enhanced advocacy for increased IFC and MIGA investments and technical assistance; (ii) advocating for increased use of the Private Sector Window and the Global Regional Opportunity Window; (iii) proactive engagement with IFC management to support capital investment in regional and cross border projects; and (iv) advocacy for increased equity and other financing investments across Constituency countries and the Sub-Saharan Africa region. Collectively, these objectives aim to deepen private sector participation, expand access to finance, and foster inclusive economic growth.

The OED underscores the importance of improving the investment climate and

Figure 4.3: IFC LTF for Africa Group 1 Countries by Industry



Source: IFC 2026

reducing business costs to attract foreign direct investment. The Office also emphasizes the role of Micro, Small, and Medium Enterprises (MSMEs), which are vital for job creation and form a significant part of the private sector in many Constituency countries. In this context, IFC engagement with AfG1 countries continues to play a pivotal role in advancing private-sector development.

Consistent with this focus on improving the business environment and expanding opportunities for MSMEs, IFC's financing footprint in AfG1 countries demonstrates the operational depth of private sector engagement. Long-term finance commitments totaled US\$1.31 billion in 2024 and US\$1.01 billion in 2025, with US\$413 million recorded at mid FY26. As of February 3, 2026, the active IFC portfolio stood at US\$12.0 billion across fifteen member countries, concentrated in Mozambique, Ethiopia, and Kenya, which together account for approximately 77 percent of total IFC long-term financing. The remaining portfolio is distributed across other constituency countries, and the Office continues to engage with IFC teams to support increased investment presence, particularly in countries with limited or no current exposure. The portfolio is diversified across strategic development priorities, with infrastructure (INFRA), accounting for 43 percent, supporting supporting energy and transport networks. Transaction Advisory Services, which account for 22 percent of the portfolio, and the Financial Institutions Group (FIG), also representing 22 percent, support financial-sector development and expand access to finance for small and medium enterprises (SMEs). Manufacturing, Agribusiness and Services (MAS) account for 12 percent of the portfolio, while

Disruptive Technologies and Funds represent less than 1 percent.

The Office has remained actively engaged with IFC Senior Management in the formulation of the IFC 2030 Strategy, with implementation expected to advance ahead of the 2026 Annual Meetings. It has consistently underscored the need to scale up IFC operations in IDA and FCV markets, mobilize greater private capital through blended finance and guarantees, and expand support for MSMEs and foundational sectors. Emphasis has been placed on strengthening de-risking in FCS to attract private investment in the most challenging FCV markets. The Office also plans to collaborate with IFC management on growth sector papers once the remaining CPSDs are completed. The OED also delivered a dedicated presentation on the IFC Strategy at a Constituency meeting, providing Governors and senior officials with a comprehensive overview of IFC instruments. This engagement enhanced understanding and encouraged greater use of available tools, including the Private Sector Window, blended finance platforms, local currency products, risk mitigation facilities, and MIGA guarantees.

The Office is advancing a focused advocacy agenda under IDA21 to strengthen the deployment of concessional and private sector instruments in fragile and low-income markets. Under IDA21, effective since July 2025, the OED is advocating for increased and more equitable use of the Private Sector Window (PSW), the Global Regional Opportunity Window (GROW), and the Concessional Capital Window (CCW) to scale investments in FCV and low-income countries. This advocacy emphasizes cumulative PSW utilization across Constituency countries,

alignment with development priorities, and maximization of development impact. The OED further advocates for recognizing fragility as a global challenge and expanding concessional resources for private sector development in FCV settings, where access to traditional capital is limited. This includes building consensus with other African Chairs to identify opportunities under PSW and GROW and ensuring eligible Constituency countries can access these instruments with sufficient flexibility and scale. To inform this advocacy, the Office will conduct a data-driven assessment of PSW, GROW, and CCW performance under IDA20 and IDA21 once sufficient data becomes available. The analysis will identify deployment bottlenecks and implementation challenges and guide advocacy for the remainder of IDA21 to strengthen the effective use of private sector instruments.

To strengthen advocacy for regional and cross border investment, the Office has continued to promote these investments, including through Mission 300 for affordable access to electricity through a regional power pool. Engagements with regional economic communities such as the Southern African Development Community (SADC) and the Southern African Customs Union (SACU) remain active, focusing on identifying regional priority projects, building socio-economic consensus, and advocating for IFC and MIGA support for cross-border infrastructure. The advocacy has been conducted in anticipation of the forthcoming WBG Re-

gional Integration Strategy and its expected focus on transport corridors, energy interconnections, and digital connectivity. Regional projects are critical for achieving economies of scale and enabling more efficient cross-border trade; benefits that standalone country projects typically may not deliver with comparable speed and scale.

The Office is also enhancing advocacy to expand equity investment and risk mitigation platforms as the IFC Strategy moves toward implementation. The Office works closely with IFC management and Constituency Governors to identify priority sectors for equity investments and to address barriers to expanding equity and other risk-mitigation platforms in Constituency countries. IFC typically invests 5 to 20 percent of a company's equity, providing patient capital that helps crowd in private investment. The Office advocates for increased equity investment in Constituency countries and for expanded use of IFC platforms that support domestic private sector development, including through tailored deployment of risk mitigation facilities. The priority sector papers under preparation will provide pathways for deeper investment engagement and guide Office advocacy for IFC leadership to expand equity and other finance portfolios across the Constituency. The recent decentralization of IFC across regions will help accelerate business processes by bringing decision making closer to clients and project teams. 

4.3 Strategic Goal 3: Supporting Capacity Development, Diversity, and Inclusion

Under the fourth strategic pillar—Supporting Capacity Development, Di-

versity, and Inclusion—the Office continues to advance advocacy and oversight

efforts aimed at strengthening Sub-Saharan African participation within the World Bank Group and deepening institutional inclusiveness. This pillar encompasses four key objectives: (i) enhancing SSA participation in WBG initiatives; (ii) expanding capacity building programs, knowledge partnerships, and outreach to strengthen skills and career pathways for Constituency nationals; (iii) advancing advocacy for anti discrimination, equity, and inclusion across the WBG workforce; and (iv) promoting measurable progress in representation, gender balance, and accessibility in line with institutional diversity goals. Collectively, these objectives reinforce the Office's commitment to ensuring that the WBG's people and programs reflect the diversity of its membership and the local expertise of its client countries.

The OED has consistently engaged senior management to assess the WBG's progress toward its diversity and inclusion commitments. It continues to monitor regional representation at senior leadership level, advocating for the prioritization of underrepresented regions in recruitment, and tracks the retention of SSA staff to ensure that institutional expertise meaningfully reflects the local contexts of WBG operations.

In line with these ongoing oversight and advocacy efforts, African representation in the WBG workforce continued to improve in FY25, with Africa's share of open-ended and term staff rising both at headquarters and in country offices. Among HQ appointed staff, 1,714 (14 percent) were from Africa, and among CO appointed staff, 2,038 (31 percent) were from Africa at end FY25. Staff from Africa Group 1 (AfG1) countries currently number 453 at headquarters and 1,022 in country offices,

Table 4.1: AfG1 nationals in the WBG by location, FY2023–FY2025 (open & term contract staff, HQ and CO appointed)

COUNTRY	2023		2024		2025	
	HQ	CO	HQ	CO	HQ	CO
Botswana	2	9	2	9	2	7
Burundi	14	29	15	27	15	31
Eritrea	3	2	2	3	2	3
Ethiopia	86	116	90	113	106	116
Gambia, The	9	7	9	7	11	7
Kenya	149	200	163	210	184	212
Lesotho	2	11	2	12	2	13
Liberia	5	30	5	32	3	33
Malawi	22	28	29	27	29	33
Mozambique	13	60	17	58	24	59
Namibia	3	-	3	-	3	1
Rwanda	17	33	20	34	21	34
Seychelles	1	1	1	-	2	-
Sierra Leone	7	24	6	24	6	23
Somalia	2	2	2	3	2	3
South Sudan	2	13	3	16	3	18
Sudan	13	16	16	17	19	10
Eswatini	-	4	-	5	-	5
Tanzania	28	59	27	62	28	63
Uganda	79	56	82	54	88	51
Zambia	33	38	35	40	43	39
Zimbabwe	54	34	56	30	66	28

Source: Human Resources Red Book

underscoring the Constituency's growing presence across the institution's operational and corporate work. This footprint is particularly strong in Eastern and West African offices. Table 4.1. shows the evolution of AfG1 country nationals in the WBG workforce over FY2023–FY2025, distinguishing HQ and CO appointed staff. Headcounts are drawn from the WBG Annual Review of Human Resources and cover open-ended and term staff only.

Overall, AfG1 nationals rose from 555 HQ and 808 CO appointments in FY23 to 651 HQ and 844 CO appointments in FY25, driven by gains in Ethiopia, Kenya, Uganda, and Zimbabwe. Representation also expanded across smaller states such as Lesotho, Seychelles, and Eswatini, reinforcing the Constituency's call for more balanced representation across grades and duty stations.

Between FY2021 and FY2025, representation of African women increased at headquarters across both professional and managerial grades. At the GF–GG level, their share rose from 43 percent (326 of 759 staff) to 45 percent (484 of 1,070), while at GH and above it increased from 35 percent (69 of 200) to 37 percent (90 of 245), reflecting gains in both absolute numbers and proportional representation. In country offices, African women's representation at GF–GG improved more markedly, from 40 percent (335 of 846 staff) to 45 percent (432 of 965). By contrast, representation at GH and above declined over the same period, from 29 percent (2 of 7 staff) to 20 percent (1 of 5), indicating that progress in senior roles has not kept pace with gains at the professional level.

The Office strengthened collabora-

tion with the Knowledge Bank and African universities to expand skills and career development opportunities for Constituency nationals. During the period, it promoted the Joint Japan/World Bank Graduate Scholarship Program, the WBG Pioneers Internship Program, and other talent pipelines through capitals, social media, and direct outreach, broadening awareness beyond traditional networks. The Voice Secondment Program (VSP) remained a core capacity building channel. A new cohort from Kenya, Liberia, Malawi, Namibia, and Somalia joined the Office and completed a three day induction on WBG operations, governance, and the role of the Executive Director's Office. Building on feedback from current and former secondees, the Office engaged the Board on considering an expansion and extension of the VSP to strengthen learning outcomes and post return impact.

The Office maintained its focus on diversity, equity, and inclusion, following up on anti discrimination initiatives across the WBG Engagements with Constituency country offices highlighted concerns around representation, career progression, and compensation and grading disparities, particularly for locally recruited staff. In response, the Office intensified advocacy for stronger Sub-Saharan African—especially AfG1—representation in global units and senior roles, and for more equitable and transparent compensation practices in country offices, including fair pay structures and greater recognition of country based expertise in promotion and mobility decisions.

The rollout of the WBG Disability Inclusion Strategy marked an important institu-

tional milestone, reinforcing the Constituency's long standing non discrimination agenda. The Strategy commits to improving accessibility, reasonable accommodation, and inclusive hiring, particularly in country offices where implementation challenges are greatest. The Office has supported this agenda while underscor-

ing the need for concrete, time bound actions, and regular reporting. It continues to use Board discussions, HR Board Committee engagements, and consultations with staff associations to promote a more inclusive workplace for all staff, including under represented African nationalities, women, and persons with disabilities. 

4.4 Strategic Goal 4: OED Engagement with Member States

Under the third strategic pillar—Strategic Goal 3: Enhancing Engagement with Constituency Member States—the Office seeks to deepen structured dialogue with capitals, support re engagement with countries in non accrual status and strengthen follow through on country-level priorities. This pillar is anchored in two core objectives: (i) reinforcing systematic engagement with member states through high-level missions, regular consultations, and a Bilateral Engagement Tracker to monitor commitments; and (ii) enhancing advocacy for re engagement with countries in non accrual status, including Eritrea and Zimbabwe, by supporting arrears clearance and re integration pathways in close coordination with international partners. Together, these objectives aim to ensure that Constituency perspectives are consistently reflected in Board deliberations and that member countries receive sustained, predictable support in their efforts to restore and deepen their relationships with the WBG.

The OED continues to advance its advocacy efforts to support the re engagement of Eritrea and Zimbabwe. Building on previous consultations, the OED has sought to better understand Eritrea's development challenges and opportu-

nities for renewed engagement with the WBG. In parallel, the OED remains actively engaged in Board and Management discussions related to both Eritrea and Zimbabwe, ensuring that the unique circumstances of these countries are fully and accurately reflected. Through sustained and consistent engagement, the Constituency continues to play a constructive and credible role in shaping dialogue on countries in non accrual status.

Through close collaboration with the IMF South and East African Office, the OED supported Zimbabwe to hold roundtables and meetings with development partners to advocate for arrears clearance and re engagement process, culminating in the country reaching a 10-month Staff-Monitored Program (SMP) with the IMF, aimed at consolidating recent stabilization gains and strengthening macro-economic management.

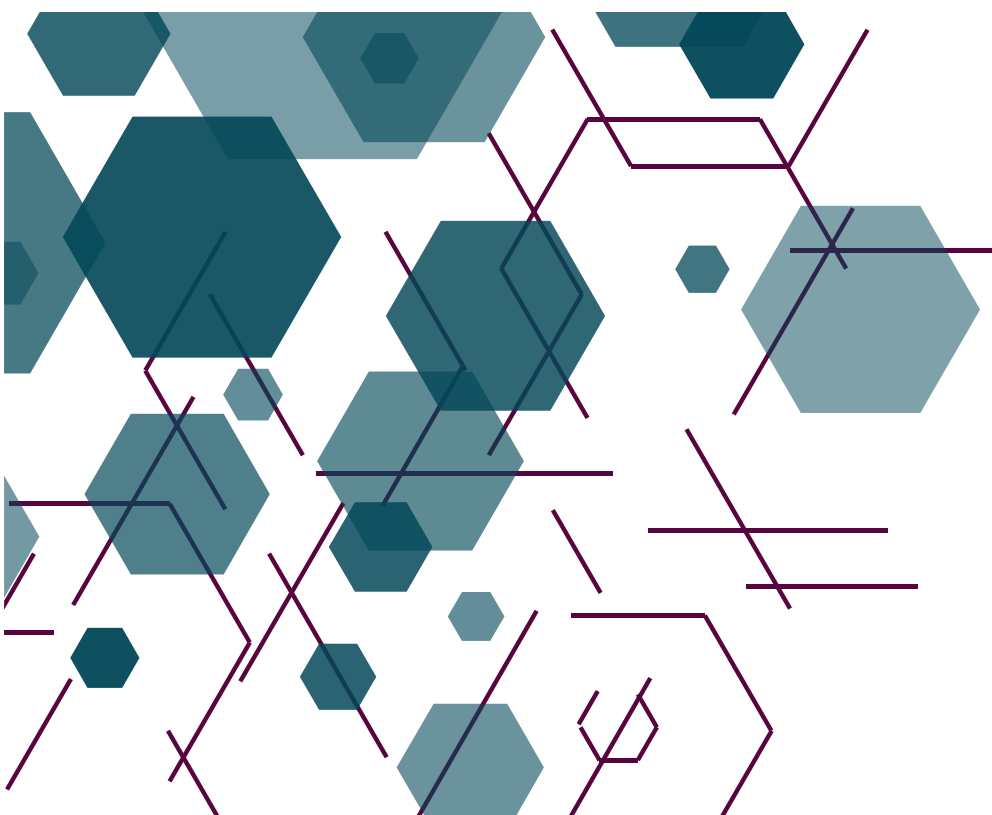
During the period November to March 2026, the Executive Director undertook official missions to four Constituency countries Kenya, Rwanda, Sierra Leone, The Gambia, and Mozambique. These visits facilitated high-level engagements with Governors from the respective member countries and reinforced the OED's commitment to continuous dialogue with the

Constituency.

The OED will continue to conduct regular consultations to build consensus on regional priorities and identify opportunities for cross-border investment initiatives. These engagements have improved coordination among member countries on shared development objectives and reinforced collective advocacy for increased WBG investment in regional infrastructure and cross-border projects. The next chapter documents the discussions and outcomes from each bilateral engagement, clarifying the issues raised and the commitments made. To strengthen accountability and ensure effective follow through on country-level engagements, the OED has developed a Bilateral Engagement Tracker. This structured tool is designed to monitor progress, flag delays, and ensure institutional con-

tinuity across leadership transitions. The Tracker is fully operational and serves as a cornerstone for transparent reporting and sustained delivery on commitments made to Constituency member countries.

The OED has developed targeted strategies to support the reengagement of countries in non accrual status by identifying sustainable pathways toward the restoration of financing relationships. These efforts include close collaboration with multilateral and international partners, including the African Union, the United Nations, and diplomatic missions, to address underlying challenges and support coordinated approaches. The reengagement strategy is expected to become fully operational in FY26, providing a structured framework to advance dialogue and facilitate progress toward renewed engagement. 



CHAPTER 5

CONSTITUENCY ENGAGEMENTS



AfG1 Constituency Leadership at the 30th Constituency Meeting

CHAPTER 5: CONSTITUENCY ENGAGEMENTS

Chapter 5 presents an overview of the Office of the Executive Director’s engagements with Africa Group 1 Constituency countries. It summarizes the outcomes of the Africa Group 1 Constituency Meeting, provides an update on the Constituency Panel Meeting, and outlines the Office’s broader engagement across member countries, including participation in Board Standing Committees. The chapter also documents the Executive Director’s official visits to member countries and the key issues raised during these missions. By offering a consolidated view of these interactions, the chapter underscores the strategic importance of sustained, coordinated engagement in advancing the development priorities of AfG1 countries. It also highlights the OED’s participation in the three Board committees where it is a member, the Committee on Development Effectiveness (CODE), the Audit Committee, and the Ethics Committee.

5.1 Highlights of the AfG1 Constituency Meetings

5.1.1 The 30th AfG1 Constituency Meeting

The 30th Statutory Meeting of the AfG1 Constituency, held on the margins of the 2025 Annual Meetings, was chaired by Hon. Joseph Mathyola Mwanamvekha, Governor of Malawi and Chairperson of the AfG1 Constituency. During the meeting, the ED reported that, despite a stabilizing yet fragile macro-economic outlook and persistent debt vulnerabilities in

Sub-Saharan Africa, WBG engagement in AfG1 countries remained strong, with nearly US\$11 billion committed in FY25 across IDA, IBRD, IFC and MIGA.

Discussions focused on major WBG initiatives relevant to the Constituency, including the Energy Strategy and Mission 300, the emerging minerals and metals sector approach, the Digital Transformation Strategy, the Africa Initiative for Medical Access and Manufacturing, and



AfG1 30th Statutory Constituency Meeting during WBG/IMF Annual Meetings 2025

evolving approaches for Small States and Middle-Income Countries. Governors agreed that priorities for 2026 would include accelerating Mission 300, advancing digital transformation, strengthening natural resource governance and value addition, deepening regional integration, scaling pharmaceutical manufacturing, and maintaining debt sustainability high on the policy agenda.

Governors welcomed the Constituency Panel report and endorsed recommendations to: (i) use digital tools to track IDA disbursements and address bottlenecks; (ii) finalize a roadmap for re-engaging non-accrual countries such as Zimbabwe and Eritrea; (iii) define measurable IFC targets for private capital mobilization, particularly in FCV settings; and (iv) complete analytical work on IDA20 windows - Private Sector Window (PSW), Global and Regional Opportunities Window (GROW), and Concessional Capital Window (CCW) - to inform forthcoming IDA21 advocacy.

Governors offered thematic guidance across four priority areas:

Mining & Natural Resources: Strong demand for geophysical and geochemical surveys to support evidence-based negotiations. Calls for in country beneficiation, artisanal mining formalization, and support for regional infrastructure such as the Burundi–Tanzania Standard Gauge Railway.

Digital Transformation: Repeated calls for bolder Bank financing of digital infrastructure (towers, broadband, data centers). Emphasis on digital ID adoption, interoperable systems, cybersecurity, and expanded digitalization of PFM, tax, and AML/CFT systems.

Energy & Mission 300: Countries requested technical support for compact preparation, with Eswatini specifically highlighting its readiness for guidance. Governors supported integrated planning between energy and digital systems to maximize development impact.

Medical & Pharmaceutical Manufacturing: Broad support for expanding Africa-based vaccine and drug production, with lessons from COVID 19 underscored. 

5.2 ED's visit to AfG1 countries: Key Meetings, Site Visits, Outcomes and Follow-Ups

5.2.1 Constituency Engagements with member states

Since October, the ED has undertaken missions to the Republic of Kenya, Republic of Rwanda, Republic of The Gambia, Republic of Sierra Leone, and Republic of Mozambique. This section seeks to provide an overview of his engagements during these missions.

5.2.1.1 The Republic of The Gambia

Accompanied by his Advisor, Mr. Sam M. Aruna, the ED undertook a mission to Republic of The Gambia from December 8-9, 2025, to consult with the authorities on The Gambia's development priorities, strengthen collaboration between The Gambia and the WBG, discuss the performance of The Gambia's WBG portfolio,

and initiate discussion on The Gambia's hosting of the 2026 African Caucus meeting in Banjul.



Hon. Dr. Seedy K.M. Keita, Minister of Finance and Economic Affairs (right), with the Executive Director

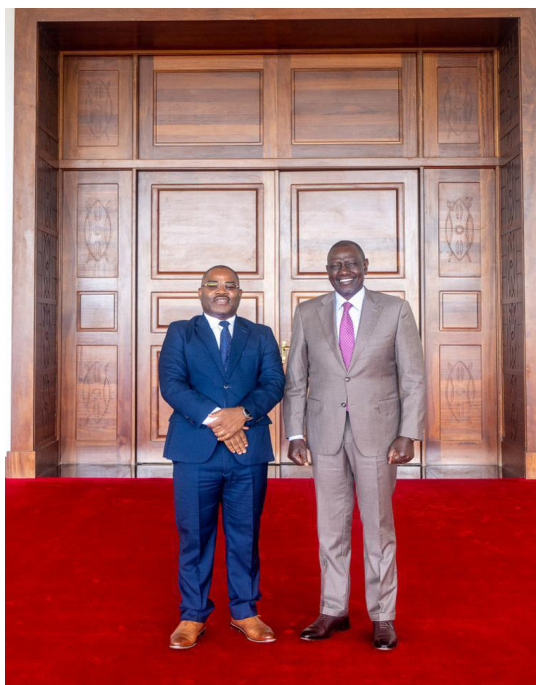
The ED met with His Excellency, Muhammad B. S. Jallow, Vice President of the Republic of The Gambia who shared insightful perspectives on how the Government and the Bank could deepen collaboration to drive economic resilience, job creation, and inclusive growth. Other key authorities met, include the Honorable Minister of Finance and Economic Affairs, Dr. Seedy K.M. Keita and The Gambian Chamber of Commerce and Industry (GCCl). The discussions with the Hon. Minister focused on The Gambia's ongoing reforms, the budget support framework, priority areas for deeper collaboration, including energy, roads, infrastructure, capacity development, and the country's preparedness to host the 2026 African caucus meeting. Highlighting progress made on the reform process and the subsequent approval of an in-

creased DPO, the Hon. Minister appealed for continued WBG support to build stronger systems, improve processes, and strengthen institutions. Key reforms and investment opportunities to accelerate progress in various sectors were discussed with the Chamber of Commerce.

The ED visited The Gambia University of Applied Science, Engineering, and Technology, where a US\$2.5 million World Bank's investment is supporting skills development, advance innovation, and promote job creation. He also visited the Sir Dawda Kairaba Jawara International Conference Center, the proposed venue for hosting the 2026 African caucus meeting.

5.2.1.2 The Republic of Kenya

The ED undertook a visit to the Republic of Kenya, accompanied by his Senior Advisor, Mr. Josef Halwoodi from November 17-18, 2025. The purpose of the mis-



His Excellency, President William Ruto (right) with the Executive Director

sion was to consult with the Government of the Republic of Kenya on the development challenges facing the country, reforms, and economic recovery plans, and to strengthen the partnership between Kenya and WBG.

The engagement with Hon. John Mbadia, WBG Governor for Kenya, emphasized the importance of sustaining momentum on the reform agenda to trigger Board approval of the 7th Development Policy Operation (DPO) and discussed future financing under IDA and IBRD. His Excellency, President William Ruto expressed appreciation for the partnership and requested the ED to keep Kenya informed of developments, resources, and opportunities that could benefit the country.

Other Senior officials met include Dr. Kamau Thugge, Governor of the Central Bank of Kenya, Mr. Humphrey Wattanga Mulongo, Commissioner General of the Kenya Revenue Authority, Mr. Manuel Moses, CEO of the African Trade & Investment Development Insurance (ATIDI) and the private sector.

Field visits were undertaken to the National Agricultural Value Chain Development Project (NAVCDP) site in Kiambu County.

5.2.1.3 The Republic of Rwanda

The ED undertook a visit to the Republic of Rwanda, accompanied by his Advisor, Ms. Doreen Priscilla Kagarama, from November 19-20, 2025. The mission aimed to consult with the Government of Rwanda on key development priorities and reaffirm support for the country's agenda, especially as the current Country Partnership Framework (CPF) draws to a close and a new one is under development.

Engagements with H.E. President Paul Kagame and Rt. Hon. Prime Minister Justin Nsengiyumva, joined by WBG Regional Vice President Ndiame Diop, Country Director Mr. Qimiao Fan, and Country Manager Sahr Kpundeh, focused on Rwanda's top financing needs, notably the Bugesera Airport and RwandAir, and expressed appreciation for the strong partnership with



H.E. President Paul Kagame in the middle, to his left Country Manager Sahr Kpundeh, Minister of Finance Hon. Yusuf Murangwa and ASG Africa President, Mr. Francis Gatare, to his right, Regional Vice President Ndiame Diop, Country Director Mr. Qimiao Fan, ED Zarau Kibwe, and Advisor to the ED, Priscilla Doreen Kagarama.

the WBG. President Kagame emphasized Rwanda's ambitions for transformation, leveraging technology and human capital, and called for enhanced collaboration.



Central Bank Governor Hon. Soraya Hakuziyaremye with the Executive Director

The Rt. Hon. Prime Minister Justin Nsengiyumva highlighted national priorities in agriculture, energy generation and distribution, expressing interest in nuclear energy, and welcoming engagement under the Bank's Mission 300 platform.

Meetings with Cabinet members, including the Ministers of Finance, Health, Infrastructure, Agriculture, and Information Communication and Technology (ICT), covered Rwanda's steady macro-economic performance, progress in health sector digitalization, infrastructure as a catalyst for job creation, and the shift from subsistence to agribusiness.

Field visits included the Rwanda Health Intelligence Center (RHIC), showcasing real-time health data integration and maternal mortality reduction, and the BioNTech mRNA Manufacturing Facility, focusing on strengthening regional health security.

5.2.1.4 The Republic of Sierra Leone

On December 10-12, 2025, the Executive Director (ED), Dr. Zarau W. Kibwe, accompanied by his Advisor, Mr. Sam M. Aruna undertook a mission to the Republic of Sierra Leone, to consult the Government on Sierra Leone's development agenda, including key priorities and challenges; strengthen bilateral relationship between the WBG and the country; discuss the performance of the country's WBG portfolio, and announce the visit of a group of WBG Executive Directors to the country in March, 2026.

The ED met with the Governor for the WBG and Minister of Finance, Honorable Sheku Ahmed Fantamadi Bangura, the Governor of the Bank of Sierra Leone, Dr. Ibrahim Steven, the Commissioner General of the National Revenue Authority (NRA), Ms. Jeneba Bangura, the Team Lead of the Project Fiduciary Management Unit (PFMU), a cross section of the private sector representatives, staff



Minister of Finance, Honorable Sheku Ahmed Fantamadi Bangura (left) and the Executive Director

of the WBG country office, and authorities of the West Africa Monetary Agency (WAMA).

During the meeting with the Minister of Finance, the Hon. Minister highlighted major achievements the Government has made, including the achievement of all prior actions of the IMF on the Extended Credit Facility (ECF) and its subsequent Board approval on October 16, 2025, amidst some macro-economic pressures. He expressed hope that the prior actions for the Development Policy Operations (DPO) would also be completed to enable disbursement in 2026. He also informed the ED about the commissioning and smooth operation of the National Payment Switch (SaPS), financed under the Second Financial Inclusion Project.

The ED visited two WBG-supported projects financed through the Economic Diversification Project. The first was the Leicester Peak, the highest point on the outskirts of the city and the Tacugama Sanctuary, a national park of chimpanzees, to assess the level of construction work on a five-story multipurpose building against the project closing date of April 2026.

5.2.1.5 The ED's Visit to the Republic of Mozambique

The Executive Director held his first official mission to Mozambique following the endorsement of the Country Partnership Framework (CPF) 2026–2031 in February, 2026 and accompanied by his Advisor, Mr. Bertrand Belle. The mission's objectives were to deepen strategic dialogue with national authorities, recognize progress in finalizing the CPF, assess post flood project impacts, and gather private sector perspectives on Mozambique's economic outlook.



The ED at a flood shelter in the outskirts of Maputo

During the visit, the ED met senior government officials, including President Daniel Chapo, the Minister of Finance, the Minister of Agriculture, the Mayor of Maputo, and representatives of the private sector and World Bank country leadership. Discussions focused on economic recovery, governance reforms, and investment priorities under the CPF, which centers on five pillars: economic corridors, agribusiness, energy, tourism, and reskilling alongside governance reforms. The CPF is expected to oversee approximately USD 6 billion in World Bank Group investments, with significant additional private capital mobilization. Field visits to a drainage infrastructure project and flood-related shelters illustrated both the immediate impacts of World Bank-supported interventions and Mozambique's growing vulnerability to climate change. Sustained investment in climate resilience and governance reforms will be critical to ensuring long-term development and economic stability. 

5.3 OED Participation in Board Committees

The OED is a member of three Board committees: the Committee on Development Effectiveness (CODE), the Audit Committee, and the Ethics Committee. Through active engagement in these, the office has focused on how Board oversight can translate into stronger development results, credible accountability, and sound fiscal management for the countries it represents.

5.3.1 Committee on Development Effectiveness (CODE)

In CODE, the OED participated in discussions that aimed to strengthen the development effectiveness and outcomes of WBG-supported projects, policies, and strategies. Key items considered include the integration of the Accountability Mechanisms (AMs), review of the Environmental & Social Framework, proposed enhancements to the Multiphase Programmatic Approach (MPA) and the biannual report of the Accountability Mechanism's Dispute Resolution Service (DRS). In these conversations, the OED emphasized the need to ensure no regression, cost efficiencies and the overall effectiveness of the AM policies and structure. The Office also expressed support for using programmatic approaches to scale solutions in areas of relevance to the constituency, including energy access, digital connectivity, and human development.

5.3.2 Audit Committee

In the Audit Committee, the OED focused on financial reporting and prudent risk management across the WBG. The Committee reviewed the financial statements of IBRD, IDA, IFC and MIGA and the OED leveraged these discussions to seek assurance that resources are being managed responsibly and that each institution remains on a sound financial footing. The office also participated in reviews of quarterly business and risk updates, as well as in briefings. Throughout these discussions, the OED emphasized the importance of transparency, strong internal controls, and disciplined risk management ensure the WBG can continue to deliver at scale for client countries while maintaining its triple-A credit rating.

The Committee also discussed the proposed Step-up Loan (SuL), a new pricing feature under the IBRD Flexible Loan intended for affordable infrastructure projects financed through IPFs and PforRs, and which offers significant financing benefits for the Constituency countries. In this context, the Office focused on ensuring that the instrument's introduction remains aligned with prudent fiscal management and transparent client communication. It also emphasized the importance of clear policy parameters and safeguards to maintain the integrity of the Bank's balance sheet and support sound decision making by borrowing countries.

5.3.3 Ethics Committee

The OED is a member of the Ethics Committee, which meets on an as-needed basis when specific issues arise. The

office remains committed to advancing the WBG's ethics and integrity standards, and it actively contributes to safeguarding a culture of accountability and professionalism across the institution. 

Box 5.1: OED Engagement at CODE on CPF Evaluations: Ethiopia, Tanzania, and Somalia

The CPF Evaluations for Ethiopia, Tanzania, and Somalia were discussed by CODE, where the OED participated as a member, ensuring that the perspectives, interests, and development priorities of the Constituency countries were clearly articulated and reflected in the discussions. These discussions provided an important platform to highlight country specific contexts, reinforce the relevance of tailored WBG engagement, and ensure that evaluation findings are interpreted through the lens of fragility, capacity constraints, and implementation realities.

Ethiopia

The CPF Evaluation for Ethiopia highlights the continued relevance of WBG engagement in addressing deep structural challenges and recurrent shocks, while maintaining alignment with national development priorities. The program made effective use of third party implementation modalities, which helped sustain delivery of critical services and protect development gains in complex operating environments. These arrangements enabled continuity, flexibility, and reach, particularly in social protection, human capital, and resilience focused interventions. The evaluation further notes that the WBG's strong convening role and sustained policy dialogue supported coordination with development partners and enhanced the credibility of reforms. Overall, the experience underscores the value of adaptive delivery models and partnerships in preserving development impact under difficult circumstances.

Tanzania

Tanzania's CPF Evaluation points to strong alignment with national development priorities and generally solid performance across growth enhancing infrastructure, energy, and human development outcomes. The program benefited from a stable operating environment and sustained engagement, which allowed reforms and investments to translate into tangible results, particularly in transport connectivity, electricity access, and service delivery. The evaluation also highlights the effectiveness of combining investment operations with policy dialogue to support sector reforms and institutional strengthening. Positive outcomes were reinforced by improved government ownership and coordination, contributing to enhanced implementation quality. Overall, the CPF demonstrates how predictability and sustained engagement can support steady progress toward medium-term development objectives.

Somalia

The CPF Evaluation for Somalia finds that WBG engagement was highly relevant and impactful in supporting state building, institutional development, and basic service delivery in a protracted FCV context. Despite severe constraints, the program achieved notable progress in public financial management, core economic institutions, and foundational services, supported by strong partnerships and innovative delivery approaches. The evaluation emphasizes that flexible instruments, trust based partnerships, and risk tolerant programming were critical to sustaining results. Continued engagement also helped build confidence between federal and subnational authorities, strengthening coordination and institutional legitimacy. Overall, the CPF illustrates how sustained, adaptive support can yield meaningful development outcomes even in highly fragile environments.

Box 5.2: OED Engagement at the 2025 African Caucus: Advancing Africa's Agenda 2063, PIDA, and WBG Partnerships

The Office of the Executive Director participated in the African Caucus Meeting at the 2025 Annual Meetings held on the margins of the 2025 Annual Meetings. On October 15, 2025, African Governors met with the President of the World Bank Group to discuss priority development challenges and policy directions articulated in the Caucus' 2025 Memorandum, with a focus on resilient infrastructure, human capital development, and green assets as drivers of inclusive and economic transformation in Africa.

Discussions addressed persistent constraints facing the continent, including substantial infrastructure deficits, limited access to affordable long-term financing, and rising debt vulnerabilities that continue to compress fiscal space. Governors underscored the need to enhance domestic resource mobilization, combat illicit financial flows, improve regulatory environments, and accelerate private investment through effective de-risking tools and guarantees, particularly in support of climate resilience and affordable digital services.

The meeting also took note of ongoing WBG initiatives aimed at addressing these challenges, including engagement with debt distressed countries under the G20 Common Framework, the potential scalability of debt-for-development swaps, expanded private capital mobilization efforts, and flagship initiatives such as Mission 300 for electricity access, emerging minerals strategy compacts, and AIM2030 to support regional pharmaceutical and vaccine manufacturing.

Looking ahead, Governors called for more focused partnerships aligned with Africa's Agenda 2063 and the African Union's Programme for Infrastructure Development in Africa (PIDA), emphasizing the importance of regional pipelines and resilient energy and water systems. Key priorities included scaling IDA/IBRD resources, leveraging IFC and MIGA more effectively, and advancing clear implementation roadmaps and country or regional compacts, particularly in strategic sectors such as minerals and health manufacturing. Sustained engagement along these lines was seen as essential for expanding debt solutions, strengthening domestic revenue systems, and enabling climate-resilient development that supports structural transformation and economic resilience.

ANNEXES



**TABLE 1: AFRICA GROUP 1 COUNTRY FORECASTS
(REAL GDP GROWTH AT MARKET PRICES IN PERCENT)**

Country	2025e	2026f
Botswana	-3.0	2.3
Burundi	4.6	4.9
Eritrea	3.2	3.5
Eswatini	4.2	3.8
Ethiopia	7.2	7.1
The Gambia	5.7	5.5
Kenya	4.9	4.9
Lesotho	1.3	0.7
Liberia	4.6	5.4
Malawi	1.9	2.6
Mozambique	1.1	2.8
Namibia	3.1	3.5
Rwanda	7.0	7.2
Seychelles	3.2	3.2
Sierra Leone	4.3	4.4
Somalia	3.0	3.5
Sudan	6.1	5.1
South Sudan	-23.8 ⁱ	48.8
Tanzania	6.0	6.2
Uganda	6.3	6.4
Zambia	5.2	5.8
Zimbabwe	6.6	5.0

Source: World Bank, Global Economic Prospects, January 2026

Note: e=estimate, f = forecast

ⁱ This extreme contraction reflects extraordinary circumstances, notably a near halt in oil production amid heightened regional conflicts, with significant spillover impacts on the border economy.

BOX 1: BUILDING FISCAL SPACE- THE CASE FOR FISCAL RULES

Context. After overlapping shocks, many EMDEs face eroded fiscal space: government debt reached ~70 percent of GDP in 2024, debt service costs are elevated, and critical investment is crowded out, especially in LICs that have shifted toward less concessional financing. Rebuilding space requires domestic revenue mobilization, spending efficiency, and credible fiscal frameworks, with fiscal rules a key tool.

What fiscal rules can deliver. Evidence in GEP shows rules are associated with durable medium-term improvements in fiscal balances. Economies with rules face a higher probability of entering multi year consolidation episodes (~13% vs 8% without rules) and often benefit from lower sovereign spreads. Rule design matters: strict enforcement tends to foster expenditure based consolidations, whereas simpler designs are linked to revenue based consolidations. Complementary institutions, stabilization funds, medium-term fiscal frameworks, and independent oversight, increase effectiveness and credibility.

Design principles for today's EMDEs. To avoid pro cyclical and safeguard growth:

- Use well calibrated anchors (e.g., debt with operational primary balance or expenditure rules) and escape clauses with clear triggers and sunset provisions.
- Pair rules with tax policy/administration reforms and expenditure reviews to raise efficiency, protect priority investment and social spending, and de-risk consolidation.
- Strengthen data, transparency, and communication to anchor expectations and market confidence.

Well designed rules are no panacea, but alongside revenue and spending reforms they are among the most proven mechanisms to rebuild fiscal space, reduce vulnerabilities, and support inclusive, sustainable growth.

Source: World Bank Group's Global Economic Prospects report, January 2026

BOX 2: FRONTIER MARKET ECONOMIES: PROMISE, PERFORMANCE, AND PROSPECTS

Frontier market economies (FMs), countries with nascent access to global capital but less depth and influence than major Ems, are home to ~1.8 billion people. Unlocking their potential would materially improve development outcomes and global job creation. Yet over the last quarter century, many FMs have underperformed peers, with modest capital deepening, widening income gaps with established EMs, and limited institutional progress, leaving them more exposed to swings in global financial conditions.

The promise of financial integration has often been blunted by insufficient macroeconomic buffers, shallow financial systems, and institutional weaknesses. These factors have amplified external shocks, curbed investment accelerations, and slowed productivity gains, particularly during episodes of tighter global financial conditions and trade fragmentation. As a result, the gap in per capita income between FMs and larger EMs has widened since 2000.

The FMs that did best combined credible macro frameworks, lower debt pressures, institutional strengthening, and reforms that catalyzed investment and productivity. Looking ahead, priorities include: (i) advancing financial integration prudently, deepening markets and supervision to manage volatility; (ii) rebuilding buffers to handle shocks; (iii) mobilizing private investment by reducing policy uncertainty and improving the business environment; and (iv) leveraging trade diversification to offset rising frictions. International partners can help via concessional and catalytic finance, risk sharing instruments, and capacity building to strengthen debt and financial sector management. Done well, this agenda would narrow income gaps and support broad based job creation.

Source: World Bank Group's Global Economic Prospects report, January 2026

SCHEDULE I ROTATION SCHEDULE FOR CONSTITUENCY CHAIRMANSHIP FIRST ROUND 2010-2052

YEAR	CHAIRPERSON	VICE CHAIRPERSON
2010	BOTSWANA	BURUNDI
2012	BURUNDI	ERITREA
2014*	ERITREA	ETHIOPIA
2016	ETHIOPIA	GAMBIA, THE
2018	GAMBIA, THE	KENYA
2020	KENYA	LESOTHO
2022	LESOTHO	LIBERIA
2024	LIBERIA	MALAWI
2026	MALAWI	MOZAMBIQUE
2028	MOZAMBIQUE	NAMIBIA
2030	NAMIBIA	RWANDA
2032	RWANDA	SEYCHELLES
2034	SEYCHELLES	SIERRA LEONE
2036	SIERRA LEONE	SOMALIA
2038	SOMALIA	SOUTH SUDAN
2040	SOUTH SUDAN	SUDAN
2042	SUDAN	ESWATINI
2044	ESWATINI	TANZANIA
2046	TANZANIA	UGANDA
2048	UGANDA	ZAMBIA
2050	ZAMBIA	ZIMBABWE
2052	ZIMBABWE	BOTSWANA

* Eritrea declined to serve as Chair in 2014

NOTES/ IMPLEMENTATION GUIDE/POLICY FOR ROTATION SCHEDULE I:

1. Every country is given turn for Chairmanship in alphabetical order from A to Z
2. Avoids duplication with IMF Rotation - Governors not serving on the IMF Constituency Panel are given preference
3. A country could decide to pass its turn, for any reason
4. A country could decide to switch turn with another country closely in line on the Rotation Schedule I
5. Except where a country agrees to switch its turn with another country next in line on the rotation table, any country that declines to serve in the allotted year shall be deemed to forego its turn in the first round of implementation of Rotation Schedule I

SCHEDULE II

ROTATION SCHEDULE FOR CONSTITUENCY PANEL MEMBERSHIP FIRST ROUND 2010-2052

YEAR	CHAIRPERSON	VICE CHAIR-PERSON	OTHER PANEL MEMBERS		
2010	BOTSWANA	BURUNDI	SEYCHELLES	KENYA	SIERRA LEONE
2012	BURUNDI	ERITREA	RWANDA	ESWATINI	LIBERIA
2014*	ERITREA	ETHIOPIA	LESOTHO	ZAMBIA	SOUTH SUDAN
2016	ETHIOPIA	GAMBIA, THE	NAMIBIA	ZIMBABWE	SUDAN
2018	GAMBIA, THE	KENYA	MOZAMBIQUE	MALAWI	TANZANIA
2020	KENYA	LESOTHO	ESWATINI	BOTSWANA	ETHIOPIA
2022	LESOTHO	LIBERIA	RWANDA	BURUNDI	SOUTH SUDAN
2024	LIBERIA	MALAWI	MOZAMBIQUE	ETHIOPIA	ZAMBIA
2026	MALAWI	MOZAMBIQUE	GAMBIA, THE	UGANDA	KENYA
2028	MOZAMBIQUE	NAMIBIA	ETHIOPIA	SOMALIA	ERITREA
2030	NAMIBIA	RWANDA	BOTSWANA	SOUTH SUDAN	LIBERIA
2032	RWANDA	SEYCHELLES	LESOTHO	UGANDA	TANZANIA
2034	SEYCHELLES	SIERRA LEONE	SUDAN	ZIMBABWE	LIBERIA
2036	SIERRA LEONE	SOMALIA	KENYA	BOTSWANA	MALAWI
2038	SOMALIA	SOUTH SUDAN	ESWATINI	ZAMBIA	BOTSWANA
2040	SOUTH SUDAN	SUDAN	LIBERIA	MALAWI	BURUNDI
2042	SUDAN	ESWATINI	SOMALIA	SIERRA LEONE	LESOTHO
2044	ESWATINI	TANZANIA	UGANDA	ERITREA	NAMIBIA
2046	TANZANIA	UGANDA	ZAMBIA	SEYCHELLES	BOTSWANA
2048	UGANDA	ZAMBIA	ZIMBABWE	KENYA	GAMBIA,THE
2050	ZAMBIA	ZIMBABWE	UGANDA	BURUNDI	LIBERIA
2052	ZIMBABWE	BOTSWANA	LIBERIA	SUDAN	RWANDA

• Eritrea declined to serve as Chair in 2014

NOTES/ IMPLEMENTATION GUIDE/POLICY FOR ROTATION SCHEDULE II:

1. Every country is given a turn for chairmanship in alphabetical order from A to Z
2. Avoids duplication with IMF Rotation - Governors not serving on the IMF constituency Panel are given preference
3. Generally, panel members reflect regional balance (East, South and West)

SCHEDULE III

ROTATION SCHEDULE FOR CONSTITUENCY REPRESENTATION ON THE DEVELOPMENT COMMITTEE

FIRST ROUND 2010-2052

YEAR	DC MEMBER	ALTERNATE	ASSOCIATE			
2010	ZIMBABWE	ZAMBIA	TANZANIA	ERITREA	RWANDA	GAMBIA, THE
2012	ZAMBIA	UGANDA	GAMBIA, THE	MALAWI	LESOTHO	KENYA
2014	UGANDA	TANZANIA	NAMIBIA	MOZAMBIQUE	ZIMBABWE	SIERRA LEONE
2016	TANZANIA	ESWATINI	LESOTHO	RWANDA	BURUNDI	LIBERIA
2018	ESWATINI	SOUTH SUDAN	SIERRA LEONE	SOMALIA	LESOTHO	UGANDA
2020	SOUTH SUDAN	SUDAN	NAMIBIA	ZIMBABWE	GAMBIA, THE	BURUNDI
2022	SUDAN	SOMALIA	KENYA	ZAMBIA	ESWATINI	SIERRA LEONE
2024	SOMALIA	SIERRA LEONE	ZIMBABWE	LESOTHO	NAMIBIA	GAMBIA, THE
2026	SIERRA LEONE	SEYCHELLES	ESWATINI	ETHIOPIA	BOTSWANA	TANZANIA
2028	SEYCHELLES	RWANDA	SUDAN	TANZANIA	ZIMBABWE	ESWATINI
2030	RWANDA	NAMIBIA	KENYA	SUDAN	ZAMBIA	SIERRA LEONE
2032	NAMIBIA	MALAWI	BURUNDI	KENYA	SIERRA LEONE	SOUTH SUDAN
2034	MALAWI	MOZAMBIQUE	TANZANIA	GAMBIA, THE	ETHIOPIA	BURUNDI
2036	MOZAMBIQUE	LIBERIA	LESOTHO	ZAMBIA	ERITREA	SEYCHELLES
2038	LIBERIA	LESOTHO	GAMBIA, THE	MALAWI	NAMIBIA	RWANDA
2040	LESOTHO	KENYA	MOZAMBIQUE	ZAMBIA	ZIMBABWE	UGANDA
2042	KENYA	GAMBIA, THE	BOTSWANA	NAMIBIA	ETHIOPIA	RWANDA
2044	GAMBIA, THE	ETHIOPIA	ZAMBIA	ZIMBABWE	LIBERIA	MALAWI
2046	ETHIOPIA	BURUNDI	SIERRA LEONE	LIBERIA	LESOTHO	SOUTH SUDAN
2048	BURUNDI	ERITREA	LIBERIA	SOMALIA	ESWATINI	NAMIBIA
2050	ERITREA	BOTSWANA	KENYA	SIERRA LEONE	SEYCHELLES	RWANDA
2052	BOTSWANA	"GAMBIA, THE"	SIERRA LEONE	KENYA	ETHIOPIA	MOZAMBIQUE

NOTES:

1. Avoids duplication with the other Panel membership
2. DC Member and Alternate Member accord opportunity in descending alphabetical order (Z to A)
3. Associate members are elected to provide regional balance
4. Schedule revised/updated in October 2012 to include South Sudan
5. Size of DC representation reduced from 8 to 6, dropping the Chair and Vice-Chair to avoid duplication with the Panel

SCHEDULE IV ROTATION SCHEDULE FOR EXECUTIVE DIRECTOR AND ALTERNATE EXECUTIVE DIRECTOR FIRST ROUND 2010-2052

YEAR	EXECUTIVE DIRECTOR	ALTERNATE ED
2010	SUDAN	ZAMBIA
2012	ZAMBIA	SEYCHELLES
2014	SEYCHELLES	ZIMBABWE
2016	ZIMBABWE	BOTSWANA*
2018	BOTSWANA	UGANDA*
2020	UGANDA	BURUNDI
2022	BURUNDI	TANZANIA
2024	TANZANIA	ERITREA+
2026	ERITREA	ESWATINI+
2028	ESWATINI	ETHIOPIA
2030	ETHIOPIA	SOUTH SUDAN
2032	SOUTH SUDAN	SOMALIA
2034	SOMALIA	GAMBIA, THE
2036	GAMBIA, THE	SIERRA LEONE
2038	SIERRA LEONE	KENYA
2040	KENYA	RWANDA
2042	RWANDA	NAMIBIA
2044	NAMIBIA	LESOTHO
2046	LESOTHO	MOZAMBIQUE
2048	MOZAMBIQUE	LIBERIA
2050	LIBERIA	MALAWI
2052	MALAWI	

*: Botswana and Uganda switched turns in 2016-2018

+: Eritrea didn't respond to take up its turn. The next country in the rotation schedule, Eswatini, took up the turn as Alternate in 2024-2026. This will affect the whole rotation schedule which will be revised during next year's Review of the Constituency Rules, Guidelines and Procedures.

NOTES/IMPLEMENTATION GUIDE/POLICY:

1. Sudan and Zambia given special dispensation to serve their turn under rotation system of the erstwhile Africa Group consistency
2. Seychelles which had never served the Constituency as Executive Director was accorded special dispensation on the rotation system
3. The rest of the countries follow an Alphabetical rotation alternating between Z and A until the first round is completed
4. This schedule avoids duplication with IMF Rotation for EDs and AEDs
5. A country could decide to pass its turn, for any reason
6. A country could decide to switch turn with another country closely in line on the rotation table
7. Except where a country agrees to switch its turn with another country next in line on the rotation table, any country that declines to serve in the allotted year shall be deemed to forego its turn in the first round of implementation of Rotation Schedule IV

SCHEDULE V

ROTATION SCHEDULE FOR IDA BORROWERS' REPRESENTATIVES

FIRST ROUND 2015-2019 TO 2037-2039

REPRESENTATIVE COUNTRY	IDA CYCLE	SERVICE YEARS (3 YEAR TERMS)
ZAMBIA	IDA 17,18	2015-2019
TANZANIA	IDA 18, 19	2018-2020
SIERRA LEONE	IDA 19	2019-2021
BURUNDI	IDA 20	2022-2024
ERITREA	IDA 20	2022-2024
ETHIOPIA	IDA 20	2022-2024
GAMBIA, THE	IDA 21	2025-2027
LESOTHO	IDA 21	2025-2027
LIBERIA	IDA 22	2028-2030
MOZAMBIQUE	IDA 22	2028-2030
RWANDA	IDA 22	2028-2030
SOMALIA	IDA 23	2031-2033
SOUTH SUDAN	IDA 23	2031-2033
SUDAN	IDA 24	2034-2036
ZIMBABWE	IDA 24	2034-2036
UGANDA	IDA 24	2034-2036
KENYA	IDA 25	2037-2039
MALAWI	IDA 25	2037-2039
ZAMBIA	IDA 26	2040-2042

NOTES/IMPLEMENTATION GUIDE/POLICY:

1. Each country is given an opportunity to serve as Borrowers' Representative in alphabetical order, starting with the ones that have never served in this position as of 2019-2021
2. The Constituency shall have either 2 or 3 Borrowers' Representatives for each replenishment negotiation as per agreement with the Africa Group 1l Constituency on the World Bank Board
3. The countries that have provided Representatives until the IDA 18 cycle will come again starting with the one that served earliest, to complete the first round of implementing the Rotation Schedule
4. A country could decide to pass its turn for any reason
5. A country could switch turns with another country closely in line on the Rotation Schedule V
6. Except where a country agrees to switch turn with another country next in line on the Rotation Schedule V, any country that declines to serve in the allotted year shall be deemed to forego its turn in the first round of implementation of the Rotation Schedule V
7. A country that graduates out of IDA will not be eligible to represent the Constituency

SCHEDULE VI

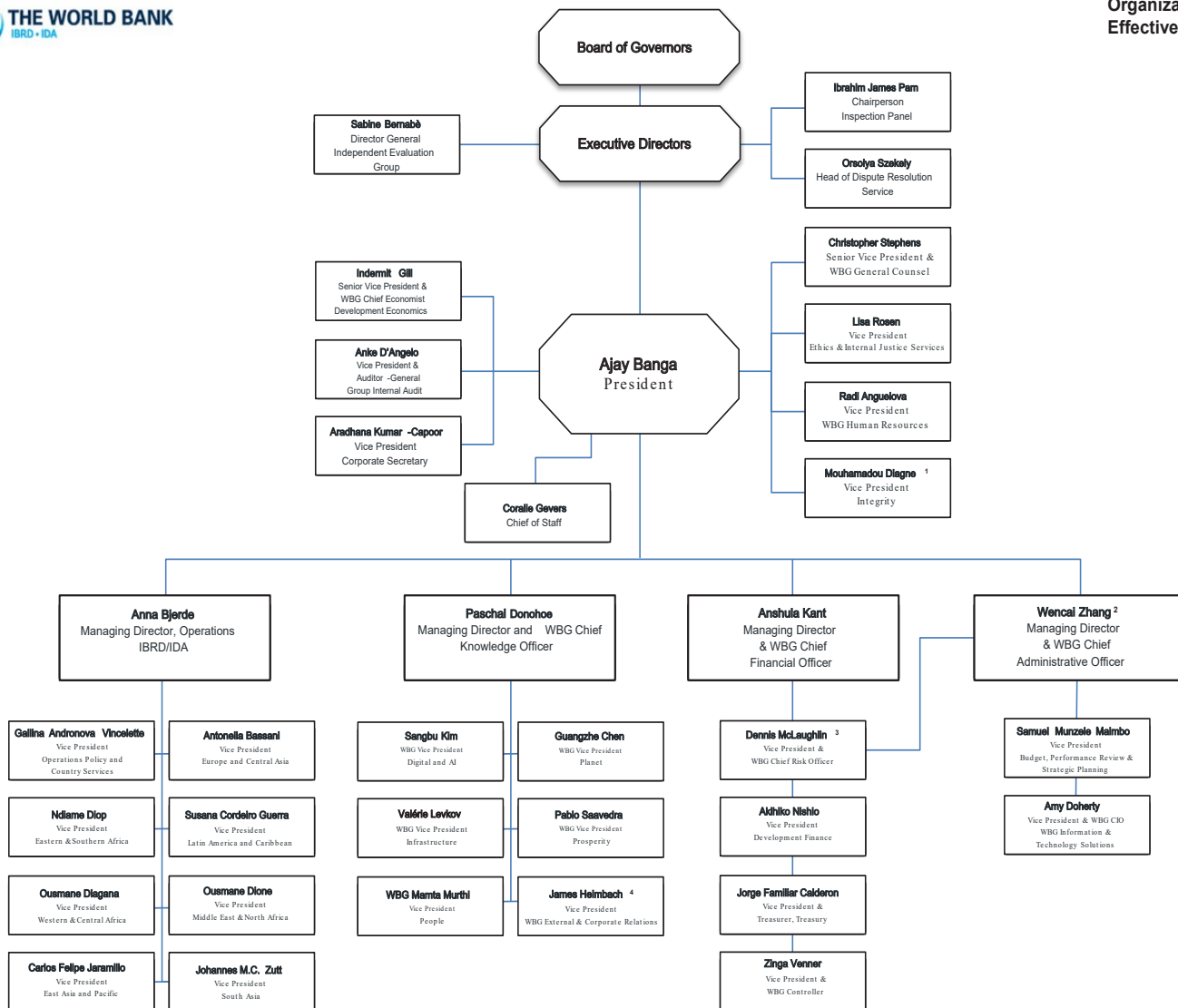
ROTATION SCHEDULE FOR PROFESSIONAL STAFF IN THE OED

1	ERITREA
2	SEYCHELLES
3	BURUNDI
4	LIBERIA
5	NAMIBIA
6	SIERRA LEONE
7	RWANDA
8	MALAWI
9	ZAMBIA
10	UGANDA
11	MOZAMBIQUE
12	ZIMBABWE
13	SOMALIA
14	GAMBIA, THE
15	LESOTHO
16	TANZANIA
17	KENYA
18	ESWATINI
19	SOUTH SUDAN
20	ETHIOPIA
21	SUDAN
22	BOTSWANA

WORLD BANK ORGANIZATIONAL CHART AS OF NOVEMBER 24, 2025



Organizational Chart
Effective November 24, 2025



¹ Dotted reporting line to the MDCAO.

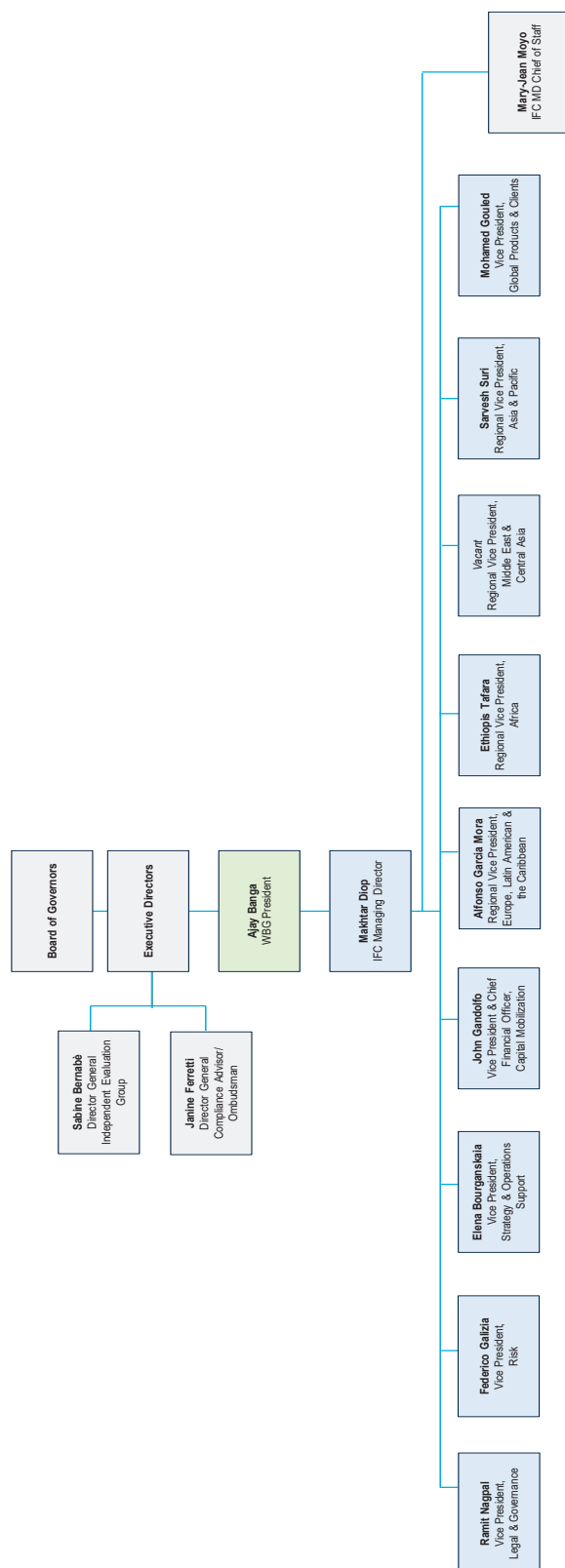
² Additional units reporting to the MDCAO include the Group Strategy Office, WBG Health and Safety Directorate, and Global Corporate Solutions. The Office of Suspension and Debarment, and the Sanctions Board Secretariat also report to the MDCAO for administrative purposes.

³ Dual reporting line to the MDCFO and MDCAO.

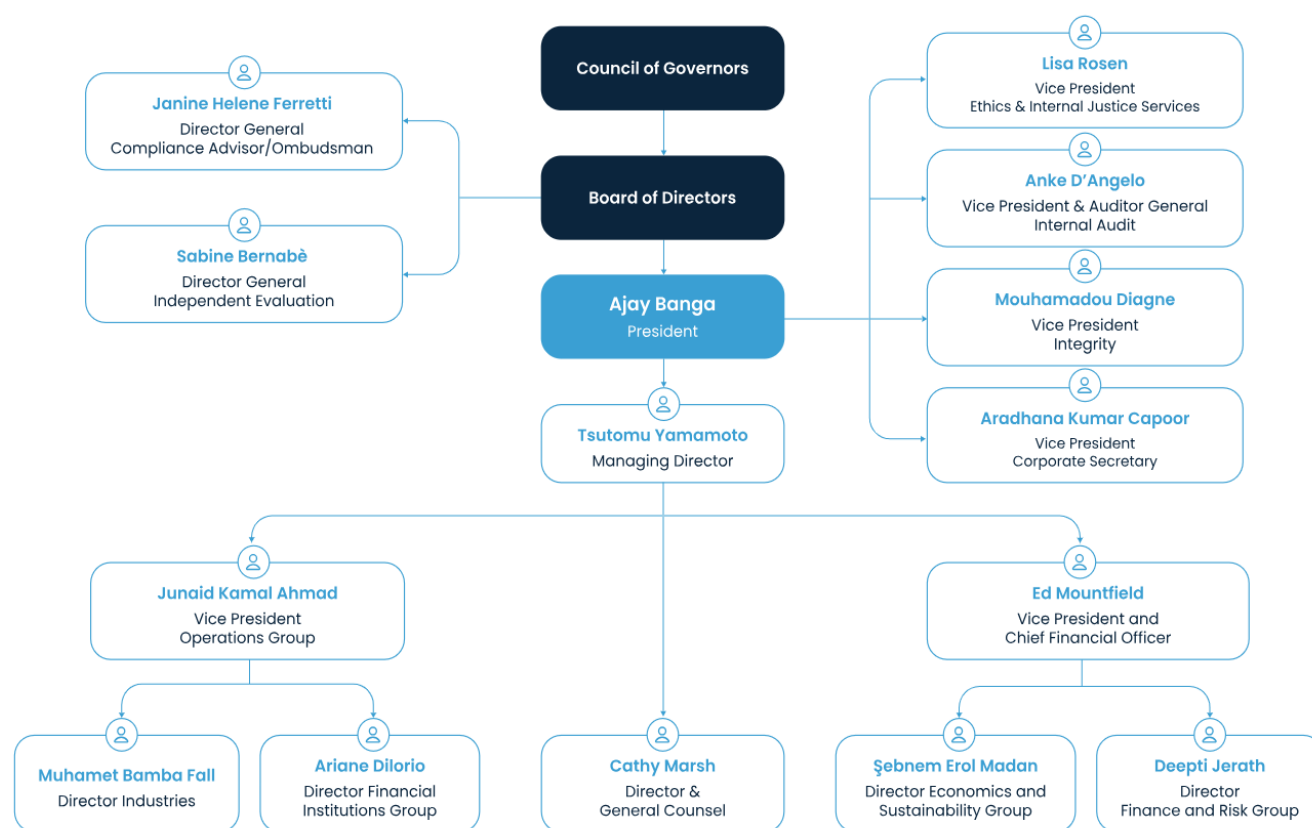
⁴ Dotted reporting line to the President.

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INTERNATIONAL FINANCIAL CORPORATION ORGANIZATIONAL CHART AS OF JANUARY 1, 2026



MULTILATERAL INVESTMENT GUARANTEE ORGANIZATIONAL CHART AS OF DECEMBER 08, 2025



Staff of the Office of Executive Director (EDS14), WBG





MEET THE TEAM



Dr. Zarau Wendeline Kibwe
Executive Director



Lonkhululeko Magagula
Alternate Executive Director



Ndapiwa Segole
Senior Advisor



Azhari Elamin
Senior Advisor



Emmanuel Plingloh Munyeneh
Senior Advisor



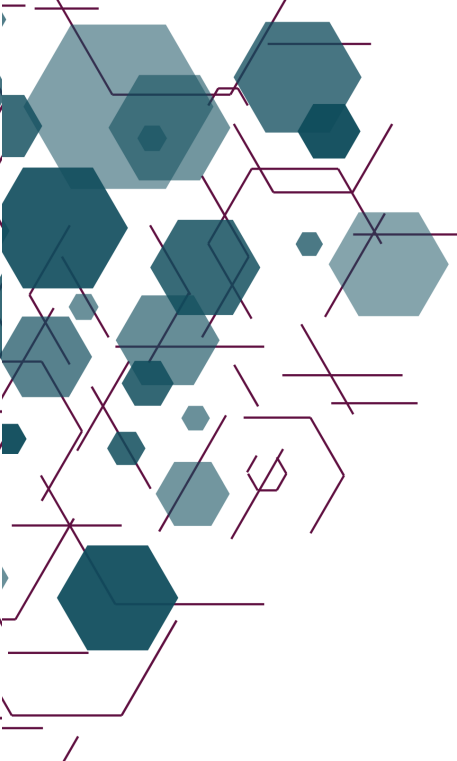
Venuste Ndikumwenayo
Senior Advisor



Josef Halwoodi
Senior Advisor



Sam Morris Aruna
Senior Advisor



Doreen Priscilla Kagarama
Advisor



Bertrand Belle
Advisor



Jacob Mazalale
Advisor



Kasonde Makumba
Advisor



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Research Analyst



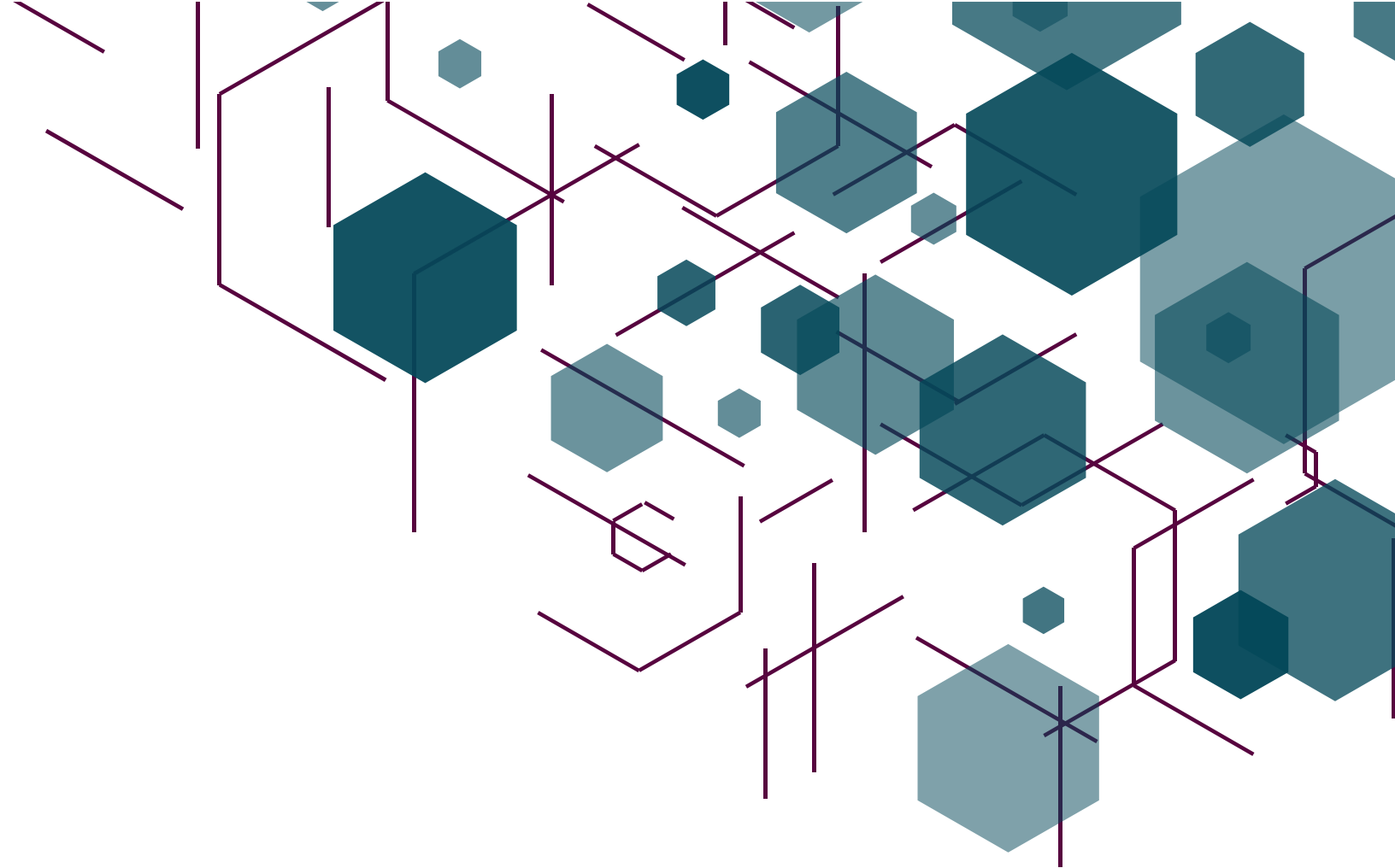
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